NEW ISSUE; BOOK-ENTRY ONLY

Ratings: Moody's: Aaa
Standard & Poor's: AAA
(See "Ratings" herein)

DAC Bond®

In the opinion of Bond Counsel, assuming continuing compliance by the City with certain covenants, interest on the Series 2022 Bonds is excludable from gross income for federal income tax purposes under existing statutes, regulations and judicial decisions. Interest on the Series 2022 Bonds is not an item of tax preference for purposes of the federal alternative minimum tax. See "TAX MATTERS" for a brief description of the tax treatment and certain other federal income tax consequences to certain recipients of interest on the Series 2022 Bonds. The Series 2022 Bonds and the interest thereon will be exempt from all State, county, municipal and school district and other taxes or assessments imposed within the State of South Carolina, except estate, transfer and certain franchise taxes.

Charleston Water System

$151,190,000
CITY OF CHARLESTON, SOUTH CAROLINA
Waterworks and Sewer System
Capital Improvement Revenue Bonds
Series 2022

Dated: Date of Delivery **Due: January 1, as shown below**

The City of Charleston, South Carolina, Waterworks and Sewer System Capital Improvement Revenue Bonds, Series 2022 (the "Series 2022 Bonds") will initially be issued to and registered only in the name of Cede & Co., as nominee for The Depository Trust Company, New York, New York ("DTC"), which will act as securities depository for the Series 2022 Bonds. The Series 2022 Bonds will be available to purchasers under the book-entry only system maintained by DTC through brokers and dealers who are, or act through, DTC Participants. Purchasers will not be entitled to receive physical delivery of the Series 2022 Bonds. For so long as any purchaser is the beneficial owner of a Series 2022 Bond, such purchaser must maintain an account with a broker or dealer who is, or acts through, a DTC Participant in order to receive payment of principal of and interest on such Bond. See "DESCRIPTION OF THE SERIES 2022 BONDS -- Book Entry Only System" herein.

The Series 2022 Bonds are issuable as fully registered bonds in denominations of $5,000 or any integral multiple thereof and are interchangeable as provided in the Bond Ordinance (as defined herein). Except as otherwise described herein, interest on the Series 2022 Bonds (payable semi-annually on each January 1 and July 1, commencing January 1, 2023) is payable by payment to DTC or its nominee as the registered owner of the Series 2022 Bonds. Disbursements of payments of interest and of principal to DTC Participants is the responsibility of DTC, and disbursement of such payments to the owners of book-entry interests is the responsibility of DTC Participants and Indirect Participants, as more fully described herein.

The Series 2022 Bonds are subject to optional and mandatory redemption prior to maturity as described herein.

The Series 2022 Bonds are being issued (i) to finance a portion of the costs of certain capital improvements to the waterworks and sewer system (the "System") of the City of Charleston, South Carolina (the "City"); and (ii) to pay capitalized interest on the Series 2022 Bonds through July 1, 2023.

The Series 2022 Bonds are payable from gross revenues of the System which remain after paying operation and maintenance costs of the System and will be issued on a parity with the outstanding waterworks and sewer system revenue bonds of the City as further described herein.

THE SERIES 2022 BONDS DO NOT CONSTITUTE AN INDEBTEDNESS OF THE CITY OF CHARLESTON WITHIN THE MEANING OF ANY PROVISION, LIMITATION OR RESTRICTION OF THE CONSTITUTION OR THE LAWS OF THE STATE OF SOUTH CAROLINA, OTHER THAN THOSE PROVISIONS AUTHORIZING INDEBTEDNESS PAYABLE SOLELY FROM A REVENUE-PRODUCING PROJECT NOT INVOLVING REVENUES FROM ANY TAX OR LICENSE. THE CITY IS NOT OBLIGATED TO PAY ANY OF THE SERIES 2022 BONDS OR THE INTEREST THEREON EXCEPT FROM REVENUES DERIVED FROM THE OPERATION OF THE SYSTEM. NO RECOURSE MAY BE HAD FOR THE PAYMENT OF THE SERIES 2022 BONDS AGAINST THE GENERAL FUND OF THE CITY, AND NEITHER THE FULL FAITH AND CREDIT NOR THE TAXING POWER OF THE CITY SHALL BE DEEMED PLEDGED TO THE PAYMENT OF THE SERIES 2022 BONDS.

MATURITY SCHEDULE

January 1	Principal Amount	Interest Rate	Yield	CUSIP	January 1	Principal Amount	Interest Rate	Yield	CUSIP
2026	$ 600,000	5.00%	2.28%	160429ZW9	2035	$ 750,000	5.00%	3.28%[c]	160429A71
2027	800,000	5.00	2.35	160429ZX7	2036	5,265,000	5.00	3.33[c]	160429A89
2028	2,000,000	5.00	2.48	160429ZY5	2037	5,530,000	5.00	3.35[c]	160429A97
2029	2,000,000	5.00	2.63	160429ZZ2	2038	5,805,000	5.00	3.39[c]	160429B21
2030	2,000,000	5.00	2.78	160429A22	2039	6,095,000	5.00	3.44[c]	160429B39
2031	2,000,000	5.00	2.86	160429A30	2040	6,400,000	5.00	3.49[c]	160429B47
2032	2,000,000	5.00	2.96	160429A48	2041	6,720,000	5.00	3.53[c]	160429B54
2033	2,300,000	5.00	3.06[c]	160429A55	2042	7,055,000	5.00	3.55[c]	160429B62
2034	650,000	5.00	3.22[c]	160429A63					

$40,950,000 5.00% Term Bond due January 1, 2047, Yield 3.66%[c], CUSIP 160429B70
$52,270,000 5.00% Term Bond due January 1, 2052, Yield 3.75%[c], CUSIP 160429B88

[c] Yield to July 1, 2032 call at 100%

This cover page contains certain information for quick reference only. It is *not* a summary of this issue. Investors must read the entire Official Statement to obtain information essential to the making of an informed investment decision.

The Series 2022 Bonds are offered when, as and if issued and accepted by the Underwriters, subject to the unqualified approval of legality by Haynsworth Sinkler Boyd, P.A., Charleston, South Carolina, Bond Counsel. Certain legal matters will be passed on by Burr & Forman LLP, Charleston, South Carolina, counsel to the Commissioners of Public Works of the City (the "Commissioners"). Haynsworth Sinkler Boyd, P.A., Charleston, South Carolina, is serving as Disclosure Counsel, and Howell Linkous & Nettles, LLC, Charleston, South Carolina, is serving as counsel to the Underwriters. PFM Financial Advisors LLC, Orlando, Florida, is acting as Financial Advisor to the Commissioners. It is expected that delivery of the Series 2022 Bonds in definitive form will be made on or about June 30, 2022, through the facilities of The Depository Trust Company against payment therefor.

WELLS FARGO SECURITIES

BofA SECURITIES **RICE FINANCIAL PRODUCTS COMPANY**

June 22, 2022

IN CONNECTION WITH THE OFFERING OF THE SERIES 2022 BONDS, THE UNDERWRITERS MAY OVERALLOT OR EFFECT TRANSACTIONS WHICH STABILIZE OR MAINTAIN THE MARKET PRICE OF SUCH BONDS ABOVE THAT WHICH WOULD OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZATION, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME.

This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy nor shall there be any sale of the Series 2022 Bonds by any person in any jurisdiction in which it is unlawful to make such offer, solicitation or sale. No dealer, broker, salesperson or other person has been authorized by the City of Charleston, South Carolina, or by the Underwriters to give any information or to make any representation, other than as contained in this Official Statement, in connection with the offering described herein, and if given or made, such other information or representation must not be relied upon as having been authorized by any of the foregoing. This Official Statement is submitted in connection with the sale of the Series 2022 Bonds as referred to herein, and may not be reproduced, used or relied upon, in whole or in part, for any other purpose. The delivery of this Official Statement at any time does not imply that information herein is correct as of any time subsequent to its date.

Neither the Securities and Exchange Commission nor any state securities commission has approved or disapproved of the Series 2022 Bonds or passed upon the adequacy or accuracy of this Official Statement. Any representation to the contrary is a criminal offense.

The Underwriters have provided the following sentence for inclusion in this Official Statement: "The Underwriters have reviewed the information in this Official Statement in accordance with, and as part of, their responsibilities under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or completeness of such information."

The Bank of New York Mellon Trust Company, N.A., as Trustee, has not provided, or undertaken to determine the accuracy of, any of the information contained in this Official Statement, and The Bank of New York Mellon Trust Company, N.A., as Trustee, makes no representation or warranty, express or implied, as to (i) the accuracy or completeness of such information, (ii) the validity of the Series 2022 Bonds; or (iii) the tax-exempt status of the interest on any of the Series 2022 Bonds.

"Forward-looking statements" are used in this document by using forward-looking words such as "may," "will," "should," "intends," "expects," "anticipates," or others. The reader is cautioned that forward-looking statements are subject to a variety of uncertainties that could cause actual results to differ from the projected results. Those risks and uncertainties include general economic and business conditions, conditions in the financial markets and real estate market, the impact of the on-going COVID-19 pandemic (as further described under "CERTAIN INVESTMENT CONSIDERATIONS - COVID-19" herein), and various other factors which may be beyond the City's or the Commissioners' control. Because neither the City nor the Commissioners can predict all factors that may affect future decisions, actions, events, or financial circumstances, what actually happens may be different from what is included in forward-looking statements. The achievement of certain results or other expectations contained in such forward-looking statements involve known and unknown risks, uncertainties and other factors which may cause actual results, performance or achievements described to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. The City and the Commissioners do not plan to issue any updates or revisions to those forward-looking statements if or when any of its expectations or events, conditions or circumstances on which such statements are based occur, other than as described under "CONTINUING DISCLOSURE" herein.

CITY OF CHARLESTON, SOUTH CAROLINA

COMMISSIONERS OF PUBLIC WORKS

Thomas B. Pritchard, Esq. ..... Chairman

Kathleen G. Wilson ..... Vice-Chairman

William E. Koopman, Jr. ..... Commissioner

Honorable John J. Tecklenburg, Mayor ..... Commissioner, *ex officio*

Honorable Perry K. Waring, City Council Member ..... Commissioner, *ex officio*

OFFICERS

Floyd K. (Kin) Hill, Jr., P.E. ..... Chief Executive Officer

Mark Cline, P.E. ..... Assistant Chief Executive Officer

Dorothy G. Harrison ..... Chief Administrative Officer

Wesley Ropp, C.M.A. ..... Chief Financial Officer

Russell L. Huggins, Jr., P.E. ..... Capital Projects Officer

Counsel

Burr & Forman LLP

Bond/Disclosure Counsel

Haynsworth Sinkler Boyd, P.A.

Financial Advisor

PFM Financial Advisors LLC

Certified Public Accountants

Mauldin & Jenkins, L.L.C.

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OFFICIAL STATEMENT

$151,190,000
CITY OF CHARLESTON, SOUTH CAROLINA
Waterworks and Sewer System
Capital Improvement Revenue Bonds
Series 2022

INTRODUCTION

This Official Statement, which includes the cover page hereof, the Table of Contents and the Appendices hereto, is provided to furnish certain information in connection with the offer of $151,190,000 principal amount of Waterworks and Sewer System Capital Improvement Revenue Bonds, Series 2022 (the "Series 2022 Bonds") to be issued by the City of Charleston, South Carolina (the "City" or "Charleston").

The Series 2022 Bonds will be issued pursuant to, and in accordance with, Chapter 17 of Title 6 of the Code of Laws of South Carolina 1976, as amended, as well as other applicable laws (collectively, the "Act"), an ordinance enacted by the City Council of the City of Charleston (the "City Council") on October 24, 1984 (as amended, the "Bond Ordinance"), a series ordinance enacted by the City Council on May 24, 2022 (the "2022 Series Ordinance") and a resolution adopted by the Commissioners of Public Works of the City of Charleston (the "Commissioners" or "CPW") on May 24, 2022 (the "Resolution"). The Bond Ordinance is more particularly described in Appendix C - "SUMMARY OF BOND ORDINANCE".

The Series 2022 Bonds are being issued (i) to finance a portion of the costs of certain capital improvements (collectively, the "Projects") to the waterworks and sewer system (the "System") of the City; and (ii) to pay capitalized interest on the Series 2022 Bonds through July 1, 2023.

All information included herein has been provided by the Commissioners except where attributed to other sources. The summaries and references to all documents, statutes, reports and other instruments referred to herein do not purport to be complete, comprehensive or definitive, and each such reference or summary is qualified in its entirety by reference to each such document, statute, report or other instrument.

DESCRIPTION OF THE SERIES 2022 BONDS

Terms and Form

The Series 2022 Bonds will be issued as fully-registered bonds, without coupons, in denominations of $5,000 or any integral multiple thereof. The Series 2022 Bonds will be dated the date of their delivery, will mature on January 1 in the years and in the principal amounts set forth on the cover page hereof, and will bear interest at the rates per annum set forth on the cover page hereof payable on January 1, 2023, and semiannually thereafter on January 1 and July 1 of each year. The Series 2022 Bonds will initially be issued solely in book-entry form. (See "Book-Entry-Only System" below.) In the event that the Series 2022 Bonds are no longer held in a book-entry only system, the principal of the Series 2022 Bonds will be payable at the corporate trust office of The Bank of New York Mellon Trust Company, N.A. (the "Trustee"), as trustee, registrar and paying agent, and interest on the Series 2022 Bonds will be paid by check or draft mailed by the Trustee, as paying agent, to the registered owner thereof as shown on the registration books on the 15th day of the month prior to each interest payment date.

Redemption

Optional Redemption. The Series 2022 Bonds maturing on or after January 1, 2033 are subject to redemption prior to maturity at the option of the City on or after July 1, 2032 as a whole or in part at any time at the redemption price of par, together with accrued interest to the redemption date. If less than all of the Series 2022 Bonds are to be redeemed, such Series 2022 Bonds shall be redeemed in such order of their maturities as shall be determined by the Commissioners, and by lot selected by the Trustee within a maturity.

Mandatory Sinking Fund Redemption. The Series 2022 Bonds maturing on January 1, 2047 are subject to mandatory sinking fund redemption prior to maturity in part by lot on each January 1 in the years and in the principal amounts shown below and shall be redeemed (to the extent not previously redeemed) at 100% of the principal amount plus accrued interest to the redemption date:

Year	Amount
2043	$7,410,000
2044	7,780,000
2045	8,170,000
2046	8,580,000
2047*	9,010,000

*Represents final maturity

The Series 2022 Bonds maturing on January 1, 2052 are subject to mandatory sinking fund redemption prior to maturity in part by lot on each January 1 in the years and in the principal amounts shown below and shall be redeemed (to the extent not previously redeemed) at 100% of the principal amount plus accrued interest to the redemption date:

Year	Amount
2048	$ 9,460,000
2049	9,935,000
2050	10,430,000
2051	10,945,000
2052*	11,500,000

*Represents final maturity

The amount of the mandatory sinking fund redemption prescribed above for the Series 2022 Bonds of any maturity shall be reduced to the extent Series 2022 Bonds of such maturity have been purchased by the Commissioners or redeemed by the Commissioners pursuant to the optional redemption provisions set forth above, in such manner as the Commissioners shall direct, or, absent such direction, on a *pro rata* basis.

Notice of Redemption

Notice of redemption shall be given by mailing a copy of the redemption notice by first class mail not less than 30 days prior to the date fixed for redemption to the holder of each Series 2022 Bond or portion of Series 2022 Bond which is to be redeemed, at the address shown on the registration books of the City to be kept at the principal office of the Trustee; provided, however, that failure to give such notice by mail, or any defect therein, shall not affect the validity of the proceedings for the redemption of any other Series 2022 Bond.

Book-Entry-Only System

The Depository Trust Company, New York, New York ("DTC") will initially act as securities depository for the Series 2022 Bonds. The Series 2022 Bonds will be issued as fully registered securities in the name of Cede & Co. (DTC's partnership nominee). Upon issuance of the Series 2022 Bonds, one fully registered Series 2022 Bond will be issued for each maturity of the Series 2022 Bonds as set forth on the cover page hereof, each in the aggregate principal amount of such maturity and will be deposited with DTC. So long as Cede & Co., as nominee of DTC, is the registered owner of the Series 2022 Bonds, references herein to the holders or registered owners of the Series 2022 Bonds shall mean Cede & Co. and shall not mean the Beneficial Owners (hereinafter defined) of the Series 2022 Bonds.

The information under this caption concerning DTC and DTC's book-entry system has been obtained from sources believed to be reliable, but the City does not take any responsibility for the accuracy or completeness thereof.

DTC, the world's largest depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 2.2 million issues of U.S. and non-U.S. equity, corporate and municipal debt issues, and money market instruments from over 100 countries that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC, in turn, is owned by a number of Direct Participants of DTC and Members of the National Securities Clearing Corporation, Fixed Income Clearing Corporation and Emerging Markets Clearing Corporation (NSCC, FICC and EMCC, also subsidiaries of DTCC), as well as by the New York Stock Exchange, Inc., the American Stock Exchange LLC, and the National Association of Securities Dealers, Inc. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has a Standard & Poor's rating of AA+. The DTC rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

Purchases of Series 2022 Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Series 2022 Bonds on DTC's records. The ownership interest of each actual purchaser of each Series 2022 Bond ("Beneficial Owner") is in turn to be recorded on the DTC Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Series 2022 Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Series 2022 Bonds, except in the event that use of the book-entry system for the Series 2022 Bonds is discontinued.

To facilitate subsequent transfers, all Series 2022 Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co. or such other names may be requested by an authorized representative of DTC. The deposit of Series 2022 Bonds with DTC and their registration in the name of Cede & Co. or such other nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Series 2022 Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Series 2022 Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

The City and the Registrar/Paying Agent will recognize DTC or its nominee, Cede & Co., as the registered owner of the Series 2022 Bonds for all purposes. Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time.

Redemption notices shall be sent to DTC. If less than all of the Series 2022 Bonds are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor such other DTC nominee) will consent or vote with respect to the Series 2022 Bonds unless authorized by a Direct Participant in accordance with DTC's Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the City as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Series 2022 Bonds are credited on the record date (identified on a listing attached to the Omnibus Proxy).

Principal and interest payments on the Series 2022 Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit DTC Participants' accounts, upon DTC's receipt of funds and corresponding detail information from the City or the Registrar/Paying Agent on the payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC nor its nominee, the City or the Registrar/Paying Agent, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of principal and interest to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the City acting through the Registrar/Paying Agent, disbursement of such payments to Direct Participants shall be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners shall be the responsibility of Direct and Indirect Participants.

Procedure in the Event of Discontinuation of Book-Entry Only System

DTC may discontinue providing its services as securities depository with respect to the Series 2022 Bonds at any time by giving reasonable notice to the City or the Registrar/Paying Agent. Under such circumstances, in the event that a successor securities depository is not obtained, Bond certificates are required to be printed and delivered.

The City may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, Bond certificates will be printed and delivered to DTC.

The Series 2022 Bonds will be issued in fully-registered form in the denominations of $5,000 or any whole multiple thereof, not exceeding the principal amount of the Series 2022 Bonds maturing in each year. All Series 2022 Bonds will be registered upon the registration books of the City which are to be kept for this purpose at the office of the Registrar and Paying Agent.

Registration and Transfer

Upon the discontinuance of the book-entry system, Series 2022 Bonds shall be evidenced by bond certificates issued in the name of the registered owners thereof as set forth on the registration books, and Series 2022 Bonds shall be transferable only upon the registration books by the registered owner thereof in person or by his attorney duly authorized in writing, upon surrender thereof together with a written instrument of transfer satisfactory to the Trustee, duly executed by the registered owner or his duly authorized attorney. Upon the transfer of any Series 2022 Bond, the City shall execute and thereupon the Trustee shall authenticate and deliver to the transferee a new fully registered Series 2022 Bond or Bonds, registered in the name of the transferee of the same aggregate principal amount, maturity and interest rate as the surrendered Series 2022 Bond.

The City and the Trustee may deem and treat the person in whose name any Series 2022 Bond is registered as the absolute owner of such Series 2022 Bond for the purpose of receiving payment of the principal of, and interest on, such Series 2022 Bond and for all other purposes.

For every exchange or transfer of any Series 2022 Bond, whether temporary or definitive, the City and the Trustee may make a charge sufficient to reimburse them for any tax, fee or other governmental charge required to be paid with respect to such exchange or transfer.

SECURITY FOR THE SERIES 2022 BONDS

Pledged Revenues; Special Obligations

The Bond Ordinance provides that all bonds issued pursuant to such ordinance, including the Series 2022 Bonds, shall be secured by a pledge of, and a lien upon, Gross Revenues (as such term is defined herein in Appendix C - "SUMMARY OF THE BOND ORDINANCE") less amounts required to fund the operation and maintenance of the City's waterworks and sewer system (the "System"). Such pledge securing the Bonds (as defined herein) shall at all times and in all respects remain superior to pledges made to secure other bonds or obligations payable out of the revenues of the System.

On the date hereof, the City has outstanding the following waterworks and sewer system revenue bonds issued pursuant to the Bond Ordinance (collectively, the "Outstanding Bonds"):

Series	Dated Date	Original Principal Amount	Outstanding Principal Amount
2015	July 29, 2015	$140,105,000	$ 17,565,000
2016	April 14, 2016	56,820,000	32,745,000
2016A	June 8, 2016	59,035,000	58,770,000
2016B	September 29, 2016	47,455,000	47,455,000
2017	October 19, 2017	40,610,000	38,970,000
2019	July 25, 2019	129,025,000	124,780,000
2020A	June 25, 2020	168,695,000	165,235,000
2020B	June 25, 2020	12,085,000	12,085,000
2021	June 30, 2021	122,480,000	122,480,000
		$776,310,000	$620,085,000

As of the date of issuance of the Series 2022 Bonds offered hereby, a total of $771,275,000 aggregate principal amount of Outstanding Bonds and Series 2022 Bonds (collectively, the "Bonds") will be outstanding and secured by the pledge described above.

THE SERIES 2022 BONDS DO NOT CONSTITUTE AN INDEBTEDNESS OF THE CITY WITHIN THE MEANING OF ANY PROVISION, LIMITATION OR RESTRICTION OF THE CONSTITUTION OR THE LAWS OF THE STATE OF SOUTH CAROLINA, OTHER THAN THOSE PROVISIONS AUTHORIZING INDEBTEDNESS PAYABLE SOLELY FROM A REVENUE-PRODUCING PROJECT NOT INVOLVING REVENUES FROM ANY TAX OR LICENSE. THE CITY IS NOT OBLIGATED TO PAY ANY OF THE SERIES 2022 BONDS OR THE INTEREST THEREON EXCEPT FROM THE PLEDGED REVENUES DESCRIBED ABOVE.

Debt Service Reserve Fund

The Bond Ordinance provides that each Series Ordinance may provide for the establishment of a Debt Service Reserve Fund for each Series of Bonds.

There will be no Reserve Requirement or Debt Service Reserve Fund for the Series 2022 Bonds.

Other Accounts

The Bond Ordinance establishes the General Revenue Fund, the Operation and Maintenance Fund, the Debt Service Fund and the Depreciation and Contingent Fund. With certain limited exceptions, all Gross Revenues of the System shall be deposited in the General Revenue Fund. So long as the City establishes proper records of receipts and disbursements, the General Revenue Fund may be used for the purposes of the Operation and Maintenance Fund.

The Operation and Maintenance Fund is intended to provide for the payment of all expenses incurred in connection with the administration and operation of the System, including such expenses as may be reasonably necessary to preserve the System in good repair and working order. Withdrawals from this fund shall be made by order of the Commissioners in accordance, as nearly as may be practicable, with the annual budget established by the Commissioners prior to the commencement of each fiscal year.

The Debt Service Fund is intended to provide for the payment of the principal of, premium, if any, and interest on all Bonds as the same respectively fall due. There shall be deposited into this fund the monthly fraction of the aggregate amount of interest to become due on the Bonds on the succeeding interest payment date and one twelfth of the aggregate amount of the principal of all Bonds becoming due and payable during the succeeding twelve months.

The Depreciation and Contingent Fund is intended to provide a reasonable reserve for depreciation of the System, for contingencies and for improvements, betterment and extensions of the System. The fund shall be maintained in an amount established at least annually by the Commissioners on the advice of the Commissioners' consulting engineers and may also be used to prevent defaults in payments to be made with respect to Bonds and to redeem Bonds. As of December 31, 2021, $19,672,510 was on deposit in this fund.

For a more detailed description of these funds, see in Appendix C - "SUMMARY OF THE BOND ORDINANCE -- Establishment of Funds".

Rate Covenant

The City has covenanted to maintain rates and charges for all services furnished by the System which at all times shall be sufficient: (i) to provide for the payment of the expenses of administration and operation and such expenses for maintenance of the System as may be necessary to preserve the same in good repair and working order; (ii) to provide for the punctual payment of the principal of and interest on all Bonds and all Junior Lien Bonds (as such term is defined in Appendix C - "SUMMARY OF THE BOND ORDINANCE") that may from time to time hereafter be outstanding; (iii) to maintain the Debt Service Fund in the manner described in the Bond Ordinance; (iv) to maintain any Debt Service Reserve Fund in the manner and at the levels required by the Bond Ordinance and any applicable Series Ordinance; (v) to build and maintain a reserve for depreciation of the System, for contingencies and for improvements, betterment and extensions of the System other than those necessary to maintain the same in good repair and working order; and (vi) to discharge all obligations imposed by the Act and the Bond Ordinance.

The City has further covenanted to prescribe and maintain and thereafter collect rates and charges which, together with other income, are reasonably expected to yield annual Net Earnings (as such term is defined in Appendix C - "SUMMARY OF THE BOND ORDINANCE") in each year equal to at least 120% of the Annual Principal and Interest Requirement.

The Bond Ordinance requires the City to revise such rates and charges as necessary in order that they shall at all times be maintained on a sufficient basis to comply with the foregoing requirements.

Additional Bonds

The City may issue from time to time additional obligations ("Additional Bonds") on a parity with the Bonds, subject to certain restrictive covenants set forth in the Bond Ordinance, which include:

(i) on the occasion of the issuance of any Additional Bonds, there shall exist no default in the payment of the principal of or interest on any Bond or Junior Lien Bond then Outstanding;

(ii) all Debt Service Reserve Funds, if any, shall be funded to the prescribed levels provided for in the Bond Ordinance or any applicable Series Ordinance with respect to all Bonds to be Outstanding immediately following the issuance of such Additional Bonds;

(iii) except in the case of Bonds issued for the purpose of refunding any Bonds: (A) Net Earnings during the fiscal year immediately preceding the fiscal year in which such Series of Bonds is to be issued, adjusted to reflect any rate increases currently adopted and to be in effect prior to or coincident with the date of issuance of such Bonds, and determined *pro forma* as though such rate increases had been in continuous effect during such preceding fiscal year, shall be not less than 120% of the Annual Principal and Interest Requirement of the current fiscal year for all Bonds Outstanding immediately prior to the proposed issuance; and (B) for each of the five fiscal years following the later of the date of the delivery of the Bonds of such series, or the period, if any, for which interest is funded from the proceeds of such Bonds, Net Earnings, as shall have been forecasted by an authorized officer of the Commissioners, shall be not less than 120% of the Annual Principal and Interest Requirement on all Bonds then proposed to be Outstanding in each of such five fiscal years; and

(iv) in the case of Bonds issued for the purpose of refunding any Bonds either: (A) the Annual Principal and Interest Requirement of the refunding Bonds shall not exceed the Annual Principal and Interest Requirement of the refunded Bonds until a time subsequent to the last maturity of Bonds not refunded and which remain Outstanding following the issuance of the refunding Bonds; or (B) the City shall comply with the earnings tests described in (A) and (B) of paragraph (iii) above.

ESTIMATED SOURCES AND USES OF FUNDS

The following table sets forth the sources of funds to be derived from the issuance and sale of the Series 2022 Bonds, together with other funds, and the uses of such funds:

Sources of Funds	
Principal Amount of Series 2022 Bonds	$151,190,000
Original Issue Premium	17,788,845
CPW Contribution	1,122,012
Total Estimated Sources	$170,100,857
Uses of Funds	
Deposit to Construction Fund	$161,398,346
Capitalized Interest	7,580,499
Expenses of Issuance[(1)]	1,122,012
Total Estimated Uses	$170,100,857

[(1)]Including underwriters' discount, legal, printing, consulting, rating and miscellaneous fees.

2022 Construction Fund

A portion of the proceeds of the offering of the Series 2022 Bonds in the approximate amount of $161,398,346 will be deposited into a construction fund (the "2022 Construction Fund") established pursuant to the Resolution. Money on deposit in the 2022 Construction Fund, plus earnings thereon, will be used, as needed, to finance the costs of the Projects, including without limitation payment of engineering, legal and all other expenses incidental to the Projects. Until such time as money on deposit in the 2022 Construction Fund is applied to the costs of the Projects, such money shall be invested and reinvested in Authorized Investments (as such term is defined herein in Appendix C - "SUMMARY OF THE BOND ORDINANCE"). All earnings therefrom shall be added to and become a part of the 2022 Construction Fund. The 2022 Construction Fund shall be held, maintained and controlled by the Commissioners.

THE PROJECTS

The Projects to be financed with a portion of the proceeds of the Series 2022 Bonds consist of new and replacement infrastructure in the water distribution system and the wastewater collection system and improvements at the Hanahan Water Treatment Plant and the Plum Island Wastewater Treatment Plant. Comprehensive 20-year master plans were prepared by engineering consultants in conjunction with System engineers for the water distribution system, the Hanahan Water Treatment Plant, the wastewater collection system and the Plum Island Wastewater Treatment Plant. Portions of the master plans will be implemented as part of the 2022-2027 Capital Improvements Program (see "THE CAPITAL IMPROVEMENTS PROGRAM" herein) and will be funded with proceeds of the Series 2022 Bonds and System revenues as described below.

The master plan for the water distribution system addresses both rehabilitation or replacement of the existing distribution system infrastructure and improvements to meet projected water demands associated with future growth. Extensive hydraulic computer modeling of the water distribution system was performed to identify infrastructure needs and to develop a phased construction program. Proceeds of the Series 2022 Bonds will be used to finance water distribution system improvements including a 30-inch transmission main, a 24-inch transmission main, rehabilitation and replacement of deteriorated water mains, and relocation of numerous water mains to accommodate roadway and drainage improvements projects.

The master plan for the Hanahan Water Treatment Plant addresses adequacy of existing water supply and treatment facilities to meet projected future demands associated with growth and proposed treatment goals of anticipated water quality regulations. The master plan evaluates process alternatives and incorporates recommended improvements into a phased construction program. Proceeds of the Series 2022 Bonds will be used to finance improvements at the Hanahan Water Treatment Plant including numerous projects that will expand the hydraulic capacity from 115.4 MGD to 127.4 MGD to meet projected peak day water demands.

The master plan for the wastewater collection system addresses both rehabilitation or replacement of the existing collection system infrastructure and improvements to meet projected wastewater flows associated with future growth. Extensive hydraulic modeling of the wastewater collection system was performed to identify infrastructure needs and to develop a phased construction program. Proceeds of the Series 2022 Bonds will be used to finance wastewater collection system improvements including extension of the West Ashely Sewer Tunnel, pump station and collection system rehabilitation, and relocation of numerous sewer mains to accommodate roadway and drainage improvements projects.

The master plan for the Plum Island Wastewater Treatment Plant addresses adequacy of existing treatment facilities to meet projected future flows associated with growth and proposed treatment goals of anticipated discharge regulations. The master plan evaluates process alternatives and incorporates recommended improvements into a phased construction program. Proceeds of the Series 2022 Bonds will be used to finance improvements at the Plum Island Wastewater Treatment Plant including replacement of deteriorated biosolids thickening and dewatering facilities and the addition of a biosolids thermal dryer facility to reduce or eliminate the risk of rapidly changing requirements and increasing fees for biosolids disposal at landfills.

The Commissioners also plan to renovate its headquarters building to ensure the ability of the Commissioners to continue to serve its customers at its St. Philip Street location in peninsula Charleston for the foreseeable future.

DEBT SERVICE REQUIREMENTS

The following table details the total annual debt service requirements on the Outstanding Bonds:

Period Ending January 1	Total Debt Service on Outstanding Bonds	Series 2022 Bonds Principal	Series 2022 Bonds Interest*	Aggregate Debt Service
2023	$ 49,133,009	$ 0	$ 0	$ 49,133,009
2024	49,541,419	0	3,779,750	53,321,169
2025	50,317,925	0	7,559,500	57,877,425
2026	49,537,200	600,000	7,559,500	57,696,700
2027	49,275,561	800,000	7,529,500	57,605,061
2028	48,036,506	2,000,000	7,489,500	57,526,006
2029	48,158,154	2,000,000	7,389,500	57,547,654
2030	48,054,377	2,000,000	7,289,500	57,343,877
2031	48,169,802	2,000,000	7,189,500	57,359,302
2032	48,049,044	2,000,000	7,089,500	57,138,544
2033	47,943,787	2,300,000	6,989,500	57,233,287
2034	49,655,968	650,000	6,874,500	57,180,468
2035	49,570,448	750,000	6,842,000	57,162,448
2036	24,564,034	5,265,000	6,804,500	36,633,534
2037	24,563,741	5,530,000	6,541,250	36,634,991
2038	24,561,973	5,805,000	6,264,750	36,631,723
2039	24,559,099	6,095,000	5,974,500	36,628,599
2040	24,565,369	6,400,000	5,669,750	36,635,119
2041	24,564,456	6,720,000	5,349,750	36,634,206
2042	17,861,785	7,055,000	5,013,750	29,930,535
2043	17,856,901	7,410,000	4,661,000	29,927,901
2044	17,861,324	7,780,000	4,290,500	29,931,824
2045	17,858,840	8,170,000	3,901,500	29,930,340
2046	8,436,750	8,580,000	3,493,000	20,509,750
2047	8,434,500	9,010,000	3,064,000	20,508,500
2048	8,435,750	9,460,000	2,613,500	20,509,250
2049	8,434,500	9,935,000	2,140,500	20,510,000
2050	0	10,430,000	1,643,750	12,073,750
2051	0	10,945,000	1,122,250	12,067,250
2052	0	11,500,000	575,000	12,075,000
Total	$888,002,222	$151,190,000	$152,705,000	$1,191,897,222

*Excludes capitalized interest through July 1, 2023.

THE WATERWORKS AND SEWER SYSTEM

Description of the System

The Waterworks Utility

The City of Charleston originally received its public water supply from artesian wells which, after the installation of air-lift pumps, provided 2 million gallons per day ("MGD") to the residents of the City. By the year 1897, however, this yield was inadequate to meet the demands of the City. Thus, the Charleston Light and Water Company constructed a dam across the marshlands of Goose Creek, a tidal tributary of the Cooper River, at a point approximately 12 miles from the City. The Goose Creek System then consisted of a fresh water reservoir with a capacity yield of 5 MGD, a sedimentation basin, a treatment plant, steam pumps, a wood stave distribution line made of tongue-and-groove California Redwood, and 11 miles of 24-inch cast iron supply mains.

In 1917, the City purchased the assets and properties of the Charleston Light and Water Company, and the Commissioners of Public Works was established by legislative act to manage and direct the activities of the System. At that time, there were approximately 7,000 taps on the System, which had a total value of $1,360,000. In 1921, the City acquired additional waterworks properties from Goose Creek Land Company. In 1984, the Commissioners acquired these properties and other assets that are part of the System from the City.

The area currently served by the waterworks utility, more fully described herein under the heading "THE SERVICE AREA AND ITS ECONOMY," includes nearly all of the developed metropolitan area lying inside and outside the City limits between the Stono and Wando Rivers. This area includes the municipalities of Charleston, North Charleston, Hanahan, James Island, Folly Beach, Sullivan's Island, Goose Creek, Lincolnville, Hollywood, Meggett and Ravenel, as well as the unincorporated areas of West Ashley, James Island, Johns Island, the Cainhoy Peninsula and the southern portions of Berkeley and Dorchester Counties as well as Joint Base Charleston, and a portion of the water used by the Town of Mt. Pleasant and the City of Isle of Palms. The Towns of Kiawah Island and Seabrook Island are served indirectly through wholesale water sales to St. Johns Water Company which is the System's largest wholesale customer.

The System provided water service to an average of 124,097 accounts in 2021, including approximately 53,719 located within the corporate limits of the City. The System is entirely metered except for approximately 2,072 unmetered fire service accounts.

The entire service area is supplied with treated water from the 115.4 MGD-capacity Hanahan Water Treatment Plant located approximately 12 miles north of the City. The Hanahan Plant, which the Commissioners acquired from the City in 1984, consists of raw water pumps, sedimentation basins, filter units, high-service pumps together with stand-by diesel pumps on both the low and high-service pumping stations and clearwell basins for storage. In addition to the 12,500,000 gallons of clearwell capacity with associated high-service pumps located at the treatment plant, five ground-level storage tanks and one elevated storage tank, with a combined capacity of 21,500,000 gallons, help to maintain uniform service pressure throughout the System and meet peak System demands. The distribution from the Hanahan Plant is through two 48-inch mains, one 36-inch main, one 30-inch main, three 24-inch mains, one 20-inch main and one 16-inch main. These mains are inter-connected in several places so that a shutdown of one main will not seriously interrupt service in the distribution system. The System's treated water transmission and distribution system includes over 1,838 miles of water mains varying in size with a maximum diameter of 48 inches.

One of the two primary sources of water for the Hanahan Plant is the Edisto River. Raw water is obtained from the river and conveyed to the plant by an unlined tunnel through Cooper marl.[1] The Kinard Tunnel, which was completed in 1937, is seven feet in diameter and 23.5 miles long. The present capacity of the Kinard Tunnel and Intake is 100 MGD, of which approximately 50 MGD is contractually obligated until November 20, 2046 to WestRock Company. The second primary source of water is the Bushy Park Reservoir, which is connected to the Hanahan Plant by the McDowell Tunnel, an underground, unlined tunnel eight feet in diameter and approximately seven miles long, which has a capacity of 150 MGD. The Commissioners enjoy statutory control of the Bushy Park Reservoir, the major surface water source for the greater Charleston area. Well water in the area is limited.

The St. Johns Water Company (which provides water to the unincorporated portions of Johns Island and to the municipalities of Kiawah Island and Seabrook Island), Dorchester County, Mt. Pleasant Waterworks ("MPW"), Berkeley County Water and Sanitation Authority ("BCWS") and Joint Base Charleston are currently the five largest treated water customers, accounting for approximately 8.39%, 3.09%, 2.48%, 1.65% and 1.45%, respectively, of 2021 waterworks revenues and approximately 4.36%, 1.61%, 1.29%, 0.86% and 0.75%, respectively, of total operating revenues of the System. See "Waterworks Utility – Largest Water Users – 2021" herein.

In 2021, the Commissioners' largest water customer was the St. Johns Water Company. The St. Johns Water Company was organized in 1976 and joined with the areas of Kiawah Island ("Kiawah") and Seabrook Island ("Seabrook") to secure a water system to serve the area. Established as a cooperatively owned and operated

[1]The geology of the Charleston area includes a limestone formation known as "marl", which lies approximately 40 feet below the surface of the earth. When exposed to air, the marl in the Charleston area hardens, resulting in a suitable water tunnel that does not require any additional pipe or lining.

company, the St. Johns Water Company is governed by a Board of Directors which is elected by its members. Agreements and contracts between the parties were signed in 1978 allocating a quantity of water to each entity based upon a 6.0 MGD water supply agreement with the Commissioners. The original system obtained water from the Limehouse crossing of the Stono River at which point it was metered into the St. Johns System. In 1991, a second connection to the system was installed on Maybank Highway and metered. To keep up with increasing demands, a third master metered supply main from the Commissioners was completed in 2008 near Riverbend Drive. The agreement between St. Johns Water Company and the Commissioners was amended to increase the water supply to 12.0 MGD, increasing to 14.5 MGD in 2015. The contract was extended in 2007 for 40 years to 2047.

In 1979, the Commissioners entered into a contract, renewable on an annual basis, to provide potable water to the five Department of Defense installations in the Charleston area (Charleston Naval Base, Charleston Air Force Base, Naval Hospital, Naval Weapons Station and Naval Weapons Annex). The Charleston Naval Base (and Shipyard) and the Naval Weapons Annex were closed on April 1, 1996. Subsequent to the closure, the Commissioners assumed ownership of the waterworks distribution system servicing the former Naval Base and Shipyard. The Naval Base has transitioned to private use under the Charleston Regional Development Authority. In January 2010, the three remaining Department of Defense installations became Joint Base Charleston, one of ten joint bases operating under the Department of Defense. The Naval Hospital ceased operation in 2012. In 2013, the Commissioners entered into a 10-year contract to provide water service which superseded prior contracts. The Commissioners are currently negotiating an extension of the contract.

The Commissioners have entered into long-term contracts to provide raw water to certain companies including WestRock Company, located in the City of North Charleston, and INEOS US Chemical Company (formerly B.P. Cooper River), DAK Americas LLC and Cooper River Partners, LLC, located in or near the Bushy Park Industrial Complex in Berkeley County. Two of the raw water contracts were extended in 2017. In October 2017, KapStone Paper and Packaging Corporation signed a 30-year revised contract extension, and in November 2017, Cooper River Partners, LLC signed a 50-year revised contract extension. In November 2018, Kapstone Paper and Package Corporation was acquired by WestRock Company. The aggregate revenues derived from these contracts accounted for 0.42% of 2021 operating revenues of the waterworks utility.

The Commissioners have entered into long-term contracts with St. Johns Water Company, BCWS, the City of Folly Beach, the Town of Lincolnville and Dorchester County to provide each with wholesale potable water service. The Commissioners have also entered into 30-year retail service area agreements with the City of Hanahan and the Town of Hollywood, a 15-year retail service area agreement with the Town of Ravenel, and a 20-year retail service area extension agreement with the City of Goose Creek which runs until 2034. The Commissioners' two retail service area contracts with BCWS run through October 27, 2022 and October 31, 2023. The Commissioners are currently negotiating 30-year extensions of both contracts.

The Commissioners provide wholesale potable water to the Isle of Palms Waterworks and Sewer Commission ("IOPWSC") and the MPW under separate purchased capacity contractual agreements. The supply of water to IOPWSC began in April 1997, and the MPW service was activated in September 1997. The current contract capacity for IOPWSC and MPW is 1.50 MGD and 6.00 MGD, respectively. Revenues received from the IOPWSC and MPW for water in 2021 totaled $368,234 and $2,039,246, respectively. In addition to the volumetric revenues, these purchased capacity customers are charged a proportional share of the capital assets used to treat and supply water. These annual payments to the Commissioners are not considered revenue but are treated as contributed capital and are assessed based on a percentage of total treatment capacity of the Hanahan Water Treatment Plant which is applied yearly to completed projects related to the treatment and transmission of water for IOPWSC and MPW. The amounts of contributed capital billed to IOPWSC and MPW for fiscal year 2021 are $10,867 and $33,657, respectively. All of these funds are used to offset future capital improvements.

The Commissioners also provide wholesale water to the Town of Sullivan's Island under a purchased capacity contractual agreement similar to those between the Commissioners and IOPWSC and MPW described in the immediately preceding paragraph. Service to the Town of Sullivan's Island was activated in 1996. The current contract capacity for the Town of Sullivan's Island is 0.75 MGD. The amount that is required to be paid by the Town of Sullivan's Island pursuant to its contract with the Commissioners is currently in dispute. The Town of Sullivan's Island is currently paying an amount based on its interpretation of the contract rate formula, to which the

Commissioners object. As a result, the Town of Sullivan's Island is only paying a portion of the amount being billed by the Commissioners. Water charges billed to the Town of Sullivan's Island in 2021 totaled $173,036, and the amount paid totaled $121,598. The amount of contributed capital billed to the Town of Sullivan's Island for 2021 is $5,476. As of December 31, 2021, the Town of Sullivan's Island owed the Commissioners a cumulative total of $668,092 based on the Commissioners' interpretation of the contract for both volumetric and capital charges for the years 2016 through 2021. The Commissioners notified the Town of Sullivan's Island on August 5, 2019 that the contract will terminate at the end of its current term on July 19, 2024.

The Commissioners provide retail water service to an average of 51,444 accounts within the City of North Charleston ("North Charleston"), and much of the adjacent areas surrounding North Charleston. The Commissioners have provided retail water service to the residents of North Charleston both prior to and since North Charleston was incorporated in 1972. On December 9, 2004, North Charleston and the Commissioners executed a Retail Water Supply and Service Area Agreement granting the Commissioners the right to continue to provide retail water service to North Charleston for 30 years. Presently, these customers use approximately 16.11 MGD of potable water, which accounted for approximately 44.6% of 2021 waterworks revenues and approximately 23.2% of total operating revenue.

In 1991, the City of Charleston annexed Daniel Island, which consists of 4,500 acres, and a portion of the Cainhoy Peninsula, consisting of 5,300 acres, bringing these areas into the Commissioners' service area. As of December 31, 2021, the Commissioners provided water and wastewater service to an average of 7,166 customers on Daniel Island and the Cainhoy Peninsula. Total water consumption billed in 2021 was 1,070,299 Ccf, with 2021 water and wastewater sales totaling $3,565,061 and $6,968,171, respectively.

HISTORICAL AVERAGE NUMBER OF TREATED WATER ACCOUNTS

	Inside City Retail					Outside City Retail					Outside City Wholesale			
Year	Domestic	Commercial	Industrial	Government	City Inst.	Domestic	Commercial	Industrial	Government	City Inst.	Municipal	Subdivisions	Purchased Capacity	Total
2012	39,645	5,407	10	317	76	56,823	6,678	30	220	19	10	3	6	109,244
2013	40,483	5,476	10	314	78	57,331	6,733	29	222	22	10	1	6	110,715
2014	41,365	5,584	11	316	80	58,067	6,845	31	222	22	10	1	6	112,560
2015	42,370	5,654	10	317	83	58,807	6,969	30	218	35	10	1	6	114,510
2016	43,129	5,765	10	315	82	59,441	7,085	32	221	46	10	1	6	116,143
2017	43,981	5,878	10	314	82	60,116	7,222	31	229	46	10	3	6	117,928
2018	44,651	6,014	10	312	85	60,607	7,338	30	232	51	10	3	6	119,349
2019	45,420	6,156	10	311	86	61,129	7,454	30	235	53	10	4	6	120,904
2020	46,183	6,255	10	312	90	61,684	7,616	31	237	54	11	4	6	122,493
2021	46,952	6,350	11	313	93	62,211	7,821	31	236	57	11	5	6	124,097

Water includes DOD and fire but does not include raw water.

HISTORICAL BILLABLE WATER CONSUMPTION[1]

	Inside City Retail					Outside City Retail					Outside City Wholesale				
Year	Domestic Ccf	Commercial Ccf	Industrial Ccf	Government Ccf	City Inst. Ccf	Domestic Ccf	Commercial Ccf	Industrial Ccf	Government Ccf	City Inst. Ccf	Municipal Ccf	Subdivision(2) Ccf	Purchased Capacity Ccf	Department of Defense Ccf	Total Ccf
2012	3,695,866	2,660,769	610,875	693,594	71,751	4,661,848	3,366,568	258,724	207,613	5,057	3,524,482	52,826	3,316,328	591,963	23,718,264
2013	3,306,436	2,543,688	610,210	694,543	74,317	4,367,074	3,427,585	244,623	205,725	4,339	3,288,192	27,253	3,268,773	537,227	22,599,985
2014	3,437,485	2,579,386	619,484	766,763	83,518	4,454,660	3,608,230	235,848	200,861	2,598	3,350,597	30,525	3,318,771	549,274	23,238,000
2015	3,446,133	2,592,850	579,195	704,037	110,709	4,446,446	3,633,212	155,368	185,820	3,705	3,421,666	29,947	3,287,051	462,478	23,058,617
2016	3,712,683	2,744,175	562,916	671,974	121,484	4,651,534	3,740,122	158,672	182,261	12,025	3,598,822	32,411	3,306,652	494,681	23,990,412
2017	3,644,165	2,703,782	540,559	662,251	124,682	4,542,039	3,837,691	149,816	157,920	17,628	3,717,637	51,908	3,464,621	546,084	24,160,783
2018	3,677,606	2,790,938	566,021	695,678	127,864	4,527,451	3,923,709	142,261	166,704	6,997	3,712,496	59,307	3,556,207	505,816	24,459,055
2019	3,961,948	2,789,964	523,011	673,118	115,921	4,769,092	3,967,212	125,884	167,197	9,636	4,028,939	86,020	3,808,876	529,304	25,556,122
2020	3,824,510	2,672,371	451,550	676,178	79,613	4,805,587	3,797,945	117,409	140,940	11,124	4,093,379	85,384	3,713,623	550,992	25,020,605
2021	3,817,804	2,821,068	435,154	675,095	93,911	4,687,283	3,885,774	63,767	134,442	11,924	4,805,694	83,312	3,732,909	815,959	26,064,096

(1) Does not include raw water and fire consumption.
(2) Contract with Town of Lincolnville (subdivision) ended September 2012.

COMPARATIVE GENERAL STATISTICS 2012-2021

WATER UTILITY	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
Miles of Pipe	1,764	1,759	1,769	1,747	1,758	1,774	1,789	1,809	1,825	1,838
Number of Hydrants	8,636	8,753	8,930	9,189	9,427	9,654	9,870	10,074	10,283	10,443
Total Average Active Accounts	109,244	110,715	112,560	114,510	116,143	117,928	119,349	120,904	122,493	124,097
Total Annual Sales (BGY) Consumption	17.7	16.9	17.4	17.3	17.9	18.1	18.3	19.1	18.7	19.50
Total Annual Pumpage (BGY)	21.8	19.9	20.6	21.5	22.0	22.2	23.1	23.7	22.2	23.19
Total Annual Billing in Million Dollars	$58.1	$58.8	$62.9	$65.9	$71.1	$72.2	$75.0	$81.2	$81.2	$87.4
Average Gallons Used Per Day										
Domestic Accounts	178	161	163	160	167	161	160	168	163	160
Non-Domestic Account	1,359	1,339	1,375	1,339	1,362	1,346	1,369	1,346	1,171	1,160
Average Monthly Bill – Domestic										
Inside Rate	$17.75	$18.40	$19.20	$19.95	$20.75	$20.75	$21.40	$20.17	$22.60	$22.22
Outside Rate	$31.10	$32.40	$33.45	$34.50	$35.55	$35.55	$36.75	$34.27	$38.75	$37.98
Average Consumption Per Account (Ccf)	7	7	7	7	7	7	6	6	7	6.5
Average Monthly Bill – Non-Domestic										
Inside Rate	$85.85	$88.37	$95.47	$96.27	$102.35	$102.35	$107.64	$109.84	$100.50	$102.39
Outside Rate	$152.50	$157.71	$173.31	$177.79	$191.07	$191.07	$201.39	$204.79	$186.35	$190.20
Average Consumption Per Account (Ccf)(1)	55	54	56	54	55	55	56	55	45	47.2

Notes:
BGY = Billion Gallons per Year.
(1) Average Non-Domestic Ccf does not include wholesale consumption.

Largest Water Users
2021

Customer Name	Annual Revenue (thousands)	Annual Volume Sales (million gallons (MG))
St. John's Water Company	$ 7,330	2,938
Dorchester County	2,698	1,064
Mt. Pleasant Waterworks*	2,168	3,056
Berkeley County Water & Sanitation	1,441	567
Joint Base Charleston	1,264	816
Medical University of South Carolina	895	392
Charleston County	797	195
City of Folly Beach	723	288
City of Charleston	623	257
Boeing	483	123
Total Revenues – Largest Customers	$18,422	9,696

*Excludes capital contribution per contract; net of adjustment.

Waterworks Utility
Supply and Demand Data
(2021)

CAPACITY:		
Combined capacity of raw water supply (1)	10.0	BG (2)
Combined capacity of raw water tunnels	250.0	MGD (3)
Combined capacity of transmission lines from plant	171.0	MGD
Combined filter capacity	115.4	MGD
Filtered water pumping capacity	170.0	MGD
Plant storage capacity	12.5	MG (4)
System storage capacity	21.5	MG
DEMAND (excludes raw water):		
Average day	60.71	MGD
Maximum day	77.11	MGD

(1) Raw water is supplied to the following for treatment, industrial use or cooling:

WestRock Company	27.1	MGD
DAK Americas LLC	1.2	MGD
INEOS US Chemical Company	5.9	MGD
Cooper River Partners, LLC	3.3	MGD

(2) Billion gallons.
(3) Million gallons per day.
(4) Million gallons.

The Wastewater Utility

The wastewater utility provided service to an average of 59,781 retail accounts in 2021, including service to an average of 52,266 wastewater accounts inside the corporate limits of the City and 7,515 outside of the corporate limits of the City including unincorporated areas of Johns Island, Cainhoy and West Ashley. The Commissioners also serve four wholesale accounts with the Towns of Meggett, Hollywood and Ravenel and James Island Public Service District which, as of their fiscal year ended June 30, 2021, provides service to approximately 7,174 direct service connections within the James Island Public Service District and approximately 1,575 indirect service connections in the City of Folly Beach which flow through the James Island Public Service District system. Medical University of South Carolina, James Island Public Service District, City of Charleston Housing Authority,

Roper Hospital and Charleston County School District are the five largest customers, accounting for approximately 3.95%, 3.88%, 2.29%, 1.07% and 1.04%, respectively, of 2021 wastewater revenues and approximately 1.68%, 1.65%, 0.98%, 0.46% and 0.44%, respectively, of the 2021 total operating revenues of the System. See "Wastewater Utility – Largest Wastewater Users – 2021".

The Commissioners assumed responsibility for operating and maintaining the sewage disposal system of the City when the waterworks utility and the wastewater utility were combined into the Waterworks and Sewer System of the City of Charleston in 1961. The original wastewater utility, built in 1895, consisted of collector lines and small pumping stations. Since assuming responsibility for operating and maintaining the wastewater system at the beginning of 1961, the Commissioners have acted to meet state and federal environmental control regulations by constructing a sanitary sewer system to collect and convey all the wastewater flow of the West Ashley, James Island, Daniel Island, Cainhoy and Peninsula areas of the City to the 36-MGD Plum Island Wastewater Treatment Plant which the Commissioners acquired from the City in 1981. The sanitary sewer system comprises approximately 628 miles of conventional gravity sewers, 129.8 miles of force mains, and approximately 12 miles of deep level interceptor tunnels. The wastewater conveyed by the sanitary sewer system is given primary and secondary treatment at the Plum Island Treatment Plant. The secondary facilities at this plant were placed in operation in 1984. In 1997, the Commissioners received an up-rating of the Plum Island Wastewater Treatment Plant capacity from 27 MGD to 36 MGD. This upgrade was accomplished through a detailed in-house engineering evaluation which included a computer simulation model and historical treatment performance at superior levels. For outstanding past performance, the Commissioners were awarded the National Association of Clean Water Agencies ("NACWA") award for large treatment plants achieving advanced levels of treatment. (See "Awards and Recognitions" herein). Treated wastewater from the treatment plant is released through an outfall sewer extending approximately 4,000 feet into Charleston Harbor.

In 1995, the Commissioners acquired approximately 22 acres of land on Daniel Island from the Daniel Island Development Company, Inc. as the site for a proposed wastewater treatment plant. During the following year, the Commissioners placed into operation the Daniel Island Wastewater Treatment Plant. Initially constructed for 0.250 MGD, the plant capacity was expanded to 0.500 MGD in 2001 and then to 0.9 MGD in 2006 to keep up with increasing demands. Because of the stringent discharge permit ("NPDES") issued in 2005 by the South Carolina Department of Health and Environmental Control ("DHEC"), the Commissioners determined that it was not feasible to re-rate the plant capacity for more than 4.0 MGD. Accordingly, the Commissioners determined that the most cost-effective treatment option was to divert the wastewater flow from Daniel Island and Cainhoy to the Plum Island Wastewater Treatment Plant. The Daniel Island Tunnel Project, which accomplished this diversion of flow in 2008, was part of the 2006-2009 Capital Improvements Program. The discharge permit for the Daniel Island Wastewater Treatment Plant remains in effect for use if needed although the plant does not discharge at this time.

In 2010, after a lengthy field study and development of a three-dimensional water quality model, the Berkeley-Charleston-Dorchester Council of Governments ("BCD COG") issued a final Total Maximum Daily Load ("TMDL") for the Ashley and Cooper Rivers and Charleston Harbor. The TMDL allows the Daniel Island Wastewater Treatment Plant 4.0 MGD of flow and 403 pounds of Ultimate Oxygen Demand ("UOD") capacity. The Plum Island Wastewater Treatment Plant is allowed 54 MGD of flow and 24,612 pounds of UOD in the final BCD COG recommendation. The TMDL has been approved by both the U.S. Environmental Protection Agency ("EPA") and DHEC.

NPDES permits for both the Plum Island and the Daniel Island Wastewater Treatment Plants run through July 31, 2024. The Plum Island Plant reported four daily maximum bacteria violations of its NPDES permit in November 2018 and March 2019 due to dewatering equipment issues and resultant excessive solids inventory. DHEC placed the Plum Island Plant under a Consent Order in April 2019, which the Commissioners addressed through a corrective action plan completed in October 2019. DHEC closed the Consent Order in March 2020. There have been no further permit excursions to date.

HISTORICAL AVERAGE
NUMBER OF WASTEWATER ACCOUNTS

	Inside City Retail					Outside City Retail					Outside City Wholesale				
Year	Domestic	Commercial	Industrial	Government	City Inst.	Domestic	Commercial	Industrial	Government	City Inst.	James Island PSD	Hollywood/ Petersfield	Ravenel	Meggett	Total
2012	37,902	4,885	4	283	60	6,169	629	0	3	0	1	1	1	1	49,939
2013	38,746	4,910	4	280	60	6,242	630	0	3	0	1	1	1	1	50,879
2014	39,683	4,962	4	278	60	6,360	633	0	3	0	1	1	1	1	51,987
2015	40,660	4,998	4	275	62	6,461	635	0	3	0	1	1	1	1	53,102
2016	41,532	5,052	4	271	62	6,484	647	0	3	0	1	1	1	1	54,059
2017	42,520	5,120	4	268	62	6,504	657	0	4	0	1	1	1	1	55,143
2018	43,485	5,194	4	266	63	6,594	661	0	4	0	1	1	1	1	56,274
2019	44,585	5,262	4	265	64	6,713	666	0	4	0	1	1	1	1	57,567
2020	45,564	5,318	4	262	68	6,759	671	0	4	0	1	1	1	1	58,654
2021	46,572	5,361	4	260	69	6,821	689	0	4	1	1	1	1	1	59,785

HISTORICAL
BILLABLE WASTEWATER CONSUMPTION

	Inside City Retail					Outside City Retail					Outside City Wholesale				
Year	Domestic Ccf	Commercial Ccf	Industrial Ccf	Government Ccf	City Inst. Ccf	Domestic Ccf	Commercial Ccf	Industrial Ccf	Government Ccf	City Inst. Ccf	James Island PSD Ccf	Hollywood/ Petersfield Ccf	Ravenel Ccf	Meggett Ccf	Total Ccf
2012	2,519,281	2,335,492	1,098	595,424	23,766	385,579	107,864	0	400	0	1,121,731	82,180	2,322	1,866	7,177,003
2013	2,423,592	2,301,123	1,449	590,167	24,198	366,824	106,681	0	409	0	1,372,047	97,385	3,895	3,182	7,290,952
2014	2,485,276	2,322,331	1,548	613,941	22,002	372,272	106,348	0	409	0	1,348,138	113,734	5,736	2,922	7,394,657
2015	2,497,358	2,334,216	1,380	593,060	23,308	372,499	105,926	0	373	0	1,219,453	109,490	11,203	2,708	7,270,974
2016	2,583,306	2,463,466	1,401	578,463	26,128	372,470	103,109	0	556	0	1,405,374	116,475	10,587	2,671	7,664,006
2017	2,602,061	2,480,667	1,447	556,900	25,215	367,043	104,599	0	2,197	0	1,385,836	123,741	10,772	3,087	7,663,565
2018	2,633,365	2,543,025	1,138	570,967	27,903	366,636	114,446	0	1,535	0	1,085,783	100,974	9,718	3,005	7,458,495
2019	2,733,341	2,579,635	1,348	570,417	26,563	377,676	118,783	0	782	0	1,500,164	131,152	11,863	3,657	8,055,381
2020	2,842,842	2,477,043	708	552,434	23,564	382,832	109,988	0	1,167	0	1,737,332	146,220	11,776	3,447	8,289,353
2021	2,841,878	2,631,493	830	524,377	21,994	376,164	126,634	0	1,077	0	1,473,905	132,319	11,822	4,018	8,146,511

COMPARATIVE GENERAL STATISTICS
2012-2021

WASTEWATER UTILITY	2012	2013(1)(4)	2014(2)(5)	2015(3)(4)(5)	2016(4)(5)	2017(5)	2018(5)	2019	2020	2021
Miles of Gravity Pipe	550.1	555.5	561.3	569.0	578.0	594.0	605.0	612.0	621.0	628.0
Miles of Force Main	112.5	118.1	114.7	117.5	121.0	119.0	125.7	127.0	128.0	129.8
Miles of Six-inch Service Lines	137.7	139.4	145.8	145.8	173.2	154.0	182.2	149.9	151.6	156.4
Number of Lift Stations	188	188	195	194	203	208	209	213	216	219
Miles of Tunnels	11.8	11.8	11.8	11.8	11.8	11.8	11.8	11.8	13.5	12.0
Number of Vortex Shafts	19	19	19	19	19	19	19	17	17	17
Treatment Capacity (MGD)	37.00	37.00	36.00	36.00	36.00	36.00	36.00	36.00	36.00	36.00
Total Annual Treatment (BGY)	7.16	8.07	7.93	8.53	9.41	9.20	8.90	8.40	9.76	9.3
Maximum Day Treatment (MGD)	53.51	49.75	71.18	75.46	57.99	61.42	60.13	70.50	66.11	54.76
Average Day Treatment (MGD)	19.55	22.11	21.73	23.37	25.70	25.20	23.77	23.02	26.67	25.57
Total Average Active Accounts	49,939	50,879	51,987	53,102	54,059	55,143	56,274	57,567	58,654	59,785
Total Annual Billing in Million Dollars	$47.5	$49.5	$53.5	$55.3	$58.9	$59.5	$62.1	$66.5	$68.8	71.6
Average Monthly Bill – Inside Rate										
Domestic	$45.29	$41.06	$46.33	$47.72	$49.10	$49.10	$50.72	$52.10	$53.57	$54.98
Average Consumption Per Account (Ccf)	6	5	5	5	5	5	5	5	5	5
Non-Domestic	$304.23	$315.13	$336.33	$340.10	$357.95	$357.95	$370.55	$380.80	$375.17	$385.43
Average Consumption Per Account (Ccf)	47	46	47	46	47	47	47	47	45	45
Average Monthly Bill – Outside Rate										
Domestic	$54.36	$57.54	$64.35	$65.70	$68.03	$68.03	$69.13	$74.93	$77.00	$79.10
Average Consumption Per Account (Ccf)	5	5	5	5	5	5	5	5	5	5
Non-Domestic	$138.16	$144.95	$152.96	$155.52	$149.13	$149.13	$153.53	$180.03	$174.20	$179.00
Average Consumption Per Account (Ccf)	14	14	14	14	13	13	15	15	14	14

Notes:
MGD = Million Gallons per Day
BGY = Billion Gallons per Year
(1) In 2013 updated miles of force mains, miles of tunnel and number of vortex shafts per GIS information and research.
(2) 2014 – restated wastewater treatment statistics.
(3) 2015 – restated updated data for six-inch service lines.
(4) Restated wastewater force main statistics per GIS update.
(5) Restated wastewater treatment capacity for 2014-2018. Additional 0.9 MG permitted capacity for Daniel Island Wastewater Treatment Plant not included as capacity is not being utilized.

Largest Wastewater Users
(2021)

Customer Name	Annual Revenue (thousands)	Annual Volume Sales (million gallons (MG))
Medical University of South Carolina	$ 2,825	338
James Island Public Service District	2,775	1,474
City of Charleston Housing Authority	1,639	194
Roper Hospital	766	93
Charleston County School District	741	45
The Citadel	570	69
Mid-America Apartment LP	493	53
Town of Hollywood	421	132
College of Charleston	418	48
BLX Parkside Owner, LLC	312	40
Total Revenues – Largest Customers	$10,960	2,486

Operations of the System

The System is governed by the Commissioners, comprised of three Commissioners elected at large by the voters of the City to six-year staggered terms, and the Mayor of the City and a member of the City Council who serve as ex-officio members. Except for borrowing money through the issuance of bonds or bond anticipation notes, the Commissioners have complete charge of the System. In such instances in which bonds or notes must be issued or the rights of bondholders or noteholders must be protected, the City Council is granted jurisdiction. In the course of a contest between the City Council of Spartanburg, South Carolina and the Commissioners of Public Works of the City of Spartanburg, South Carolina, whose powers are identical to those of the Commissioners, the Supreme Court of South Carolina declared:

> It is our conclusion that the power to fix rates, dispose of surplus revenue, and otherwise control and direct the fiscal policies of the waterworks system of the City of Spartanburg is vested in the Commissioners of Public Works so long as that body fulfills the covenants and agreements for the protection of the bondholders set forth in the ordinance authorizing the issuance of revenue bonds, but if the Commissioners fail or neglect to carry out these covenants and obligations, the City Council may enforce compliance.

In addition to operating the System, the Commissioners control certain properties (the "Property") acquired by the City when it purchased the assets of the Charleston Light and Water Company in 1917 as well as other property acquired from time to time thereafter. From time to time the Commissioners have sold parcels from the Property. The Property is listed as an asset of the Commissioners and is carried at book value on the balance sheet of the Commissioners.

Regulation

The Commissioners' rates and collection procedures are not subject to approval by any other administrative body. Such rates and procedures are subject to judicial review upon action of a ratepayer. The Commissioners believe their rates and collection procedures are reasonable under applicable legal standards. The Commissioners have utilized the nationally recognized firm of Black & Veatch to perform all of its rate analysis work for over four decades. There have been no successful rate challenges to the Commission-established rates in its history.

Potable water quality and wastewater effluent quality are subject to regulation by the EPA and the South Carolina Department of Health and Environmental Control.

Awards and Recognitions

In 1999, the Commissioners became the first public water or wastewater utility in the United States to become registered in conformance with the Environmental Management System standards of the International Organization for Standardization, ISO 14001. Certification has been continually maintained through annual audits since that time. In October 2018, the Commissioners were certified in accordance with 2015 revisions to the ISO 14001 Standard. In 2011, the Commissioners received the South Carolina Governor's Quality Award. This award is based on the National Malcolm Baldrige Quality Award and recognizes organizations that demonstrate excellent performance through a quality management system. In 2011 through 2019 and again in 2021, the Commissioners were included in the top 25 large company rankings of Best Places to Work in South Carolina as announced by the South Carolina Chamber of Commerce.

The Plum Island Wastewater Treatment Plant has been recognized for perfect permit compliance by the National Association of Clean Water Agencies ("NACWA"). The Commissioners were awarded the Platinum Award by NACWA in 2014 for the Plum Island Wastewater Treatment Plant in recognition of seven consecutive years without a permit excursion. The Plum Island Plant received a Silver Award in 2015 and the Gold Award in 2016, 2017, 2018 and 2021 from NACWA.

The Hanahan Water Treatment Plant entered into a voluntary Partnership for Safe Water agreement with the EPA in December 1995. The primary purpose of the Partnership for Safe Water is to encourage U.S. water suppliers to assess their facilities, treatment processes, operating and maintenance procedures, and management oversight practices. On October 10, 2016, Hanahan Water Treatment Plant received the Presidents Award, representing optimized treatment to provide the safest water possible to CPW's customers.

Administration of the System

The current members of the Commissioners are as follows:

Name	Year Elected to Initial Term	Current Term Expires	Principal Occupation
Thomas B. Pritchard, Esq., Chairman	1999	12/31/23	Attorney
Kathleen G. Wilson, Vice-Chairman	2019	12/31/25	Professional Musician
William E. Koopman, Jr.*	2006	12/31/27	Water System CEO (retired)
John J. Tecklenburg	2016	12/31/23	Mayor, City of Charleston
Perry K. Waring	2016	12/31/23	City Council Member, Financial Planner

*Appointed in 2022 to fill an unexpired term. Previously served as a Commissioner from 2006 through 2019.

The Chief Executive Officer of the System is responsible for the overall functioning of the System. He reports to the Commissioners and carries out the policies set by the Commissioners. Floyd K. (Kin) Hill, Jr., P.E. was appointed Chief Executive Officer in July 2006. Mr. Hill has been employed by the Commissioners since 1987, serving as Director of Wastewater Operations, Director of Collection and Distribution and Chief Operating Officer prior to becoming C.E.O. Before coming to CPW, he was Director of a District Office of the S.C. Department of Health and Environmental Control. He is a member of the American Water Works Association, Water Environment Federation, and Automated Meter Reading Association. Mr. Hill holds a Bachelor of Science Degree in Agricultural Engineering from Clemson University and a Master's Degree in Environmental and Water Resources Engineering from the University of South Carolina. Mr. Hill is a Registered Professional Engineer in the State of South Carolina and an "A" Level licensed Water Distribution and Wastewater Collection System Operator. Mr. Hill recently announced his retirement effective August 2022.

The Assistant Chief Executive Officer is Mark Cline, P.E. who will succeed Mr. Hill as Chief Executive Officer of the System upon Mr. Hill's retirement in August 2022. Mr. Cline is principally responsible for overseeing the Water Treatment Process, the Water Distribution System, the Wastewater Collection System, the Wastewater Treatment Facilities and the Laboratory, with managerial oversight of the Capital Improvements Program. Mr. Cline has been employed by the Commissioners since 1984, serving as Engineering Manager, Superintendent and

Plant Engineer for the Hanahan Water Treatment Plant, Senior Director of Design and Construction and Capital Projects Officer before becoming Assistant Chief Executive Officer in 2018. Mr. Cline is a member of the American Water Works Association, the Water Environment Federation and the American Society of Civil Engineers. He holds a Bachelor of Science Degree in Civil Engineering from North Carolina State University and is licensed as a Professional Engineer and a Water Treatment Plant Operator.

The Chief Administrative Officer is Dorothy G. Harrison, who directs the operations of Compliance and Audit Services, Customer Service, Human Resources and Public Relations. Ms. Harrison has been employed by the Commissioners since July 2001. Prior to joining CPW, Ms. Harrison spent 26 years in the banking industry and was among the first African American commercial loan officers and vice presidents in the State of South Carolina. Ms. Harrison was also one of the first bankers in South Carolina to serve a dual role in the industry as a licensed broker and commercial banker. She is a member of the American Water Works Association and the Water Environment Federation and is an active member of numerous boards and foundations. She attended the University of South Carolina and George Mason University, with studies in Business Administration and Psychology, and is a graduate of East Carolina School of Banking.

The Chief Financial Officer is Wesley Ropp, CMA, CP^3P-F, who is responsible for the financial operations of the System, including the Accounting, Budgeting, Finance, Purchasing, Records Management and Information Technology functions. Mr. Ropp joined CPW in 1982 as an accountant, later serving as Administrator of Accounting, Administrator of Finance and Senior Director of Financial Services. Mr. Ropp is a Certified Management Accountant and a Certified PPP Professional - Foundation. He holds a Bachelor of Science Degree in Business Administration with emphasis in Accounting from the College of Charleston and a Master's Degree in Business Administration from The Citadel.

The Capital Projects Officer is Russell L. Huggins, Jr., P.E., who is responsible for overseeing the operations of Engineering and Construction, Asset Management and Geographic Information Systems, Safety and Support Services and the SCADA System. Mr. Huggins joined CPW in January 1999 as an engineer in the Design and Construction Department. He became Engineering Manager in 2004, Director of Engineering in 2006, and Director of Engineering and Construction in 2015 before becoming Capital Projects Officer in 2018. Mr. Huggins earned his Bachelors of Science Degree in Civil Engineering and Master's Degree in Business Administration from The Citadel. He is licensed as a Professional Engineer and as a Wastewater Treatment Plant Operator and is a member of the American Water Works Association, the Water Environment Federation and the American Society of Civil Engineers.

Employees

All employees in established positions participate in the South Carolina State Retirement System as well as the Social Security System of the Federal Government. All such employees are non-union.

The Commissioners' 2021 budget authorized 458 positions. As of December 31, 2021, the Commissioners had 416 of this authorized number of employees in the following positions:

Officers and Managers	58
Professionals and Technicians	106
Clerical	76
Operating and Maintenance	176
Total	416

Fringe Benefits, Retirement and Health Insurance

All employees of the System participate in a defined benefit pension plan administered by the State of South Carolina, the South Carolina Retirement System ("SCRS"), which is a cost-sharing, multiple-employer public employee retirement plan. The total payroll for employees covered by the SCRS for the year ended December 31, 2021 was $27,458,419. The SCRS offers retirement and disability benefits, cost-of-living adjustments on an ad-hoc basis, life insurance benefits and survivor benefits. The plans' provisions are established under Title 9 of the Code of Laws of South Carolina 1976, as amended ("Title 9").

Both employees and the System are required to contribute to the SCRS at rates established under the authority of Title 9. The System's contributions are actuarially determined, but are communicated to and paid by the System as a percentage of the employee's annual earnings. For the fiscal years ended December 31, 2021, 2020 and 2019, the System contributed 100% of the required contributions. Contributions by the System for employees covered by the SCRS amounted to $4,373,378 for the fiscal year ended December 31, 2021, $4,311,165 for the fiscal year ended December 31, 2020 and $3,934,695 for the fiscal year ended December 31, 2019. Employee contributions for the SCRS were based on 9% of the employees' earnings and amounted to $2,471,258 for the fiscal year ended December 31, 2021, $2,493,605 for the fiscal year ended December 31, 2020 and $2,350,064 for the fiscal year ended December 31, 2019. Legislation enacted by the State in 2017 increased the employer contribution rate to 13.56% beginning July 1, 2017 with five subsequent 1% increases through July 1, 2023, resulting in the employer contribution rate being capped at 18.56% and employee contribution rate capped at 9%.

The System has paid all required contributions for fringe benefits and insurance as they have come due. There are no liabilities for underfunding of such benefits.

GASB 75 – Accounting and Financial Reporting for Other Post Employment Benefits

Government Accounting Standards Board Statement No. 75 ("GASB 75") establishes accounting and financial reporting requirements for state and local governments who have other post employment benefit ("OPEB") plans. In order to comply with the requirements of GASB 75, the System contracted with Cavanaugh McDonald Consulting, LLC to perform an actuarial valuation to determine the Total OPEB Liability ("TOL"), the Net OPEB Liability ("NOL") and the Fiduciary Net Position ("FNP"). For the fiscal year ended December 31, 2021, the TOL is $60,138,427 with a FNP of $20,959,701, resulting in a NOL of $39,178,726. The FNP is currently at 34.85% of TOL and is held in escrow with the South Carolina Other Retirement Benefits Trust ("SC ORBET"), a trust established for the purpose of sharing administrative and investment expenses in meeting GASB requirements.

Rates and Charges of the System

The Commissioners maintain rates of the System sufficient to meet the cash requirements of the System which include (i) System operation and maintenance expense, (ii) debt service requirements, including reserve fund payments, on bonded debt and (iii) expenditures for capital improvements not financed from Bond proceeds or contributions.

Since 1975, the Commissioners have retained Black & Veatch Corporation (the "Consulting Engineers") to prepare analyses of the revenue requirements, costs of service and rate structures of the water and wastewater systems. In preparing their studies, the Consulting Engineers review the projected requirements and consider the costs of maintaining and operating the System, required capital improvements and debt service payments. Total costs of services are allocated equitably to the various classes of customers served by each utility, taking into consideration the nature and extent of the service provided to each class. Based on studies conducted by the Consulting Engineers, the Commissioners adopted adjusted schedules of rates designed to achieve the following revenue increases shown in the table below. The last rate increase became effective on January 1, 2022.

	Percentage Rate Increase	
Effective Date	Water	Wastewater
January 1, 2014	4.5%	4.75%
January 1, 2015	4.5%	4.75%
January 1, 2016	4.5%	4.75%
January 1, 2018	3.0%	3.50%
January 1, 2019	3.0%	2.75%
January 1, 2020	3.0%	2.75%
January 1, 2021	3.0%	2.75%
January 1, 2022	5.0%	6.00%
January 1, 2023	5.0%	6.00%
January 1, 2024	5.0%	6.00%

Existing rates and charges for water and wastewater services, which were implemented January 1, 2022, are structured to recognize the results of 2021 cost studies conducted by the Consulting Engineers and other practical considerations. In connection with the approval of the 2022 annual budget, the Commissioners approved further rate increases of 5% for water and 6% for wastewater to become effective on January 1, 2023 and January 1, 2024. Reports presenting results of these studies formed the basis for the Consulting Engineers' recommendation. Comprehensive studies by the Consulting Engineers of multi-year revenue requirements, costs of service and rates, including consideration of capital project funding provided by the proceeds of bond issues, are performed periodically. The last comprehensive study was done in 2021.

Consistent with the requirements of the Bond Ordinance, it has been and continues to be the policy of the Commissioners periodically to review the rates and charges imposed upon its customers to ensure the generation of revenues sufficient to meet the cash requirements of the System described above (see Appendix C - "SUMMARY OF THE BOND ORDINANCE - Rate Covenant" and "-- Additional Covenants").

Revenues generated by the System are used in part to finance the cost of certain major water and wastewater capital improvements to the System as well as recurring annual capital improvements including replacements, extensions and minor improvements to the System's infrastructure. The levels of expenditures for improvements financed from a combination of current and retained earnings, moneys transferred from the land escrow fund and impact fees in each of the following years are specified below:

Year Ended December 31	Amount
2012	$14,093,684
2013	20,219,730
2014	4,052,441
2015	9,135,442
2016	2,196,597
2017	17,020,477
2018	48,560,297
2019	42,175,372
2020	13,184,973
2021	20,496,818

Waterworks Rates and Service Charges

Waterworks Utility
Cost of Service—Retail Water Rates
Monthly Volume Charge
Effective January 1, 2022

Water Use	Inside City	Outside City
Ccf	$/Ccf	$/Ccf
First 2	Minimum	Minimum
Over 2	$2.10	$3.97

Waterworks Utility
Monthly Minimum Charge
Effective January 1, 2022

Service Size Inches	Inside City $	Outside City $
¾	$ 13.65	$ 21.80
1	16.70	25.35
1-1/2	32.20	42.50
2	43.60	55.10
3	93.00	110.00
4	149.00	172.00
6	289.50	329.00
8	430.00	485.00
10	570.50	641.00
12	655.00	734.50

Waterworks Utility
Wholesale Water Rates
Effective March 1, 2022

Municipalities	$2.63/Ccf
Subdivisions	$2.91/Ccf

Waterworks Utility
Service Charges

Origination Fee	$35.00
Non-Pay Process Fee	$60.00
Return Visit Charge	$40.00
After Hours Surcharge	$70.00
Unauthorized Use of Curb Stop	$50.00
Return Check Charge	$30.00
Meter Replacement and Test	$70.00
Flow Search Investigation	$70.00
Municipal Association Bad Debt Collection Fee	$25.00
Meter Tampering	
1st Offense	$100.00
2nd Offense	$150.00
3rd Offense	$400.00
4th Offense	$600.00
No Access to Meter	
1st Offense	$ 0.00
2nd Offense	$ 50.00
3rd Offense	$100.00
Unauthorized Use of Tap/Bypass/Tampering	
≤ 2 inches	$ 500.00
>2 inches	$2,000.00
Unauthorized Use of Fire Service	$ 500.00
Backflow Administration Fee	$ 30.00
Late Payment Charge (Flat Fee)	$ 10.00

Water Tap and Impact Fees

The Commissioners charge a water tap fee at the time of application for water service to recover the Commissioners' costs to install water service. The Commissioners also charge water and wastewater impact fees to offset a portion of the costs of additional water and wastewater facilities necessary to meet the service requirements of new customers. These impact fees are designed to reduce the magnitude and impact of future general rate increases, while attempting to allocate in a more equitable manner the costs associated with new development by imposing a service fee upon the developer at the commencement of new development activities.

The water tap fee schedule shown below has been in effect since January 1, 1991, and the current water impact fees presented below became effective on July 1, 2018. The Commissioners have approved increases to the impact fees which will become effective on July 1, 2022 and July 1, 2023.

Tap Size	Tap Fees	Current Impact Fees	Impact Fees Effective July 1, 2022	Impact Fees Effective July 1, 2023
¾"	$ 500	$ 3,401	$ 3,555	$ 3,715
1"	1,200	5,335	5,590	5,860
1-1/2"	2,000	10,170	10,680	11,215
2"	2,200	15,972	16,785	17,645
3"	8,000	29,510	31,035	32,640
4"	14,000	48,850	51,395	54,070
6"	16,000	61,980	65,230	68,650
8"	20,000	96,800	101,865	107,200
10"	28,000	115,260	121,295	127,650
12"	34,000	140,800	148,180	155,950

On July 24, 2007, the Commissioners adopted a policy change for dedicated fire connections. This change eliminates tap and impact fees for such connections and no longer requires new dedicated fire services to be metered in order to encourage the installation of sprinkler systems for fire protection.

Wastewater Rates and Service Charges

Schedule of Rates for Retail Wastewater Service
Effective January 1, 2022

Volume charge (see notes below)

Volume (1) Ccf	**Rate** $/Ccf Inside City	Outside City
First 2 (Minimum Charge)	$33.70	$47.60
Over 2	8.87	12.60
Maximum Residential Wastewater Charge	167.64	237.86
Non-metered Flat Rate	66.52	94.22

(1) Volume billed in cubic feet (cf) for all fractional usage under a hundred cubic feet (Ccf).
(2) Billable wastewater volume for domestic class customers with a ¾", 1" or 1 ½" tap (not having a separate meter for irrigation purposes provided by the Commissioners to the property on which the customer account is located) is based on 95% of metered water usage.
(3) All other customer classes, and for those domestic class customers which do have a separate meter for irrigation purposes provided by the Commissioners to the property on which the account is located, billable wastewater volume is based on 100% of metered water usage.
(4) Wastewater charges for non-residential or multi-family accounts are based on 100% of water usage.
(5) Domestic class customers who are provided retail water service by St. Johns Water Company are billed for wastewater based on 100% of water volume.
(6) Single family residential customers without an irrigation meter will be charged no more than the maximum rate for wastewater service. Maximum charge is based on 18 Ccf of water usage (17.1 Ccf wastewater volume).

Extra Strength Surcharge

(Rate of charge for each milligram per liter of concentration over 290 milligrams per liter)

	Rate
Biochemical Oxygen Demand	$0.00447
Ultimate Oxygen Demand	$0.00447
Suspended Solids	$0.00453

Wastewater Utility Service Charges

Origination Fee	$35.00
Grease Trap Origination Fee	$30.00
Grease Trap Inspection Fee	$70.00
Late Payment Charge (Flat Fee)	$10.00
Emergency Response	$70.00
Sewer Plug	$1,200.00
Wastewater investigation fee	$200.00
Wastewater grinder fee	$40/month
Wastewater non-pay fee	$60.00

Sewer Tap, Impact and Change-in-Use Fees

A wastewater tap fee is charged at the time of application for wastewater service to recover the costs incurred by the Commissioners to install an initial service lateral to the property applying for service. The current wastewater tap fee is shown in the table below. The wastewater impact fee is based upon the number of equivalent

units in a proposed development. The current wastewater impact fee per equivalent residential unit ("ERU", defined as 400 gallons per day of domestic strength wastewater or the amount of wastewater from a single residential unit) was implemented on July 1, 2018, as shown below. The Commissioners have approved revised impact fees which will become effective July 1, 2022 and July 1, 2023.

Tap Size	Tap Fees	Current Impact Fees	Impact Fees Effective July 1, 2022	Impact Fees Effective July 1, 2023
6"	$200	$3,870	$4,060	$4,260
8"	700	3,870	4,060	4,260

Businesses opening a new wastewater account at an existing location may be subject to a one-time, non-refundable change-in-use fee to fund infrastructure costs associated with higher wastewater flows generated by the change in use of an existing facility or construction of a new facility. The current change-in-use fee which became effective July 1, 2018 is shown below. The Commissioners have approved revised change-in-use fees which will become effective July 1, 2022 and July 1, 2023.

Current Change-in-Use Fee	Change-in-Use Fee Effective July 1, 2022	Change-in-Use Fee Effective July 1, 2023
$3,370	$3,560	$3,760

Wholesale Wastewater Service

Customer Class	**Rate**
James Island PSD (Effective January 1, 2020)	
Master Metered Rate	$3.701/1,000 Gallons applied to PSD share of Total Flow (allocation rate of 68.01%)
Master Metered Transportation	$22.16/Equivalent Residential Unit/Month
Non-Master Metered Treatment and Transportation	$61.31/Equivalent Residential Unit/Month

Based on a 2020 wholesale rate study, it was determined that a wholesale rate increase was needed for the towns of Hollywood, Ravenel and Meggett as there had been major improvements made to the wastewater plant and collection systems. Because the study indicated a rather substantial increase, the Commissioners elected to implement the increase over a 3-year period:

January 1, 2021 the rate increased from $2.81/Ccf to $3.19/Ccf
January 1, 2022 the rate increased to $3.62/Ccf
January 1, 2023 the rate will increase to $4.09/Ccf

Town of Hollywood

Under the terms of a 2003 agreement with the Town of Hollywood, the Commissioners provide wholesale wastewater transportation and treatment services to the Hollywood/Petersfield area at a current rate of $3.19/Ccf applied to the Town's share of total flow through a master meter located near the point of discharge to the System. CPW also provides retail customer billing and collection services. The Town is responsible for the operation and maintenance of its wastewater collection system.

Town of Ravenel

Under the terms of a 2006 agreement with the Town of Ravenel, the Commissioners provide wholesale wastewater transportation and treatment services to the Ravenel area at a current rate of $3.19/Ccf. CPW also provides retail customer billing and collection services. The Town of Ravenel is responsible for the operation and

maintenance of its wastewater collection system. The Town approved a rate and fee schedule in March 2008, finalized billing procedures in November 2008, and the first customer signed up for service in December 2008.

Town of Meggett

Under the terms of an April 2010 agreement with the Town of Meggett, the Commissioners provide wholesale wastewater transportation and treatment services to the Meggett area at a current rate of $3.19/Ccf. CPW also provides retail wastewater billing and collection services for Meggett. The Town of Meggett is responsible for the operation and maintenance of its wastewater collection system.

THE CAPITAL IMPROVEMENTS PROGRAM

The Capital Improvements Program (hereinafter, "CIP") consists of recommended master plan improvements and expansions to water and wastewater infrastructure for the years 2022 through 2027. The CIP was developed by the staff of the Commissioners based upon the latest master planning undertaken by the staff and the Consulting Engineers. The CIP was adopted by the Commissioners in 2021. The CIP is designed to accommodate projected growth within the service area, address needs for continued regulatory compliance, and from an asset management perspective, includes substantial funds for rehabilitation and replacement of aging infrastructure.

The construction schedule for the various improvements included in the CIP was determined on the basis of relative need and importance of each such improvement, the time required for planning and design work, and the extent to which modifications can be effected on existing facilities. The CIP anticipates that a total of $310,389,000 in improvements will be financed out of proceeds of the Series 2022 Bonds and future revenue bonds, as well as from current and future revenues and funds of the System.

The CIP contains $148,389,000 for major improvements to the water utility that includes expansion of capacity at the Hanahan Water Treatment Plant from 115.4 MGD to 127.4 MGD to meet projected peak day water demands; an aluminum sulfate (alum) residuals solar dryer facility to reduce or eliminate the risk of rapidly changing requirements and increasing fees for alum residuals disposal at landfills; transmission main extensions to help meet growth and fire flow demands in retail and wholesale service areas; and various water infrastructure relocation needs associated with road and drainage improvement projects. The CIP also includes funding to purchase a raw water tunnel and property from INEOS in the Cainhoy area for the site of a future water treatment plant. The CIP further includes improvements to the Hanahan Water Treatment Plant and to the water distribution system to ensure available capacity to meet water demands associated with growth and fire protection and to comply with a variety of increasing regulatory requirements.

The CIP contains $157,000,000 for major improvements to the wastewater utility that includes a new effluent pump station at the Plum Island Wastewater Treatment Plant to discharge treated effluent during periods of peak flow and/or high tide events; a biosolids thermal dryer facility to reduce or eliminate the risk of rapidly changing requirements and increasing fees for biosolids disposal at landfills; extension of the West Ashley Sewer Tunnel to transport a projected buildout peak flow of 56 MGD from the West Ashley and John's Island service areas, and the service areas of wholesale customers Hollywood, Ravenel and Meggett; rehabilitation of collection system infrastructure; collection system extensions to help meet growth demands; and various sewer infrastructure relocation needs associated with road and drainage improvement projects. The CIP further includes improvements to the Plum Island Wastewater Treatment Plant and to the wastewater collection system to ensure available capacity to handle projected growth-related wastewater flows and to comply with more stringent regulatory requirements.

The CIP contains $5,000,000 for renovations to the Commissioners' St. Philip Street headquarters building that includes improvements to mechanical, electrical and roofing systems; lighting, audio-visual and information technology upgrades; and reconfiguration of work spaces, conference rooms and common areas. These improvements will increase building efficiency and ensure the ability of the Commissioners to continue to serve customers from the St. Philip Street location.

SUMMARY OF REVENUES AND EXPENSES OF THE COMMISSIONERS OF PUBLIC WORKS

The following summary (stated in thousands) is based upon audited financial statements for the years 2017 through 2021. See Appendix A for the financial statements of the Commissioners at December 31, 2020 and 2021, including the Statement of Revenues, Expenses and Changes in Net Position for the year then ended, and the auditors' report thereon. See "Management's Discussion of Recent Operating Results" herein for a description of financial information for the fiscal year ended December 31, 2021.

	2017	2018	2019	2020	2021
Revenues					
Net water revenues	$ 72,298	$ 75,005	$ 81,191	$ 81,185	$ 87,352
Net wastewater revenues	59,753	62,185	66,547	68,827	71,551
Origination Fees	1,099	1,067	1,050	1,250	1,242
Collection Fees	1,070	1,070	1,100	1,123	1,156
Investment Income	1,633	3,648	8,599	5,171	608
Gain (Loss) on Sale of Fixed Assets	726	3,875	3,641	84	204
Other operating revenues	6,160	7,183	8,983	5,612	5,998
Total Operating Revenues	$142,737	$154,031	$171,111	$163,253	$168,111
Expenses					
Water	$ 38,258	$ 42,338	$ 45,108	$ 48,582	$ 46,681
Wastewater	25,806	28,024	32,179	33,165	33,191
Contribution to City	1,095	1,095	1,095	1,095	1,095
Depreciation	33,037	34,922	36,266	38,935	40,863
Interest, Principally Revenue Bonds	17,646	15,525	22,436	21,223	21,175
Total Operating Expenses	$115,842	$121,905	$137,083	$143,000	$143,005
Net Income before contributions	$ 26,895	$ 32,127	$ 34,028	$ 20,253	$ 25,106
Contribution to City of Charleston, Depreciation, Amortization and Interest Expense	$ 51,689	$ 51,509	$ 59,735	$ 61,120	$ 63,055
Unrealized (Gain) Loss	1,558	(25)	(2,060)	(514)	543
Restricted Use Investment Income	(1,756)	(1,743)	(4,602)	(3,394)	(778)
Net Revenues Available for Debt Service	$ 78,386	$ 81,867	$ 87,102	$ 77,465	$ 87,926
Capital Contributions	$ 34,415	$ 31,173	$ 27,992	$ 34,010	$ 35,500
Systems Contributed by Developers	(20,665)	(14,532)	(11,099)	(15,673)	(21,937)
Gain (Loss) on Sale of Fixed Assets	(726)	(3,875)	(3,641)	(84)	(204)
Net Earnings (1)	$ 91,411	$ 94,634	$100,353	$ 95,718	$101,285
Net Earnings Coverage of Bond Debt Service (1)	200%	207%	228%	195%	210%

(1) As defined in the Bond Ordinance.

Management's Discussion of Recent Operating Results

In 2021, total assets increased by $18.33 million, or 0.97%, when compared to 2020 totals, while total liabilities decreased by $1 million, or 0.12%, over 2020. Operating revenue in 2021 experienced an increase of $8.8 million, or 5.6%, from fiscal year 2020. Water and wastewater rates increased by 3% and 2.75%, respectively, in the 2021 fiscal year. Wholesale water rates increased during the 2021 fiscal year. Operating expenses increased by $53.5 thousand, or 0.04%, over 2020.

Unaudited figures for 2022 through April 30, 2022 show an increase of $2.6 million, or 10.42%, in water sales and $1.8 million, or 8.29%, in wastewater sales compared to the same period in 2021. At April 30, 2022, unaudited water and wastewater operating expenses were below budget projections by 26.5% and 20.9%, respectively.

REPORT OF CONSULTING ENGINEERS

The Report of the Consulting Engineers entitled "Bond Report – Waterworks and Sewer System Capital Improvement Revenue Bonds, Series 2022" issued on June 1, 2022 (the "2022 Report") sets forth the projected revenue and overall rate requirements of the water system and wastewater system components of the System for each of the six fiscal years from 2022 through 2027 (the "Study Period"). The following summarizes the 2022 Report which is available by contacting Black & Veatch Corporation at whiteam@bv.com.

The projections of operating results included in the 2022 Report are based on assumptions of future events. The assumptions were reviewed with and approved by the Commissioners and are based on circumstances and information available at the time the 2022 Report was prepared. While the Consulting Engineers believe that the considerations and assumptions used constituted reasonable bases for the preparation of the projections, the achievement of the projected operating results is dependent upon the occurrence of future events that cannot be assured.

Based on information reviewed, analyses performed and assumptions made with respect to the water and wastewater systems set forth in the 2022 Report, the Consulting Engineers concluded, in part, that the projected operating and capital program costs and bond coverage requirements can be financed during the Study Period, with revenue increases of 5% in each year from 2023 through 2027 for the water system, and 6% in each year from 2023 through 2027 for the wastewater system. Supporting cash flow analyses are presented in the following tables.

Line No.	Description	Year Ending December 31,					
		2022	2023	2024	2025	2026	2027
		$000s	$000s	$000s	$000s	$000s	$000s
1	Total Water Sales Revenue	90,599	95,772	100,953	106,414	112,173	118,243
2	Other Utility Income	6,477	6,461	6,464	6,467	6,472	6,477
3	Total Income	97,076	102,234	107,417	112,881	118,644	124,720
4	Operations & Maintenance Expense	61,956	65,124	67,607	69,577	71,773	74,561
5	Net Operating Income	35,121	37,110	39,809	43,304	46,872	50,159
6	Total Net Bond Debt Service (a)	17,687	19,571	19,373	18,027	19,456	23,803
7	Deferred and Net Recurring Annual Capital Improvements	21,498	7,045	7,045	8,645	8,645	8,645
8	Payments to the City of Charleston	764	981	996	1,011	1,026	1,041
9	Transfer to Major Capital Improvement Financing	5,000	5,000	5,000	5,000	5,000	5,000
10	Annual Balance from Operations	(9,829)	4,513	7,396	10,621	12,745	11,671
11	Net Balance Available at Beginning of Year (b)	98,009	88,180	92,693	100,089	110,710	123,455
12	Cumulative Net Balance Available at End of Year	88,180	92,693	100,089	110,710	123,455	135,126

(a) Bond Debt Service recognizes projected principal and interest requirements when scheduled to be deposited to the debt service funds.
(b) The Net Balance Available at Beginning of Year is the water utility share of available monies in the Operating Fund.

Line No.	Description	Year Ending December 31, 2022	2023	2024	2025	2026	2027
		$000s	$000s	$000s	$000s	$000s	$000s
1	Total Wastewater Charge Revenue	76,475	81,414	86,636	92,193	98,106	104,399
2	Other Utility Income	2,881	2,875	2,873	2,870	2,867	2,866
3	Total Income	79,356	84,290	89,509	95,063	100,973	107,264
4	Operations & Maintenance Expense	43,727	45,323	47,170	48,467	50,022	51,944
5	Net Operating Income	35,629	38,967	42,339	46,596	50,951	55,320
6	Total Net Bond Debt Service (a)	31,438	33,527	38,067	43,126	45,501	46,685
7	Deferred and Net Recurring Annual Capital Improvements	20,831	7,222	7,222	7,222	7,222	7,222
8	Payments to the City of Charleston	764	981	996	1,011	1,026	1,041
9	Transfer to Major Capital Improvement Financing	3,000	3,000	3,000	3,000	3,000	3,000
10	Annual Balance from Operations	(20,404)	(5,763)	(6,945)	(7,762)	(5,798)	(2,628)
11	Net Balance Available at Beginning of Year (b)	88,254	67,850	62,087	55,142	47,379	41,581
12	Cumulative Net Balance Available at End of Year	67,850	62,087	55,142	47,379	41,581	38,953

(a) Bond Debt Service recognizes projected principal and interest requirements when scheduled to be deposited to the debt service funds.
(b) The Net Balance Available at Beginning of Year is the water utility share of available monies in the Operating Fund.

The Consulting Engineers' 2022 Report projections of Net Earnings and bond coverage ratios are set forth in the following table.

Line No.	Description	Year Ending December 31, 2022	2023	2024	2025	2026	2027
		$000s	$000s	$000s	$000s	$000s	$000s
	Debt Service Coverage - Combined Wastewater and Water						
1	Annual Principal and Interest, Parity Debt Only (a)	49,133	53,107	57,450	61,165	64,969	70,501
2	Net Earnings - Water (b)	39,304	40,294	42,994	46,489	50,057	53,346
3	Net Earnings - Wastewater (b)	41,794	44,534	47,908	52,167	56,523	60,895
4	Combined Net Earnings	81,098	84,828	90,902	98,656	106,581	114,240
5	Current Coverage (Must be at least 120%)	165.06%	159.73%	158.23%	161.30%	164.05%	162.04%
6	Additional Bonds Test (Must be at least 120%)	206.14%	169.88%	164.49%	165.37%	168.55%	167.48%

(a) Annual Principal and Interest, Parity Debt Only recognizes projected principal and interest requirements when scheduled to be deposited to the debt service funds.
(b) Net Earnings calculations include Net Operating Income less projected revenue from the sale of assets, plus projected interest earnings on the Debt Service Funds, Debt Service Reserve Funds, and Depreciation & Contingent Funds, plus impact and tap fees.

As shown in the above table, projected annual coverage of parity debt satisfies the bond covenant's annual rate test requirements of 120% in each of the years examined. Further, the Commissioners' long established target coverage levels of 140% are also exceeded in all years. Additionally, required historical and projected annual coverage of parity debt to satisfy the Additional Bonds test requirements for issuance of the Series 2022 Bonds were examined. The results of this examination indicate that target coverage levels of at least 140% (compared to the lesser 120% minimum requirement specified in the bond covenant) are projected to be exceeded in all years.

For the water and wastewater systems to operate effectively as utility enterprises, and to secure and enhance the marketability of projected revenue bond issues, the Commissioners have long considered it both fiscally prudent and appropriate to provide a working capital reserve to accommodate normal fluctuations in expenditures for utility operations. The analyses presented in the 2022 Report assume a minimum working capital balance equal to 60 days operation and maintenance expense. Based on the Cumulative Net Balance Available at End of Year in the above tables from the 2022 Report, the working capital balance ranges from a minimum of 768 days to a maximum of 816 days during the Study Period.

In accordance with bond covenant provisions, the Commissioners have also long maintained a Depreciation and Contingent Fund to provide immediate stand-by funding for unforeseen emergency needs, such as the repair of possible severe storm damage to the utility systems or the replacement of major facilities that might fail unexpectedly. At the direction of the Commissioners, provision for funding in the amount of $19.7 million is recognized for the analyses presented in the 2022 Report.

Based on the financial studies and the assumptions in the 2022 Report related to the System, the Consulting Engineers believe that the System's projected capital improvement and replacement program and financing plans meet the requirements of the Bond Ordinance, and therefore are sound for purposes of supporting the Series 2022 Bonds.

THE SERVICE AREA

Description of the Service Area

The System extends throughout much of Charleston County and into the lower portions of both Berkeley and Dorchester Counties. The water service area comprises 455 square miles and includes the municipalities of Charleston, North Charleston, Hanahan, James Island, Folly Beach, Sullivan's Island, Goose Creek, Lincolnville, Hollywood, Meggett and Ravenel and a portion of the water used by the Town of Mt. Pleasant and the City of Isle of Palms, as well as the unincorporated areas of West Ashley, James Island, Johns Island, the Cainhoy Peninsula, the southern portions of Berkeley and Dorchester Counties and Joint Base Charleston. The Towns of Kiawah Island and Seabrook Island are served indirectly through wholesale water sales to St. Johns Water Company. The Commissioners currently supply potable water to a population of approximately 522,000. The sewer service area is located primarily within the corporate limits of the City of Charleston as well as James Island Public Service District (which includes service to the Town of Folly Beach and portions of James Island), St. Andrews Public Service District and portions of Johns Island with wholesale contractual service provided to the Towns of Hollywood, Ravenel and Meggett. For additional information regarding the service area, see Appendix B - "SUPPLEMENTAL INFORMATION CONCERNING THE SERVICE AREA".

Description of the Major Municipalities

The City is located on the southeastern coast of South Carolina and is the major coastal city and principal seaport of the State. The first settlement of Charleston took place in 1670 on the east banks of the Ashley River. In 1680 the settlement was moved to the peninsula formed by the convergence of the Ashley and Cooper Rivers. In 2010, the City had a population of 120,083 as reported by the Bureau of the Census, making it the second largest city in the State. In 2020, the City had a population of 150,227, making it the largest city in the State. The City serves as the county seat of Charleston County.

The City of North Charleston was incorporated in 1972. It had a population of 97,471 in 2010 and a population of 114,852 in 2020, as reported by the Bureau of the Census, making it the State's third largest incorporated municipality.

The Town of Mt. Pleasant, which became a wholesale water customer of the Commissioners in 1997, had a population of 67,843 in 2010 and a population of 90,801 in 2020, as reported by the Bureau of the Census, making it the State's fourth largest incorporated municipality.

The City of Isle of Palms and the Town of Sullivan's Island, which became wholesale water customers of the Commissioners in 1997 and 1996, respectively, are beach front communities which experience seasonal growth in water demand during the summer rental season. Both municipalities have an established base of year-round residents.

Military Installations

The military has continued to be a significant presence in the area even after the 1995 closure of much of the Charleston Naval Complex. A 2017 statewide study conducted by the University of South Carolina and the South Carolina Military Base Task Force estimated the annual economic impact to be nearly $11 billion with more than 68,000 jobs supported. Joint Base Charleston remains the single largest employer in the region, employing 22,000 uniformed, civilian, and reservist personnel located within the Naval Weapons Station, the Navy Nuclear Power Training School, and the Naval Information Warfare Center (NIWC). Joint Base Charleston is home to the 437th Airlift Wing and its squadrons of C-17 transport planes, the 628th Air Base Wing and the 315th Airlift Wing

(the reserve unit). These planes play a vital role of carrying supplies to active-duty troops stationed all over the world.

The U.S. Coast Guard operates a station in Charleston, as well. At the 2020 annual State of the Coast Guard address, Charleston was identified as a future Coast Guard operational center of gravity. The Admiral indicated the Coast Guard plans to make Charleston a base for new assets and infrastructure including the first Offshore Patrol Cutter that will comprise almost seventy percent of the Coast Guard's offshore presence. This announcement comes on the heels of a 2019 announcement that five National Security Cutters will be located at a new "superbase" located in Charleston by 2024.

Transportation

Port of Charleston

The region's economic base includes the Port of Charleston, which is the fifth largest port in dollar value of goods handled along the east and Gulf Coasts and sixth among all seaport districts in the United States. The Port is considered among the most efficient in the nation for its cargo handling systems. In December 2019, the Port was recognized by the Journal of Commerce (JOC) as the No. 1 for overall productivity in the midsize ports category for North American ports. In addition, the Wando Welch Terminal was named No. 1 for overall productivity in the midsize terminals category (S.C. Ports Authority). The Port has worked to position itself for growth with a six-year, multi-billion-dollar capital improvement plan. The list of major capital improvement projects includes the construction of the new Hugh K. Leatherman Sr. Terminal on the former Naval Base, deepening the harbor to 52 feet, and other road/rail access and terminal modernization projects. Phase I of the new 280-acre terminal opened in March of 2021, marking history as the nation's newest container terminal in over 10 years. At completion, the terminal is expected to double Charleston's total container capacity. The new terminal, coupled with multiple rail enhancements including the planned Navy Base Intermodal Container Transfer Facility, will help to augment the success of the new port terminal.

The Port of Charleston handled 2.55 million twenty-foot equivalent units for the first time in its history of operation in fiscal year 2021 (ending on June 30, 2021). At the beginning of fiscal year 2021, container volumes were negatively impacted by pandemic-related supply-chain disruptions, however, a positive shift in consumer spending on retail and home goods prompted a surge in imports. The SCPA economic impact for the Lowcountry region is estimated at $7.8 billion and supports nearly 28,000 jobs and $1.5 billion in labor income in the eight-county region.

Charleston International Airport

The Charleston International Airport serves the Charleston MSA and surrounding region. The airport, located in the City of North Charleston, is currently being served by ten commercial airlines and is classified as a "small hub" by the Federal Aviation Administration. During 2021, airline carriers at the Charleston International Airport enplaned approximately 2,082,169 passengers and deplaned approximately 2,099,419 passengers. During the six-month period from July – December, 2021, the numbers of enplaned and deplaned passengers were 102% and 101%, respectively, of the numbers of enplaned and deplaned passengers during the same six-month period of 2019. Additionally, during the month of July 2021, the Charleston International Airport had its busiest month from the last 5 years with approximately 245,416 enplaned passengers and 245,094 deplaned passengers. During the first two months of 2022, airline carriers at Charleston International Airport enplaned and deplaned a total of approximately 561,173 passengers, an increase of more than 125% over the same two-month period of 2021.

Rail Service

The CSX System and the Norfolk Southern Railway System are the mainline railroads serving the area. The South Carolina Public Railway Commission operates two belt lines, one to the downtown waterfront and the other to North Charleston. Passenger service is provided by Amtrak which has a station in North Charleston.

Other Resources

Tourism is a vital part of the economy in Charleston. The City was named the "No. 1 City in the U.S. and Canada" by Travel + Leisure World's Best Awards for nine consecutive years (2013 through 2021). Charleston has received the similar designation of "Best Small City in the U.S." from Condé Nast Traveler Reader's Choice Awards ten years straight (2011 through 2020). Travel + Leisure magazine readers also designated Charleston as the No. 12 City in the world. In March of 2022, Southern Living magazine named Charleston, for the 7th year in a row, the "Best City in the South."

The historic character, architecture, moderate climate and coastal location of Charleston all make the area a major national tourist attraction. The College of Charleston Office of Tourism Analysis estimates that 7.2 million tourists visited Charleston in 2021, with a $10.6 billion economic impact.

The Medical University of South Carolina has its campus in Charleston. The Medical University consists of six academic colleges (medicine, dental medicine, nursing, pharmacy, health professions and graduate studies) that award graduate and undergraduate degrees exclusively in the fields of health and biomedical sciences. The programs of the Medical University are enhanced by the institution's participation in the Charleston Higher Education Consortium, which also includes the College of Charleston, The Citadel, Trident Technical College, Clemson University, Charleston Southern University and South Carolina Wildlife and Marine Resources Center.

Despite the pandemic, the Charleston area housing market hit record-level sales in 2020 with an increase over 2019 sales of $1.38 billion. According to the most recent report (November 2021) from the Charleston Trident Association of Realtors, the median sales price of homes increased by 14.4% year-over-year, while there is less than a one month supply of available homes on the market. In the 3rd quarter of 2021, the median single-family home sales price rose 16% to $363,700.

See Appendix B for a further discussion of the service area.

CERTAIN INVESTMENT CONSIDERATIONS

Climate Change and Natural Disasters

The State of South Carolina is naturally susceptible to the effects of extreme weather events and natural disasters including floods, droughts, and hurricanes which could result in negative economic impacts on coastal communities like the City. Such effects can be exacerbated by a longer-term shift in the climate over several decades (commonly referred to as climate change), including increasing global temperatures, rainfall intensification and rising sea levels. The occurrence of such extreme weather events could damage the assets of the Commissioners. The economic impacts resulting from such extreme weather events could include a loss of property values, a decline in revenues of the System and escalated recovery costs. No assurance can be given as to whether future extreme weather events will occur that could materially impair the financial condition of the Commissioners or damage the System.

To limit the potential damage, the Commissioners have improved the Plum Island Wastewater Treatment Plant facilities located on Charleston Harbor by moving electrical equipment above the 100-year flood zone elevation. The Commissioners completed the new Customer Technology Center ("CTC") in 2022 which will house the Customer Service, Information Technology, Facilities and SCADA departments adjacent to the Hanahan Water Treatment Plant which is located 20 miles inland at an elevation of approximately 30 feet above sea level. Additionally, a dedicated Data Center has been built to house the critical information technology infrastructure on high ground adjacent to the CTC. The CTC is designed to withstand sustained winds of up to 180 miles per hour and will serve as the Commissioners' Emergency Operations Center during natural disasters such as hurricanes.

Cyber Security

Computer networks and systems used for data transmission and collection are vital to the efficient operations of the Commissioners. The Commissioners' information systems provide support to departmental

operations and customer services by collecting and storing sensitive data, including intellectual property, security information, proprietary business process information, information applying to suppliers and businesses, and personally identifiable information of customers, businesses and employees. The secure processing, maintenance and transmission of this information is critical to departmental operations and the provision of the Commissioners' services. Increasingly, governmental entities are being targeted by cyberattacks seeking to obtain confidential data or disrupt critical services. A rapidly changing cyber risk landscape may introduce new vulnerabilities that attackers/hackers can exploit in attempts to effect breaches or service disruptions. Employee error and/or malfeasance may also contribute to data loss or other system disruptions. Any such breach could compromise networks and the confidentiality, integrity and availability of systems and the information stored there. The potential disruption, access, modification, disclosure or destruction of data could result in interruption of the efficiency of the Commissioners' commerce, initiation of legal claims or proceedings, liability under laws that protect the privacy of personal information, regulatory penalties, disruptions in operations and the services provided, and the loss of confidence in the Commissioners' operations, ultimately adversely affecting the revenues of the System.

The Commissioners maintain a comprehensive information security program to protect the confidentiality, integrity, and availability of the Commissioners' critical information systems and sensitive data. The solution is designed to assess and mitigate current threats and the risk of data breaches. An Information Technology Security Manager is employed by the Commissioners to manage the information security program. The Commissioners have a cyber security insurance policy in place to minimize financial loss from cyber security related claims and provide forensic analysis when needed.

COVID-19

The COVID-19 pandemic altered the behavior of businesses, government and people in a manner that had detrimental effects on global and local economies, including the City's economy. In addition, global financial markets experienced significant volatility attributed to concerns over COVID-19. The pandemic did not, however, have a material financial impact on the CPW's operations.

In 2010, the CPW's Pandemic Plan Team established a pandemic policy for preparation for and response to a pandemic event in order to establish essential functions and personnel for the System in order to protect the health of associates, sustain operations and fulfill the Commissioners' mission statement.

When the Governor of South Carolina ordered the suspension of water and wastewater cut-offs amid the COVID-19 pandemic in 2020, the monthly accounts receivable balance increased as a result. The order was lifted in August of 2020 and the accounts receivable continued to rise temporarily; however, by early 2021, the CPW had returned to more normalized accounts receivable. By early 2021, the CPW had also experienced a return to more normal rate class distributions with a shift from the pandemic-driven concentration of domestic consumption during 2020.

LITIGATION

No litigation is pending or, to the knowledge of the City or the Commissioners, threatened in any court to restrain or enjoin the issuance or delivery of any of the Series 2022 Bonds or the collection of revenues pledged to pay the principal of and interest on the Series 2022 Bonds, or in any way contesting or affecting the validity of the Series 2022 Bonds, the Bond Ordinance or the power to collect and pledge revenues to pay the Series 2022 Bonds or contesting the power or authority of the City to issue the Series 2022 Bonds.

LEGAL MATTERS

The issuance of the Series 2022 Bonds is subject to the approval of legality by Haynsworth Sinkler Boyd, P.A., Charleston, South Carolina, Bond Counsel. Certain legal matters in connection with the Series 2022 Bonds are subject to the approval of Burr & Forman LLP, Charleston, South Carolina, counsel to the Commissioners. Haynsworth Sinkler Boyd, P.A., Charleston, South Carolina, is acting as Disclosure Counsel, and Howell Linkous &

Nettles, LLC, Charleston, South Carolina, is serving as counsel to the Underwriters. Certain legal matters will be passed upon for the City by the Office of Corporation Counsel of the City. Haynsworth Sinkler Boyd, P.A. and Burr & Forman LLP each from time to time represent the Underwriters or their affiliates and the Trustee in matters unrelated to the transaction in which the Series 2022 Bonds are being reoffered.

EXPERTS

The audited financial statements in Appendix A have been included in reliance upon the reports set forth and upon the authority of Mauldin & Jenkins, L.L.C., independent auditors, as an expert in their field.

The Commissioners have retained PFM Financial Advisors LLC, Orlando, Florida as Financial Advisor in connection with the preparation of the Commissioners' plan of financing and with respect to the issuance of the Series 2022 Bonds. The Financial Advisor is not obligated to undertake and has not undertaken to make an independent verification of the accuracy, completeness or fairness of the information contained in this Official Statement.

TAX MATTERS

Federal Income Tax Generally

On the date of issuance set forth on the front cover hereof (the "Date of Issuance"), Bond Counsel will render an opinion that, assuming continuing compliance by the City with the requirements of the Code and the Regulations, and further subject to certain considerations described in "Collateral Federal Tax Considerations" below, under existing statutes, regulations and judicial decisions, interest on the Series 2022 Bonds is excludable from the gross income of the registered owners thereof for federal income tax purposes. Interest on the Series 2022 Bonds will not be treated as an item of tax preference for purposes of the federal alternative minimum tax. The Code contains other provisions that could result in tax consequences, upon which no opinion will be rendered by Bond Counsel, as a result of (i) ownership of the Series 2022 Bonds or (ii) the inclusion in certain computations of interest that is excluded from gross income.

The opinion of Bond Counsel will be limited to matters relating to the authorization and validity of the Series 2022 Bonds and the tax-exempt status of interest on the Series 2022 Bonds as described herein. Bond Counsel makes no statement regarding the accuracy and completeness of this Official Statement.

The opinion of Bond Counsel is based on current legal authority, covers certain matters not directly addressed by such authorities, and represents Bond Counsel's judgment as to the proper treatment of the Series 2022 Bonds for federal income tax purposes. Bond Counsel's opinions are based upon existing law, which is subject to change. Such opinions are further based on factual representations made to Bond Counsel as of the date thereof which have not been independently verified by Bond Counsel. Bond Counsel assumes no duty to update or supplement its opinions to reflect any facts or circumstances that may thereafter come to Bond Counsel's attention or to reflect any changes in law that may thereafter occur or become effective. Moreover, Bond Counsel's opinions are not a guarantee of a particular result, and are not binding on the IRS or the courts; rather, such opinions represent Bond Counsel's professional judgment based on its review of existing law, and in reliance on the representations and covenants that it deems relevant to such opinions.

The opinion of Bond Counsel described above is subject to the condition that the City comply with all requirements of the Code and the Regulations, including, without limitation, certain limitations on the use, expenditure and investment of the gross proceeds of the Series 2022 Bonds and the obligation to rebate certain earnings on investments of such gross proceeds to the United States Government, that must be satisfied subsequent to the issuance of the Series 2022 Bonds in order that interest thereon be, or continue to be, excluded from gross income for federal income tax purposes. The City has covenanted to comply with each such requirement. Failure to comply with certain of such requirements may cause the inclusion of interest on the Series 2022 Bonds in gross income for federal income tax purposes retroactive to the Date of Issuance of the Series 2022 Bonds. The opinion of Bond Counsel delivered on the Date of Issuance of the Series 2022 Bonds is conditioned on compliance by the City

with such requirements, and Bond Counsel has not been retained to monitor compliance with the requirements subsequent to the issuance of such Series 2022 Bonds.

Collateral Federal Tax Considerations

Prospective purchasers of the Series 2022 Bonds should be aware that ownership of tax-exempt obligations may result in collateral federal income tax consequences to certain taxpayers, including, without limitation, financial institutions, property and casualty insurance companies, life insurance companies, certain foreign corporations, certain S corporations, individual recipients of Social Security or Railroad Retirement benefits and taxpayers who may be deemed to have incurred or continued indebtedness to purchase or carry tax-exempt obligations. The Series 2022 Bonds have not been designated "bank qualified tax exempt obligations" under Section 265(b)(3) of the Code. Bond Counsel expresses no opinion concerning such collateral income tax consequences, and prospective purchasers of Series 2022 Bonds should consult their tax advisors as to the applicability thereof.

Future legislation, if enacted into law, or clarification of the Code may cause interest on the Series 2022 Bonds to be subject, directly or indirectly, to federal income taxation, or otherwise prevent owners from realizing the full current benefit of the tax status of such interest. The introduction or enactment of any such future legislation or clarification of the Code may also affect the market price for, or marketability of, the Series 2022 Bonds. Prospective purchasers of the Series 2022 Bonds should consult their own tax advisers regarding any pending or proposed federal tax legislation, as to which Bond Counsel expresses no opinion.

The IRS has established an ongoing program to audit tax-exempt obligations to determine whether interest on such obligations is includible in gross income for federal income tax purposes. Bond Counsel cannot predict whether the IRS will commence an audit of the Series 2022 Bonds. Bond Counsel's engagement with respect to the Series 2022 Bonds ends with the issuance of the Series 2022 Bonds, and, unless separately engaged, Bond Counsel is not obligated to defend the City or the Owners regarding the tax-exempt status of the Series 2022 Bonds in the event of an audit examination by the IRS. Under current procedures, parties other than the City and its appointed counsel, including the Owners, would have little, if any, right to participate in the audit examination process. Moreover, because achieving judicial review in connection with an audit examination of tax-exempt bonds is difficult, obtaining an independent review of IRS positions with which the City legitimately disagrees may not be practicable. Any action of the IRS, including but not limited to selection of the Series 2022 Bonds for audit, or the course or result of such audit, or an audit of bonds presenting similar tax issues may affect the market price for, or the marketability of, the Series 2022 Bonds, and may cause the City or the Owners to incur significant expense, regardless of the ultimate outcome. Under certain circumstances, the City may be obligated to disclose the commencement of an audit under the Continuing Disclosure Agreement. See "CONTINUING DISCLOSURE" herein.

Original Issue Premium

The Series 2022 Bonds have been sold at initial public offering prices which are greater than the amounts payable at maturity. An amount equal to the excess of the purchase price of the Series 2022 Bonds over their stated redemption prices at maturity constitutes premium on such Series 2022 Bonds. A purchaser of a Series 2022 Bond must amortize any premium over the earlier of (i) such Series 2022 Bond's term or (ii) the first optional redemption date for such Series 2022 Bonds using constant yield principles, based on the purchaser's yield to maturity or earlier redemption, as applicable. As premium is amortized, the purchaser's basis in such Series 2022 Bond is reduced by a corresponding amount, resulting in an increase in the gain (or decrease in the loss) to be recognized for federal income tax purposes upon a sale or disposition of such Series 2022 Bond prior to its maturity. Even though the purchaser's basis is reduced, no federal income tax deduction is allowed. Purchasers of any Series 2022 Bonds at a premium, whether at the time of initial issuance or subsequent thereto, should consult with their own tax advisors with respect to the determination and treatment of premium for federal income tax purposes and with respect to state and local tax consequences of owning such Series 2022 Bonds.

State Tax Exemption

Bond Counsel is of the further opinion that the Series 2022 Bonds and the interest thereon are exempt from all taxation by the State of South Carolina, its counties, municipalities and school districts except estate, transfer or

certain franchise taxes. Interest paid on the Series 2022 Bonds is currently subject to the tax imposed on banks by Section 12-11-20 of the Code of Laws of South Carolina 1976, as amended, which is enforced by the South Carolina Department of Revenue as a franchise tax. The opinion of Bond Counsel is limited to the laws of the State of South Carolina and federal tax laws. No opinion is rendered by Bond Counsel concerning the taxation of the Series 2022 Bonds or the interest thereon under the laws of any other jurisdiction.

CONTINUING DISCLOSURE

Pursuant to a Disclosure Dissemination Agent Agreement (the "Continuing Disclosure Agreement") to be dated as of the date of delivery of the Series 2022 Bonds among the City, the CPW and Digital Assurance Certification, L.L.C. ("DAC"), the City and the CPW will covenant for the benefit of the registered owners and the "Beneficial Owners" (as defined in the Continuing Disclosure Agreement) of the Series 2022 Bonds to provide certain financial information and operating data relating to the System by not later than seven months after the end of each of the City's fiscal years, commencing with the report for the fiscal year ending December 31, 2022 (the "Annual Report"), and to provide notices of the occurrence of certain enumerated events with respect to the Series 2022 Bonds, if material. The Annual Report and the notices of material events will be filed on behalf of the City and the CPW by DAC, as dissemination agent, with the Municipal Securities Rulemaking Board through its Electronic Municipal Market Access ("EMMA") system. The specific nature of the information to be contained in the Annual Report or the notices of material events is set forth in Appendix E – "FORM OF DISCLOSURE DISSEMINATION AGENT AGREEMENT". These covenants have been made in order to assist the Underwriters in complying with Securities and Exchange Commission Rule 15c2-12(b)(5) (the "Rule").

As provided in the Continuing Disclosure Agreement, if the City or the CPW fails to comply with any provision of the 2020 Series Ordinance relating to the continuing disclosure, any registered owner or "Beneficial Owner" of the Series 2022 Bonds may take such actions as may be necessary and appropriate, including seeking mandamus or specific performance by court order, to cause the City and the CPW to comply with their continuing disclosure obligations under the Continuing Disclosure Agreement. "Beneficial Owner" is defined in the Continuing Disclosure Agreement to mean any person which (a) has the power, directly or indirectly, to vote or consent with respect to, or to dispose of ownership of, any Series 2022 Bonds (including persons holding Series 2022 Bonds through nominees, depositories or other intermediaries), or (b) is treated as the owner of any Series 2022 Bonds for Federal income tax purposes. If any person seeks to cause the City or the CPW to comply with their continuing disclosure obligations under the Continuing Disclosure Agreement, it is the responsibility of such person to demonstrate that it is a "Beneficial Owner" within the meaning of the Continuing Disclosure Agreement.

RATINGS

The Series 2022 Bonds have been assigned a rating of "Aaa" by Moody's Investors Service, Inc., and a rating of "AAA" by S&P Global Ratings, a business unit of Standard & Poor's Financial Services LLC. Such ratings reflect only the respective views of such organizations and an explanation of the significance of such ratings may be obtained only from the rating agency furnishing the same. There is no assurance that such ratings, when given, will continue for any given period of time or that they will not be revised downward or withdrawn entirely by any and all such rating agencies if, in the judgment of any and all, circumstances so warrant. Any such downward revision or withdrawal of such ratings may have an adverse effect on the market price of the Series 2022 Bonds.

UNDERWRITING

The Series 2022 Bonds are being purchased for reoffering by Wells Fargo Bank, National Association, BofA Securities, Inc. and Rice Financial Products Company (collectively, the "Underwriters"). The Underwriters have agreed, subject to certain conditions, to purchase the Series 2022 Bonds at an aggregate purchase price of $168,437,693.92 (which reflects original issue premium of $17,788,845.05 and Underwriters' discount of $541,151.13). The initial public offering prices are set forth on the cover page of this Official Statement. The Underwriters are obligated to purchase all of the Series 2022 Bonds, if any are purchased, such obligation being subject to certain conditions precedent.

Wells Fargo Corporate & Investment Banking (which may be referred to elsewhere as "CIB," "Wells Fargo Securities" or "WFS") is the trade name used for the corporate banking, capital markets and investment banking services of Wells Fargo & Company and its subsidiaries, including Wells Fargo Bank, National Association ("WFBNA"), a member of the National Futures Association, which conducts its municipal securities sales, trading and underwriting operations through the Wells Fargo Bank, N.A. Municipal Finance Group, a separately identifiable department of WFBNA, registered with the U.S. Securities and Exchange Commission as a municipal securities dealer pursuant to Section 15B(a) of the Securities Exchange Act of 1934.

WFNBA, acting through its Municipal Finance Group, the senior managing underwriter of the Series 2022 Bonds, has entered into an agreement (the "WFA Distribution Agreement") with its affiliate, Wells Fargo Clearing Services, LLC (which uses the trade name "Wells Fargo Advisors") ("WFA"), for the distribution of certain municipal securities offerings, including the Series 2022 Bonds. Pursuant to the WFA Distribution Agreement, WFBNA will share a portion of its underwriting or remarketing agent compensation, as applicable, with respect to the Series 2022 Bonds with WFA. WFBNA has also entered into an agreement (the "WFSLLC Distribution Agreement") with its affiliate Wells Fargo Securities, LLC ("WFSLLC"), for the distribution of municipal securities offerings, including the Series 2022 Bonds. Pursuant to the WFSLLC Distribution Agreement, WFBNA pays a portion of WFSLLC's expenses based on its municipal securities transactions. WFBNA, WFSLLC and WFA are each wholly-owned subsidiaries of Wells Fargo & Company.

BofA Securities, Inc., an underwriter of the Series 2022 Bonds, has entered into a distribution agreement with its affiliate Merrill Lynch, Pierce, Fenner & Smith Incorporated ("MLPF&S"). As part of this arrangement, BofA Securities, Inc. may distribute securities to MLPF&S, which may in turn distribute such securities to investors through the financial advisor network of MLPF&S. As part of this arrangement, BofA Securities, Inc. may compensate MLPF&S as a dealer for their selling efforts with respect to the Series 2022 Bonds.

The Underwriters intend to offer the Series 2022 Bonds to the public initially at the offering price set forth on the cover page of this Official Statement, which offering price may subsequently be changed from time to time by the Underwriters without any requirement of prior notice. The Underwriters may offer and sell the Series 2022 Bonds to certain dealers (including dealers depositing Series 2022 Bonds into investment trusts) at prices lower than the public offering price set forth on the cover page of this Official Statement.

The Underwriters and their respective affiliates are full service financial institutions engaged in various activities, which may include sales and trading, commercial and investment banking, advisory, investment management, investment research, principal investment, hedging, market making, brokerage and other financial and non-financial activities and services. Under certain circumstances, the Underwriters and their respective affiliates may have certain creditor and/or other rights against the City or the CPW and their respective affiliates in connection with such activities. In the various course of their various business activities, the Underwriters and their respective affiliates, officers, directors and employees may purchase, sell or hold a broad array of investments and actively trade securities, derivatives, loans, commodities, currencies, credit default swaps and other financial instruments for their own account and for the accounts of their customers, and such investment and trading activities may involve or relate to assets, securities and/or instruments of the City or the CPW (directly, as collateral securing other obligations or otherwise) and/or persons and entities with relationships with the City or the CPW. The Underwriters and their respective affiliates may also communicate independent investment recommendations, market color or trading ideas and/or publish or express independent research views in respect of such assets, securities or instruments and may at any time hold, or recommend to clients that they should acquire, long and/or short positions in such assets, securities and instruments.

MISCELLANEOUS

References are made herein to certain documents and reports which are brief summaries thereof which do not purport to be complete or definitive and reference is made to such documents and reports for full and complete statements of the contents thereof.

References to website addresses presented herein are for informational purposes only and may be in the form of a hyperlink solely for the reader's convenience. Unless specified otherwise, such websites and the information or links contained therein are not incorporated into, and are not part of, this Official Statement for purposes of, and as that term is defined in, SEC Rule 15c2-12.

Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and not as representations of fact. This Official Statement is not to be construed as a contract or agreement between the City and the purchasers or holders of any of the Series 2022 Bonds.

CITY OF CHARLESTON, SOUTH CAROLINA

/s/ John J. Tecklenburg
Mayor

/s/ Thomas B. Pritchard, Esq.
Chairman, Commissioners of Public Works

APPENDIX A

AUDITED FINANCIAL STATEMENTS OF THE COMMISSIONERS AND SUPPLEMENTAL INFORMATION

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COMMISSIONERS OF PUBLIC WORKS

OF THE CITY OF CHARLESTON

FINANCIAL REPORT

FOR THE YEARS ENDED DECEMBER 31, 2021 AND 2020

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COMMISSIONERS OF PUBLIC WORKS
OF THE CITY OF CHARLESTON

FINANCIAL REPORT
FOR THE YEARS ENDED DECEMBER 31, 2021 AND 2020

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MAULDIN & JENKINS
CPAs & ADVISORS

INDEPENDENT AUDITORS' REPORT

To the Commissioners of Public Works
of the City of Charleston
Charleston, South Carolina

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of the **Commissioners of Public Works of the City of Charleston** (the "Commission") as of and for the years ended December 31, 2021 and 2020, and the related notes to the financial statements, which collectively comprise the Commission's basic financial statements as listed in the table of contents.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of the Commissioners of Public Works of the City of Charleston as of December 31, 2021 and 2020, and the changes in financial position and cash flows thereof for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards* (*Government Auditing Standards*), issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Commission and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Commission's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibility for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Commission's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Commission's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control—related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, the schedule of changes in the Commission's net OPEB liability and related ratios, the schedule of OPEB contributions, the schedule of proportionate share of the net pension liability – South Carolina Retirement System, and the schedule of employer contributions – South Carolina Retirement System be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the Commission's financial statements. The accompanying schedule of water operating expenses, schedule of wasterwater operating expenses, and schedule of net earnings are presented for purposes of additional analysis and are not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the accompanying supplementary information is fairly stated, in all material respects, in relation to the financial statements as a whole.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated April 19, 2022 on our consideration of the Commission's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Commission's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Commission's internal control over financial reporting and compliance.

Mauldin & Jenkins, LLC

Columbia, South Carolina
April 19, 2022

COMMISSIONERS OF PUBLIC WORKS OF THE CITY OF CHARLESTON

MANAGEMENT'S DISCUSSION AND ANALYSIS

This Management's Discussion and Analysis (MD&A) of the Commissioners of Public Works (hereinafter referred to as Charleston Water System) provides an overview of the financial activities for the fiscal years ended December 31, 2021, 2020 and 2019. This information serves as an introduction to the financial statements. The MD&A should be read in conjunction with the audited financial statements.

Financial Highlights

Charleston Water System continued to be well positioned financially in 2021. Charleston Water System remains within its debt covenants and the more stringent financial policies and guidelines set by the Board and management. Some financial highlights from 2021 are listed below:

- In June 2021, Charleston Water System issued refunding revenue bonds with a face value of $122,480,000 which decreased the total debt service payments over 15 years by approximately $4,587,000 and produced an economic gain of $2,649,000.

- Charleston Water System's credit ratings were affirmed in June 2021 by Moody's and Standard & Poor's with ratings of Aaa and AAA, respectively. Charleston Water System's robust liquidity, ample infrastructure capacity, long-standing history of well-managed operations, healthy financial position along with a growing and economically diverse service area contributes to our continued rating results.

- Charleston Water System implemented rate increases of an average 3.0% for water and 2.75% for wastewater effective January 1, 2021.

- Operating revenues increased by $8,832,944 from $159.11 million in 2020 to $167.94 million in 2021. There were 1,604 water accounts and 1,131 wastewater accounts added in 2021 in addition to an increase in water consumption of 1,043,491 Ccf.

- Current Assets increased by $26.17 million while investment earnings decreased to $607,861 in 2021 from $5.17 million in 2020.

- In 2021, capital assets grew by $36.05 million as we continued to work on our capital improvement program.

MANAGEMENT'S DISCUSSION AND ANALYSIS

Overview of Annual Financial Statements

Charleston Water System's Annual Financial Report consists of Management's Discussion and Analysis (MD&A), the Basic Financial Statements, and Other Supplementary Information. The MD&A serves as an introduction to, and should be read in conjunction with, the basic audited financial statements. The basic financial statements include notes which explain in detail some of the information included in the basic financial statements.

Basic Financial Statements - The basic financial statements report information using the full accrual basis of accounting in a manner similar to that used by private sector companies. However, rate-regulated accounting principles applicable to private sector utilities are not used by government utilities. The basic financial statements include statement of net position, statement of revenues, expenses and changes in net position, statement of cash flows, and notes to the financial statements. Charleston Water System accounts for its activities using a single *proprietary (enterprise) fund*. Under this method, revenues are recorded when earned, and expenses are recorded at the time liabilities are incurred, regardless of the timing of the related cash flows.

Statement of Net Position - The *statement of net position* presents financial information on the assets and deferred outflows less liabilities and deferred inflows, which results in a difference reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of Charleston Water System is improving or deteriorating.

Statement of Revenues, Expenses and Changes in Net Position - The *statement of revenues, expenses and changes in net position* presents the results of the business activities over the course of the fiscal year. Information is provided about how net position changed during the year. This statement measures the success of operations over the past year and can be used to determine whether Charleston Water System has successfully recovered all its costs through its user charges and fees, profitability, and credit worthiness. Capital costs are allocated on the basis of long-term capital needs and ensure that growth pays for growth.

Statement of Cash Flows - The *statement of cash flows* provides information about cash receipts, cash payments and changes in cash resulting from operations, investments, and noncapital financing activities, as well as capital and related financing activities. From the statement of cash flows, the reader can obtain comparative information on the source and use of cash, and the change in the cash balance for each of the last two fiscal years.

Notes to the Financial Statements - The *notes to the financial statements* provide information about accounting policies, significant account balances and activities, material risks, obligations, commitments, contingencies and subsequent events, if any. *Supplementary information* such as debt service coverage is also provided. The *notes to the financial statements* can be found on pages 18 - 59.

Required Supplementary Information - In addition to the basic financial statements and accompanying notes, this report also presents *required supplementary information* concerning progress in funding its obligation to provide pension and OPEB benefits to its employees. This required supplementary information can be found beginning on page 60 of this report. The MD&A is also considered *required supplementary information.*

MANAGEMENT'S DISCUSSION AND ANALYSIS

The basic financial statements were prepared by staff from the detailed books and records of Charleston Water System. The basic financial statements were audited and adjusted, if material, during the independent external audit process.

Financial Analysis

The following comparative condensed financial statements and other selected information serve as the key financial data and indicators for management, monitoring, and planning:

Condensed Financial Statements

Charleston Water System
Condensed Statement of Net Position
For the years ended December 31, 2021, 2020 and 2019

	2021	2020	2019	% Change 2020-2021
Assets				
Current assets	$ 591,090,147	$ 564,924,730	$ 538,213,902	4.63%
Noncurrent assets	-	43,886,930	65,215,360	-100.00%
Capital assets	1,313,765,599	1,277,714,297	1,253,802,148	2.82%
Total Assets	**$ 1,904,855,746**	**$ 1,886,525,957**	**$ 1,857,231,410**	**0.97%**
Deferred Outflows of Resources				
Loss on refundings	$ 48,059,223	$ 26,433,026	$ 20,368,584	81.82%
Pension	6,334,840	7,971,741	4,157,055	-20.53%
Other postemployment benefits	12,198,714	13,635,880	14,585,366	-10.54%
Total Deferred Outflows of Resources	**$ 66,592,777**	**$ 48,040,647**	**$ 39,111,005**	**38.62%**
Liabilities				
Current liabilities	$ 73,502,969	$ 55,799,249	$ 78,787,567	31.73%
Noncurrent liabilities	793,178,097	811,884,366	810,573,441	-2.30%
Total Liabilities	**$ 866,681,066**	**$ 867,683,615**	**$ 889,361,008**	**-0.12%**
Deferred Inflows of Resources				
Accumulated increase in fair value of hedging derivatives	-	31,761,630	25,785,940	-100.00%
Pension	7,963,653	484,973	1,006,613	1542.08%
Other postemployment benefits	2,019,987	458,269	273,652	340.79%
Total Deferred Inflows of Resources	**$ 9,983,640**	**$ 32,704,872**	**$ 27,066,205**	**-69.47%**
Net Position				
Net investment in capital assets	739,927,868	701,700,121	688,141,257	5.45%
Restricted for debt service	36,475,472	32,533,324	30,222,389	12.12%
Restricted other bond covenants	19,672,510	19,611,623	19,344,061	0.31%
Unrestricted	298,707,967	280,333,049	242,207,495	6.55%
Total Net Position	**$ 1,094,783,817**	**$ 1,034,178,117**	**$ 979,915,202**	**5.86%**

Charleston Water System
Condensed Statement of Revenues, Expenses and Changes in Net Position
For the years ended December 31, 2021, 2020 and 2019

	2021	2020	2019	% Change 2021-2020
Operating Revenue				
Charges for sales and services				
Water	$ 87,351,617	$ 81,184,728	$ 81,190,887	7.60%
Wastewater	71,550,878	68,827,335	66,547,212	3.96%
Other operating revenues				
Service charges and fees	5,159,878	4,712,609	4,631,237	9.49%
Miscellaneous	3,880,326	4,385,083	7,033,365	-11.51%
Total Operating Revenues	167,942,699	159,109,755	159,402,701	5.55%
Operating Expenses				
Personnel services	44,531,147	47,381,934	45,198,805	-6.02%
Contractual services	10,052,622	9,037,996	7,828,088	11.23%
Maintenance and repairs	14,403,566	14,401,259	13,231,412	0.02%
Utilities	5,960,200	5,809,524	5,422,639	2.59%
Office expenses	6,027,808	5,750,827	6,307,039	4.82%
Other services and charges	876,575	1,093,450	1,084,175	-19.83%
Depreciation	40,863,310	38,934,509	36,266,273	4.95%
Intergovernmental fee	1,095,000	1,095,000	1,095,000	0.00%
Less: Overhead allocated to construction in progress	(1,979,931)	(1,727,655)	(1,785,767)	14.60%
Total Operating Expenses	121,830,297	121,776,844	114,647,664	0.04%
Operating Income	**46,112,402**	**37,332,911**	**44,755,037**	**23.52%**
Nonoperating Revenue (Expense)				
Investment income	607,861	5,170,710	8,599,130	-88.24%
Gain on disposal of capital assets	203,820	84,867	3,640,729	140.16%
Other	318,646	162,359	933,578	96.26%
Bond issuance cost	(962,417)	(1,274,745)	(1,464,969)	100.00%
Interest expense	(21,174,746)	(21,222,870)	(22,435,692)	-0.23%
Total Nonoperating Expenses, net	**(21,006,836)**	**(17,079,679)**	**(10,727,224)**	**22.99%**
Income before capital contributions	**25,105,566**	**20,253,232**	**34,027,813**	23.96%
Capital contributions	35,500,134	34,009,683	27,991,560	4.38%
Change in Net Position	**60,605,700**	**54,262,915**	**62,019,373**	**11.69%**
Total net position, beginning of year, as previously reported	**1,034,178,117**	**979,915,202**	**917,895,829**	**5.54%**
Restatement for change in accounting principle	-	-	-	
Total Net Position, beginning of year, as restated	1,034,178,117	979,915,202	917,895,829	5.54%
Net Position, end of year	**$ 1,094,783,817**	**$ 1,034,178,117**	**$ 979,915,202**	**5.86%**

MANAGEMENT'S DISCUSSION AND ANALYSIS

General Trends and Significant Events

The Charleston area continued to experience growth in 2021. Our customer base continued to expand and we added approximately 1,604 new water accounts and 1,131 wastewater accounts. Charleston is a sought after destination for new visitors and residents. Our diverse commercial sector continues to provide plentiful employment opportunities for our many new residents.

Charleston Water System is positioned to manage the growth that continues in Charleston. We have a plentiful water supply and ample capacity that should meet the growing demand in the area. Additionally, we proactively manage our infrastructure needs with long-term master plans that address future growth.

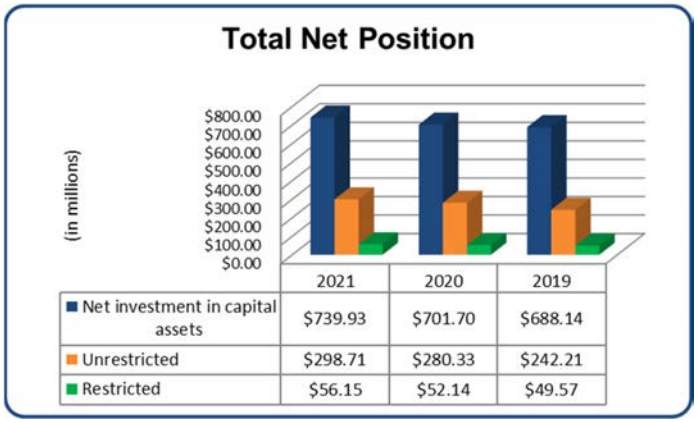
Charleston Water System
Selected Data for Analysis

	2021	2020	2019	% Change 2019-2020
Number of Allocated Positions	461	467	463	-1.28%
Average number of accounts				
Water	124,097	122,493	120,904	1.31%
Wastewater	59,785	58,654	57,567	1.93%
Water sales and services	$ 87,351,617	$ 81,184,728	$ 81,190,887	7.60%
Wastewater sales and services	$ 71,550,878	$ 68,827,335	$ 66,547,212	3.96%
Average per employee:				
Total operating revenues	$ 345,140	$ 340,706	$ 344,282	1.30%
Total operating expenses	$ 264,158	$ 260,764	$ 247,619	1.30%
Ratio of operating revenues to:				
Operating expenses	1.38	1.31	1.39	5.51%
Operating expenses net of depreciation	2.07	1.92	2.03	8.00%
Total assets	0.09	0.08	0.09	4.54%
Debt related ratio:				
Liabilities to net worth	0.79	0.84	0.91	-5.65%
Liquidity ratio:				
Current ratio	8.04	10.12	6.83	-20.57%
Profitability ratios:				
Return on assets	3.18%	2.88%	3.34%	10.61%
Debt service coverage	210%	195%	228%	7.69%

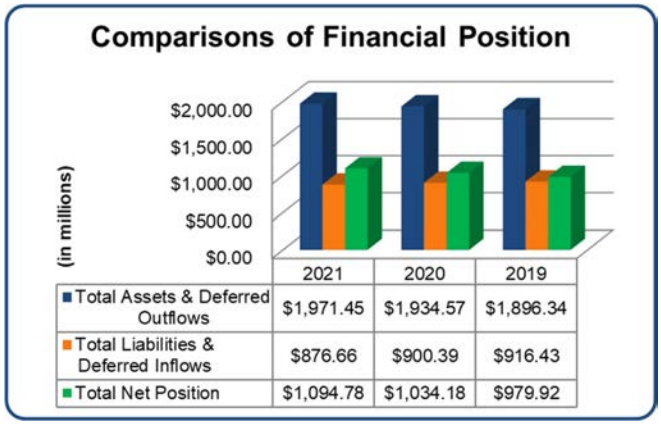
MANAGEMENT'S DISCUSSION AND ANALYSIS

Financial Position

Charleston Water System employs conservative management principles to maintain sustained and healthy debt coverage from revenues. This approach has continued to build financial strength and stability. Total assets increased by $18.33 million in 2021 compared to $29.29 million in 2020. Current assets increased by $26.17 million or 4.63%. Capital assets grew by $36.05 million as we continued progress in our capital improvement program. Total liabilities decreased by $1.00 million or 0.12% in 2021 as compared to the $21.68 million, 2.44% decrease in 2020.



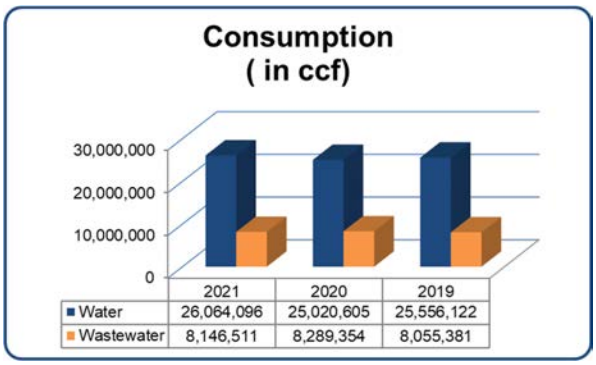
	2021	2020	2019
Net investment in capital assets	$739.93	$701.70	$688.14
Unrestricted	$298.71	$280.33	$242.21
Restricted	$56.15	$52.14	$49.57



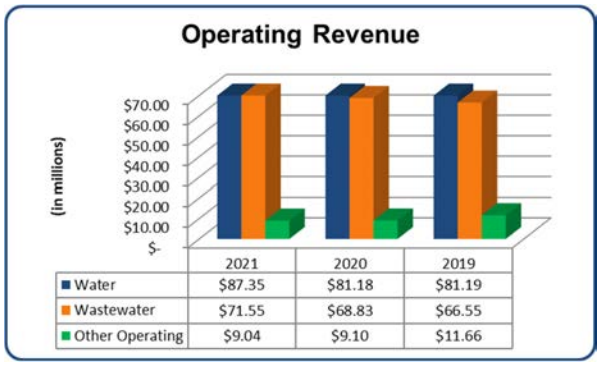
	2021	2020	2019
Total Assets & Deferred Outflows	$1,971.45	$1,934.57	$1,896.34
Total Liabilities & Deferred Inflows	$876.66	$900.39	$916.43
Total Net Position	$1,094.78	$1,034.18	$979.92

Results of Operations

Operating Revenues: Operating revenue is primarily comprised of water and wastewater sales that are supplemented by revenue from origination fees, service charges, collection fees, and some miscellaneous fees. Rate increases of an average 3.0%.for water and 2.75% for wastewater were effective January 1, 2021. Charleston Water System saw moderate customer growth during 2021. The average number of active water accounts increased by 1,604 from 122,493 accounts in 2020 to 124,097 accounts in 2021. Total operating revenues increased by $8.83 million in 2021 compared to a $0.29 million decrease in 2020. Water consumption increased from 25.02 million Ccf in 2020 to 26.06 million Ccf in 2021. The non-operating revenue decreased by $4.29 million in 2021 as a result of a decrease in interest income of $4.56 million while the non-operating expenses decreased slightly by $0.36 million resulting from the reduction of bond issuance cost and the of the normal pay down of debt.



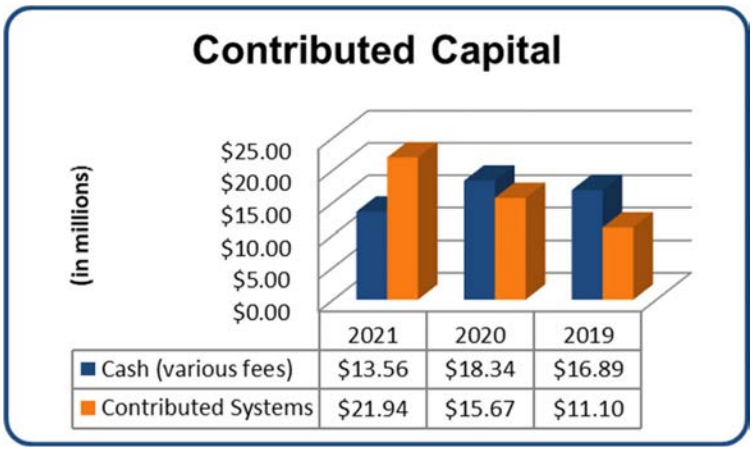
	2021	2020	2019
Water	26,064,096	25,020,605	25,556,122
Wastewater	8,146,511	8,289,354	8,055,381



	2021	2020	2019
Water	$87.35	$81.18	$81.19
Wastewater	$71.55	$68.83	$66.55
Other Operating	$9.04	$9.10	$11.66

Operating Expenses: The maintenance and upkeep of Charleston Water System's infrastructure is part of our operating expenses. The water distribution system is composed of 1,838 miles of pipes and 10,443 hydrants, while the wastewater collection system contains 628 miles of gravity sewer pipe and approximately 129 miles of sewer force main. The Hanahan Water Treatment Plant is a surface water treatment plant with a finished water capacity of 115.4 million gallons per day (MGD). The Plum Island Wastewater Treatment Plant has a design capacity of 36 million gallons per day (MGD). Total operating expenses increased slightly by only $0.05 million or 0.04% in 2021 compared to the increase of $7.13 million or 6.22% in 2020. Personnel services, maintenance and repairs, and depreciation continue to be the largest components of operating expenses. Diligent monitoring of these expenses and sound management has continued to keep our expenses under budgeted projections.

Capital Contributions: Capital contributions are classified into three components: cash, contributed systems and grant reimbursements. The first component, cash, comes from various fees such as impact, tap, change-in-use, and engineering fees. Water and wastewater tap fees are charged at the time of application for service to recover the costs to install the service. Impact fees are charged to recover the costs associated with expansion of the water and wastewater systems. Change-in-use fees are charged to wastewater customers who require increased wastewater flow capacity. Engineering service fees are charged to offset the costs for engineering services, administration, design and inspection work. The second component is from systems usually contributed by developers or other governments, and the third component is from grant reimbursements from other governments. The dollar value of contributed systems totaled $11.10 million in 2019, $15.67 million in 2020, and $21.94 million in 2021. In 2019, cash contributions were $16.89 million, $18.34 million in 2020 and $13.56 million in 2021. The area continues to flourish and construction is robust in the local area. Total capital contributions for 2021 increased marginally by $1.49 million or 4.38%, whereas in 2020 there was an increase of $6.02 million or 21.50%. Contributions remained steady as stakeholders of previously designed, permitted and contributed properties continued the construction process.



Rate Covenant: Charleston Water System has covenanted to maintain rates and charges for its products and services which at all times shall be sufficient to pay operation and maintenance expense to keep the system in good repair and working order, to provide for the punctual payment of the principal and interest on all outstanding debt, to maintain the required amounts in the debt service and debt service reserve accounts, to build and maintain a reserve for depreciation for contingencies and improvements, and to discharge all obligations imposed by the bond ordinance. Charleston Water System has further covenanted to collect rates and charges, which together with other income, will reasonably yield annual net earnings of at least 120% of the annual principal and interest requirement. The net earnings available for debt service were 228% in 2019, 195% in 2020 and 210% in 2021. Strong debt service coverage is continually maintained to meet the covenant.

Capital Assets and Long-term Debt

Capital Assets: At year-end 2021, the balance in capital assets was approximately $1.31 billion. This balance includes property, plant, and equipment in addition to infrastructure assets such as water and sewer lines and water and sewer treatment plants. On December 31, 2021, there were commitments under contracts for incomplete construction of various projects of approximately $37.36 million. A few of the larger projects completed in 2021 include the following:

Cooper Street Water Main Replacement - Meeting to America	$	1,593,213
Elliot Cut Transmission Main Replacement		1,672,055
John's Island Sewer Interceptor Rehabilitation		5,171,856
Ashley Tunnel Shaft Site Improvements		1,388,746
	$	9,825,870

Long-term Debt: The amount of outstanding bonds at year-end decreased from $673.77 million to $644.23 million. A refunding of bonds with a face value of $122.43 million was completed in June. This refunding decreased the total debt service payments over 15 years by approximately $4.59 million and produced an economic gain of roughly $2.65 million. Our credit ratings were affirmed with Standard and Poor's and Moody's at AAA and Aaa, respectively. Charleston Water System's robust liquidity, ample infrastructure capacity, long-standing history of well-managed operations, healthy financial position along with a growing and economically diverse service area contributes to our continued rating results.

Additional detailed information on long-term debt activity and capital asset activity may be found in Note 4 listed in the Financial Statements on page 31.

Final Comments

This financial report is designed to provide a general overview of Charleston Water System's finances for all those interested. Questions concerning any of the information provided in this report or requests for additional financial information should be addressed to the Chief Financial Officer, Charleston Water System, P.O. Box B, Charleston, SC 29402-0017.

FINANCIAL SECTION

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COMMISSIONERS OF PUBLIC WORKS
OF THE CITY OF CHARLESTON

STATEMENTS OF NET POSITION
DECEMBER 31, 2021 AND 2020

ASSETS AND DEFERRED OUTFLOWS OF RESOURCES	2021	2020
Current Assets:		
Unrestricted Assets:		
Cash and cash equivalents	**$ 280,937,790**	$ 203,181,275
Investments	**117,424,876**	152,960,946
Accrued interest receivable	**168,710**	104,873
Accounts receivable - customer (less allowance for doubtful accounts of $43,771 and $32,041 for 2021 and 2020, respectively)	**18,359,735**	17,007,543
Accounts receivable - on behalf of other governments	**4,323,745**	4,686,259
Accounts receivable - other	**3,196,300**	2,019,335
Inventories of materials and supplies	**4,505,049**	3,973,178
Prepaid expenses	**1,861,213**	1,846,233
Restricted Assets:		
Cash and cash equivalents	**66,670,598**	55,399,885
Investments	**93,596,125**	123,408,858
Accrued interest receivable	**46,006**	336,345
Total current assets	**591,090,147**	564,924,730
Non-current Assets:		
Long-term investments, unrestricted	**-**	12,125,300
Derivative instrument - interest rate swaps	**-**	31,761,630
Capital Assets:		
Non-depreciable	**182,895,812**	150,973,390
Depreciable, net of accumulated depreciation	**1,130,869,787**	1,126,740,907
Total non-current assets	**1,313,765,599**	1,321,601,227
Total assets	**1,904,855,746**	1,886,525,957
Deferred Outflows of Resources:		
Deferred loss on refundings	**48,059,223**	26,433,026
Pension	**6,334,840**	7,971,741
Other postemployment benefits	**12,198,714**	13,635,880
Total deferred outflows of resources	**$ 66,592,777**	$ 48,040,647

See Notes to Financial Statements.

LIABILITIES, DEFERRED INFLOWS OF RESOURCES, AND NET POSITION	2021	2020
Current Liabilities:		
Payable from unrestricted assets:		
Accounts payable and accrued liabilities	**$ 14,325,948**	$ 5,144,853
Retainage payable	**2,153,640**	1,374,360
Accrued salaries and related expenses	**1,444,881**	1,276,084
Accrued compensated absences	**3,346,907**	3,496,568
Due to other governments	**7,822,575**	8,170,906
Deposits and advances	**7,933,665**	3,490,743
Payable from restricted assets:		
Revenue bonds payable	**24,140,000**	22,025,000
Accrued revenue bonds interest payable	**12,335,353**	10,820,735
Total current liabilities	**73,502,969**	55,799,249
Non-current Liabilities:		
Revenue bonds payable	**701,921,701**	707,422,346
Net pension liability	**52,075,716**	61,932,632
Net other postemployment benefits liability	**39,178,726**	42,527,505
Accrued compensated absences	**1,954**	1,883
Total non-current liabilities	**793,178,097**	811,884,366
Total liabilities	**866,681,066**	867,683,615
Deferred Inflows of Resources:		
Accumulated increase in fair value of hedging derivatives	**-**	31,761,630
Pension	**7,963,653**	484,973
Other postemployment benefits	**2,019,987**	458,269
Total deferred inflows of resources	**9,983,640**	32,704,872
Net Position:		
Net investment in capital assets	**739,927,868**	701,700,121
Restricted for:		
Debt service	**36,475,472**	32,533,324
Other bond covenants	**19,672,510**	19,611,623
Unrestricted	**298,707,967**	280,333,049
Total net position	**$ 1,094,783,817**	$ 1,034,178,117

COMMISSIONERS OF PUBLIC WORKS
OF THE CITY OF CHARLESTON

STATEMENTS OF REVENUES, EXPENSES AND CHANGES IN NET POSITION
FOR THE YEARS ENDED DECEMBER 31, 2021 AND 2020

	2021	2020
Operating Revenues:		
Charges for sales and services of water, net of provision for bad debts of $236,709 and $219,476 for 2021 and 2020, respectively	**$ 87,351,617**	$ 81,184,728
Wastewater, net of provision for bad debts of $106,172 and $122,450 for 2021 and 2020, respectively	**71,550,878**	68,827,335
Other Operating Revenues:		
Origination fees	**1,242,040**	1,249,603
Service charges	**2,762,336**	2,340,275
Collection fees	**1,155,502**	1,122,731
Miscellaneous	**3,880,326**	4,385,083
Total operating revenues	**167,942,699**	159,109,755
Operating Expenses:		
Personnel services	**44,531,147**	47,381,934
Contractual services	**10,052,622**	9,037,996
Maintenance and repairs	**14,403,566**	14,401,259
Utilities	**5,960,200**	5,809,524
Office expenses	**6,027,808**	5,750,827
Other services and charges	**876,575**	1,093,450
Depreciation	**40,863,310**	38,934,509
Intergovernmental fee	**1,095,000**	1,095,000
Less: Overhead allocated to construction in progress	**(1,979,931)**	(1,727,655)
Total operating expenses	**121,830,297**	121,776,844
Operating income	**46,112,402**	37,332,911
Non-operating Revenues (Expenses):		
Investment income	**607,861**	5,170,710
Gain on disposal of capital assets	**203,820**	84,867
Other	**318,646**	162,359
Bond issuance cost	**(962,417)**	(1,274,745)
Interest expense	**(21,174,746)**	(21,222,870)
Total non-operating expenses, net	**(21,006,836)**	(17,079,679)
Income before capital contributions	**25,105,566**	20,253,232
Capital contributions	**35,500,134**	34,009,683
Change in net position	**60,605,700**	54,262,915
Total net position, beginning of year	**1,034,178,117**	979,915,202
Total net position, end of year	**$ 1,094,783,817**	$ 1,034,178,117

See Notes to Financial Statements.

COMMISSIONERS OF PUBLIC WORKS
OF THE CITY OF CHARLESTON

STATEMENTS OF CASH FLOWS
FOR THE YEARS ENDED DECEMBER 31, 2021 AND 2020

	2021	2020
Cash Flows from Operating Activities:		
Receipts from customers and users	**$ 170,218,978**	$ 158,540,112
Payments to suppliers	**(27,054,927)**	(37,005,451)
Payments to employees	**(45,603,170)**	(43,582,664)
Payments to primary government	**(1,095,000)**	(1,095,000)
Other receipts	**318,646**	162,359
Net cash provided by operating activities	**96,784,527**	77,019,356
Cash Flows from Investing Activities:		
Purchases of investments	**(129,316,060)**	(218,122,953)
Proceeds from sale of investments	**206,082,305**	294,451,210
Income from investments	**1,542,221**	5,182,535
Net cash provided by investing activities	**78,308,466**	81,510,792
Cash Flows from Capital and Related Financing Activities:		
Acquisition and construction of capital assets	**(57,089,781)**	(69,030,474)
Capital contributions received	**13,563,223**	18,337,084
Proceeds from issuance of revenue bonds	**156,450,796**	183,784,292
Principal payments on revenue bonds	**(152,025,000)**	(160,310,000)
Interest paid on revenue bonds	**(50,060,183)**	(55,179,079)
Proceeds from the sale of capital assets	**3,095,180**	87,567
Net cash used in capital and related financing activities	**(86,065,765)**	(82,310,610)
Net increase in cash and cash equivalents	**89,027,228**	76,219,538
Cash and cash equivalents:		
Beginning of year	**258,581,160**	182,361,622
End of year	**$ 347,608,388**	$ 258,581,160
Classified as:		
Cash and cash equivalents	**$ 280,937,790**	$ 203,181,275
Restricted assets, cash and cash equivalents	**66,670,598**	55,399,885
	$ 347,608,388	$ 258,581,160

See Notes to Financial Statements.

	2021	2020
Cash Flows from Operating Activities:		
Operating income	**$ 46,112,402**	$ 37,332,911
Adjustments to reconcile operating income to net cash provided by operating activities:		
Depreciation	**40,863,310**	38,934,509
Other revenues	**318,646**	162,359
Changes in assets and liabilities:		
(Increase) decrease in accounts receivables	**(2,166,643)**	753,937
(Increase) decrease in inventories	**(531,871)**	67,618
Increase in prepaid expenses	**(14,980)**	(348,807)
(Increase) decrease in deferred outflows of resources - pension	**1,636,901**	(3,814,686)
Decrease in deferred outflows of resources - OPEB	**1,437,166**	949,486
Increase (decrease) in accounts payable and accrued liabilities	**9,349,892**	(2,620,385)
Increase (decrease) in net pension liability	**(9,856,916)**	6,805,901
Increase (decrease) in net OPEB liability	**(3,348,779)**	58,073
Increase (decrease) in compensated absences	**(149,590)**	506,548
Increase (decrease) in deposits and advances	**4,442,922**	(1,323,580)
Decrease in amounts due to other governments	**(348,331)**	(107,505)
Increase (decrease) in deferred inflows of resources - pension	**7,478,680**	(521,640)
Increase in deferred inflows of resources - OPEB	**1,561,718**	184,617
Net cash provided by operating activities	**$ 96,784,527**	$ 77,019,356
Supplementary Schedule of Non-cash Investing, Capital and Financing Activities:		
Increase (decrease) in fair value of investments	**$ (707,858)**	$ 497,688
Acquisition of capital assets through contributions	**21,936,911**	15,672,599
Net non-cash investing, capital and financing activities	**$ 21,229,053**	$ 16,170,287

NOTE 1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

These financial statements have been prepared in accordance with generally accepted accounting principles (GAAP) as applied to local governmental entities. The following is a summary of the more significant accounting policies.

Reporting Entity

The State of South Carolina created the five-member Commission in 1917 to administer water and wastewater services for residents of the City of Charleston, South Carolina (the "City") and surrounding areas. Of the five Commissioners, the Mayor of the City and one City Councilman are ex-officio members. The remaining three members are elected at-large for staggered six-year terms.

In evaluating how to define the government for financial reporting purposes, management has considered all potential component units. The decision to include a potential component unit in the reporting entity was made by applying the criteria set forth in Government Accounting Standards Board (GASB) Statement No. 14, *The Financial Reporting Entity,* as amended by GASB Statement No. 39, *Determining Whether Certain Organizations Are Component Units,* and GASB Statement No. 61, *The Financial Reporting Entity: Omnibus*, as amended by GASB Statement No. 84, *Fiduciary Activities*, which defines a primary government as an entity with a governing body elected in a general election and which is legally separate and fiscally independent. Any entity that does not meet the above criteria is potentially a component unit of a primary government.

A component unit is a legally separate entity for which a primary government is financially accountable by virtue of the fact that it both appoints the governing board and is able to impose its will on the component unit, or the fact that it provides financial benefits or imposes a financial burden on the primary government.

Based on the above requirements, there are no entities which meet the criteria detailed above for inclusion with the Commission's financial statements as component units, nor is the Commission considered a component unit.

Measurement Focus, Basis of Accounting and Basis of Presentation

The Commission accounts for its activities in an enterprise fund.

Proprietary funds are accounted for using the *flow of economic resources measurement focus* and the *accrual basis of accounting*. Under this method, revenues are recorded when earned and expenses are recorded at the time liabilities are incurred, regardless of the timing of the related cash flows. The accounting objective of this measurement focus is the determination of operating income, changes in net position (or cost recovery), financial position and cash flows. All assets and liabilities (whether current or noncurrent) associated with their activities are reported. Proprietary fund equity is classified as net position.

NOTE 1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

Measurement Focus, Basis of Accounting and Basis of Presentation (Continued)

Enterprise funds are a type of proprietary fund used to account for those operations that are financed and operated in a manner similar to private business or where the governing body has decided that the determination of revenues earned, costs incurred, and/or net income is necessary for management accountability.

Proprietary funds distinguish operating revenue and expenses from non-operating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the Commission are charges to customers for services. The Commission also recognizes origination fees, which are intended to recover the cost of connecting new customers to the system, as operating revenue. Operating expenses for proprietary funds include the cost to provide services, administrative expenses and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

Deposits and Investments

The Commission's cash and cash equivalents are considered to be cash on hand, demand deposits and short-term investments, including restricted assets, with original maturities of three months or less from the date of acquisition.

In accordance with GASB Statement No. 72, *Fair Value Measurement and Application,* investments are carried at fair value determined annually based upon quoted market prices. The total fair value of the South Carolina Local Government Investment Pool (LGIP) is apportioned to the entities with funds invested on an equal basis for each share owned, which are acquired at a cost of $1.00 per share.

The Commission has a number of financial instruments, none of which are held for trading purposes. Except for nonparticipating investment contracts, investments are reported at fair value which is based on quoted market prices. Nonparticipating investment contracts, such as nonnegotiable certificates of deposits and repurchase agreements, are reported at cost. Money market mutual funds are invested in debt securities of the U.S. Government and are reported at net asset value which approximates cost. Ownership is apportioned to entities with funds invested on an equal basis for each share owned, which are acquired at a cost of $1.00 per share. See Note 2 for additional information.

NOTE 1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

Receivables

Customer receivables are shown net of an allowance for uncollectables. At year-end, the allowance account is adjusted to an amount based on prior years' experience and an analysis of specific accounts. Included in accounts receivable are charges for services rendered but unbilled at December 31.

Accrued interest receivable consists of earnings on investments which have been earned but for which payment is not yet due at year-end.

Other receivables consist principally of reimbursements due from developers, other utility companies or state and local agencies for costs incurred by the Commission on their behalf during system expansion.

Inventory and Prepaid

Inventories consist of pipe and accessories, meters, chemicals and replacement parts and supplies for the operating systems and are valued at average cost. Inventories are reported as expenses when they are consumed. Certain payments to vendors reflect expenses applicable to future accounting periods and are recorded as prepaids. Prepaid expenses are accounted for using the consumption method.

Capital Assets

Capital assets, which include property, plant, equipment and infrastructure assets (e.g., water and wastewater transmission lines), are defined by the Commission as assets with an initial individual cost of more than $5,000 and an estimated useful life in excess of two years. Such assets are recorded at historical cost. Assets donated to the Commission are recorded at their acquisition value.

The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend the life of the respective assets were charged to expense in the current period. Upon retirement, sale, or other disposition of capital assets, the cost and accumulated depreciation is eliminated from the accounts and a gain or loss is recognized.

NOTE 1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

Capital Assets (Continued)

Major expenditures for capital assets and improvements are capitalized as projects are constructed.

Capital assets and infrastructure are depreciated using the straight-line method over the following estimated useful lives:

Description	Estimated Lives
Utility systems, treatment plants, and buildings	25 -100 years
Automotive equipment	5 years
Radio equipment	10 years
Furniture, fixtures, and equipment	15 years
Data processing equipment	4 years

A significant portion of the Commission's capitalized net capital assets are considered infrastructure. These are assets that are immovable and normally only of value when used in carrying out the Commission's mission.

Restricted Assets

Certain proceeds from the issuance of the Commission's revenue bonds, as well as certain resources set aside for their repayment, are classified as restricted assets on the balance sheet because their use is limited by applicable bond covenants. When both restricted and unrestricted resources are available for use, it is the Commission's policy to use restricted resources first, then unrestricted resources, as they are needed. When applicable:

- The current debt service accounts are used to segregate resources accumulated for debt service payments over the next 12 months.
- The bond construction account is used to report those proceeds of revenue bonds that are restricted for use in construction.
- The depreciation contingency account is used to report resources set aside to meet unexpected contingencies or to fund asset renewals and replacements.

NOTE 1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

Deferred Outflows/Inflows of Resources

In addition to assets, the Statements of Net Position reports a separate section for *deferred outflows of resources*. This separate financial statement element represents a consumption of net position that applies to future period(s) and so will not be recognized as an outflow of resources (expense) until then. The Commission's deferred loss on refunding qualifies for reporting in this category and results from the difference in carrying value of the refunded debt and its reacquisition price. This amount is deferred and amortized over the shorter of the life of the refunded or refunding debt. In addition, five items relating to the Commission's Retirement Plan and four items relating to the Commission's Other Postemployment Benefits Plan (OPEB) qualify for reporting in this category and are combined in the Statements of Net Position under the heading "Pension" and "Other postemployment benefits", respectively. The first item, experience differences, results from periodic studies by the actuaries of the Retirement and OPEB plans, which adjust the net pension liability and net OPEB liability for actual experience for certain trend information that was previously assumed, for example the assumed dates of retirement of plan members. These experience differences are recorded as deferred outflows of resources and are amortized into pension and OPEB expense over the expected remaining service lives of the plan members. The second item, changes in actuarial assumptions, is recorded as a deferred outflow of resources and is amortized into pension and OPEB expense over the expected remaining service lives of plan members. The third item, differences between projected investment return on OPEB investments and actual return on those investments, is deferred and amortized against pension expense and OPEB expense over a five-year period, resulting in recognition as a deferred outflow of resources. The fourth item results from changes in the proportionate share and differences between employer contributions and the proportionate share of total plan employer contributions which is amortized into pension expense over the expected remaining lives of the plan members. Additionally, any contributions made by the Commission to the pension plan and OPEB plan before year-end but subsequent to the measurement date of the Commission's net pension liability and net OPEB liability are reported as deferred outflows of resources.

In addition to liabilities, the Statements of Net Position reports a separate section for *deferred inflows of resources*. This separate financial statement element represents an acquisition of net position that applies to future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. The Commission's accumulated increase in fair value of hedging derivatives qualifies for reporting in this category and results from the change in market value of an interest rate swap agreement related to the 2006B Series bonds. The interest rate swap was terminated in 2021. The termination event was the current refunding of the 2006B Series bonds with the issuance of 2021 Series Refunding bonds. In addition, three items relating to the Commission's Retirement Plan and two item relating to the Commission's OPEB Plan qualify for reporting in this category and are combined in the Statements of Net Position under the heading "Pension" and "Other postemployment benefits", respectively.

NOTE 1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

Deferred Outflows/Inflows of Resources (Continued)

The first item, experience differences, as previously disclosed, adjust the net pension liability and net OPEB liability for actual experience for certain trend information that was previously assumed. The second item results from changes in the proportionate share and differences between employer contributions and the proportionate share of total pension plan employer contributions. The third item results from changes in actuarial assumptions relative to the OPEB plan. These three items are recorded as deferred inflows of resources and are amortized into pension and OPEB expense, as applicable, over the expected remaining lives of the plan members. The fourth item results from differences between projected investment return on pension investments and actual return on those investments is deferred and amortized against pension expense over a five-year period, resulting in recognition as a deferred outflow of resources. Both of these items are recorded as deferred inflows of resources and are amortized into pension and OPEB expense, as applicable, over the expected remaining lives of the plan members.

Compensated Absences

It is the Commission's policy to permit employees to accumulate earned but unused vacation and sick pay benefits. Vacation pay vests when earned. Prior to January 1, 2003, sick leave vested at 5% per year after 10 years of employment, payable upon retirement. Employees with more than five years before retirement were compensated subsequent to year-end for sick leave vested at December 31, 2002. Subsequent to December 31, 2002, for employees with three years to retirement, the Commission will pay only for accumulated sick leave vested at January 1, 2003, when employees separate from service with the Commission with more than 10 years of service in the South Carolina Retirement System (SCRS). The amounts due to such individuals are reported as a liability. Sick leave will not vest for employees who did not have accumulated sick leave at January 1, 2003, for new hires, or for employees with accumulated leave at January 1, 2003, who separate from service with fewer than 10 years in the SCRS. In addition, these associates with fewer than 10 years in the SCRS may only be paid out a maximum of 60 days upon separation of employment. Vacation pay is accrued when earned and an associate can only carry over two years of annual leave. Any amount of leave exceeding the annual maximum amount will be forfeited when the payroll year ends. Vacation pay within the annual carryover limit is reported as a fund liability.

Long-term Obligations

Long-term debt and other obligations financed by the Commission are reported as liabilities in the Statements of Net Position. Bond premiums and discounts, as well as deferred refunding costs, are deferred and amortized over the life of the bonds using the effective interest method. Bonds payable are reported net of the applicable bond premium or discount. Issuance costs are expensed in the year incurred.

NOTE 1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

Net Position Classification

Net position is classified and displayed in three components within the Statements of Net Position. These three classifications are as follows:

a) Net investment in capital assets consists of capital assets including restricted capital assets, net of accumulated depreciation and reduced by the outstanding balances of any bonds, mortgages, notes, or other borrowings that are attributable to the acquisition, construction, or improvements of those assets.
b) Restricted net position consists of net position with constraints placed on the use either by (1) external groups such as creditors, grantors, contributors, or laws and regulations of other governments; or (2) law through constitutional provisions or enabling legislation.
c) Unrestricted net position consists of all other net position that does not meet the definition of “restricted” or “net investment in capital assets”.

Capital Contributions

The Commission receives contributions from contracting municipalities to finance infrastructure constructed by the Commission. In addition, the Commission receives systems contributed by developers, which are recorded at their estimated fair value at the date of donation.

Use of Estimates

The preparation of the financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions. These estimates and assumptions affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results could differ from those estimates.

Comparative Data

Comparative total data for the prior year has been presented in order to provide an understanding of changes in the Commission's financial position and operations.

NOTE 2. DEPOSITS AND INVESTMENTS

Custodial Credit Risk – Deposits. In the case of deposits, this is the risk that in the event of a bank failure, the Commission's deposits may not be returned to it. Deposits of the Commission are subject to South Carolina state statutes for custodial credit risk. The statutes provide that banks accepting deposits of funds from local government units must furnish an indemnity bond or pledge as collateral obligations of the United States, South Carolina, political subdivisions of South Carolina, the Federal National Mortgage Association, the Federal Home Loan Bank, the Federal Farm Credit Bank, or the Federal Home Loan Mortgage Corporation. In accordance with the aforementioned statute, the Commission's policy requires deposits to be secured by collateral valued at market or par, whichever is lower, less the amount of the Federal Deposit Insurance Corporation (FDIC) insurance. Deposited funds may be invested in demand or time deposits, continuously and fully secured with direct obligations of or obligations guaranteed by the United States of America having a market value not less than the amount of such monies.

Custodial Credit Risk – Investments. For an investment, this is the risk that, in the event of the failure of the counterparty, the Commission will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party.

Interest Rate Risk. Interest rate risk is the risk that changes in interest rates will adversely affect the fair value of an investment. Investments held for longer periods are subject to increased risk of adverse interest rate changes. The Commission has a formal investment policy that limits investment to instruments with primarily short-term maturities as a means of managing its exposure to fair value losses arising from increasing interest rates. Information regarding interest rate risk is as follows:

	2021	2020
As reported in the *Statements of Net Position:*		
Cash and cash equivalents	**$ 347,608,388**	$ 258,581,160
Investments:		
Less than one year	**211,021,001**	276,369,804
One to five years	**-**	12,125,300
	$ 558,629,389	$ 547,076,264

NOTE 2. DEPOSITS AND INVESTMENTS (CONTINUED)

Credit Risk. Credit risk is the risk that an issuer or other counterparty to an investment will not fulfill its obligations. The Commission has adopted an investment policy in accordance with state statutes, which authorize the Commission to invest in the following:

1. Obligations of the United States and agencies thereof;

2. Obligations issued by the Federal Financing Bank, Federal Farm Credit Bank, the Bank of Cooperatives, the Federal Intermediate Credit Bank, the Federal Land Banks, the Federal Home Loan Banks, the Federal Home Loan Mortgage Corporation, the Federal National Mortgage Association, the Government National Mortgage Association, the Federal Housing Administration and the Farmers Home Administration, if, at the time of investment, the obligor has a long-term, unenhanced, unsecured debt rating in one of the top two ratings categories, without regard to a refinement or gradation of rating category by numerical modifier or otherwise, issued by at least two nationally recognized credit rating organizations;

3. General obligations of the State of South Carolina or any of its political units;

4. Banks and savings and loan association deposits to the extent insured by the FDIC;

5. Certificates of deposit and repurchase agreements collateralized by securities, of the type described in (1) and (2) above held by a third party as escrow agent or custodian, of a market value not less than the amount of certificates of deposit and repurchase agreements so secured, including interest; and

6. No-load open and closed-end management type investment companies or investment trusts registered under the Investment Company Act of 1940, as amended, where the investment is made by a bank or trust company or savings and loan association or other financial institution when acting as trustee or agent for a bond or other debt issue of that local government unit.

In addition, South Carolina state statutes authorize the Commission to invest in the LGIP. The LGIP is an investment trust fund created by state legislation, in which public monies under the custody of any political subdivision in excess of current needs may be deposited. The LGIP is permitted to purchase obligations of the United States, its agencies and instrumentalities and any corporation within the United States if such obligations bear any of the three highest ratings of at least two nationally recognized rating services.

NOTE 2. DEPOSITS AND INVESTMENTS (CONTINUED)

Credit Risk (Continued)

Additional information regarding investment credit risk is as follows at December 31, 2021:

Investment	Fair Value	Percentage of Portfolio	Credit Rating
Federal Home Loan Bank	$ 14,597,269	2.61%	Aaa/AA+
Money Market Mutual Funds	53,883,243	9.65%	NR
Federal National Mortgage Company	3,034,435	0.54%	Aaa/AA+
Federal Farm Credit Bank	8,065,153	1.44%	Aaa/AA+
U.S. Treasuries	130,118,466	23.29%	Aaa/AA+
Certificates of Deposit	1,322,435	0.24%	N/A
Total investments	211,021,001		
Cash and Cash Equivalents	347,608,388	62.23%	
	$ 558,629,389		

Additional information regarding investment credit risk is as follows at December 31, 2020:

Investment	Fair Value	Percentage of Portfolio	Credit Rating
Federal Home Loan Bank	$ 42,822,452	7.83%	Aaa/AA+
Money Market Mutual Funds	28,456,324	5.20%	NR
Federal National Mortgage Association	553,945	0.10%	Aaa/AA+
Federal Farm Credit Bank	5,805,871	1.06%	Aaa/AA+
U.S. Treasuries	209,540,443	38.30%	Aaa/AA+
Certificates of Deposit	1,316,069	0.24%	N/A
Total investments	288,495,104		
Cash and Cash Equivalents	258,581,160	47.26%	
	$ 547,076,264		

NOTE 2. DEPOSITS AND INVESTMENTS (CONTINUED)

Fair Value Measurements. The Commission categorizes its fair value measurements within the fair value hierarchy established by generally accepted accounting principles. The hierarchy is based on the valuation inputs used to measure the fair value of the asset. Level 1 inputs are quoted prices in active markets for identical assets; Level 2 inputs are significant other observable inputs; and Level 3 inputs are significant unobservable inputs.

The Commission has the following recurring fair value measurements as of December 31, 2021:

Investment	Level 1	Level 2	Level 3	Fair Value
U.S. Treasuries	$ 130,118,466	$ -	$ -	$ 130,118,466
U.S. Agencies	5,916,164	19,780,693	-	25,696,857
Total investments measured at fair value	$ 136,034,630	$ 19,780,693	$ -	155,815,323
Investments not subject to level disclosure				
Money Market Mutual Funds				53,883,243
Certificates of deposit				1,322,435
Total investments				$ 211,021,001

The Commission has the following recurring fair value measurements as of December 31, 2020:

Investment	Level 1	Level 2	Level 3	Fair Value
U.S. Treasuries	$ 199,984,364	$ 9,556,079	$ -	$ 209,540,443
U.S. Agencies	5,633,746	43,548,522	-	49,182,268
Total investments measured at fair value	$ 205,618,110	$ 53,104,601	$ -	258,722,711
Investments not subject to level disclosure:				
Money Market Mutual Funds				28,456,324
Certificates of deposit				1,316,069
Total investments				$ 288,495,104

The U.S. Agencies and U.S. Treasury investments classified in Level 1 of the fair value hierarchy are valued using prices quoted in active markets for those investments. The U.S. Agencies investments classified in Level 2 of the fair value hierarchy are valued using pricing matrix technique. Matrix pricing is used to value securities based on the securities' relationship to benchmark quoted prices. The Commission has no investments classified in Level 3 of the fair value hierarchy.

NOTE 3. CAPITAL ASSETS

A summary of changes in capital assets at December 31, 2021, follows:

	Beginning Balance	Increases	Decreases	Transfers	Ending Balance
Capital assets, not being depreciated:					
Land	$ 20,669,288	$ 3,414,042	$ (2,042,706)	$ -	$ 22,040,624
Construction in progress	130,304,102	74,904,663	-	(44,353,577)	160,855,188
Total	150,973,390	78,318,705	(2,042,706)	(44,353,577)	182,895,812
Capital assets, being depreciated:					
Utility systems, treatment plants and buildings	1,641,868,950	651,651	(234,010)	42,435,918	1,684,722,509
Equipment and furniture	49,019,950	835,616	(1,752,713)	1,917,659	50,020,512
Total	1,690,888,900	1,487,267	(1,986,723)	44,353,577	1,734,743,021
Less accumulated depreciation for:					
Utility systems, treatment plants and buildings	(525,013,819)	(37,547,882)	228,649	-	(562,333,052)
Equipment and furniture	(39,134,174)	(3,315,428)	909,420	-	(41,540,182)
Total	(564,147,993)	(40,863,310)	1,138,069	-	(603,873,234)
Total capital assets, being depreciated, net	1,126,740,907	(39,376,043)	(848,654)	44,353,577	1,130,869,787
Total capital assets, net	$ 1,277,714,297	$ 38,942,662	$ (2,891,360)	$ -	$ 1,313,765,599

NOTE 3. CAPITAL ASSETS (CONTINUED)

A summary of changes in capital assets at December 31, 2020, follows:

	Beginning Balance	Increases	Decreases	Transfers	Ending Balance
Capital assets, not being depreciated:					
Land	$ 19,379,182	$ 1,292,806	$ (2,700)	$ -	$ 20,669,288
Construction in progress	192,244,996	57,765,950	-	(119,706,844)	130,304,102
Total	211,624,178	59,058,756	(2,700)	(119,706,844)	150,973,390
Capital assets, being depreciated:					
Utility systems, treatment plants and buildings	1,522,691,807	-	(529,701)	119,706,844	1,641,868,950
Equipment and furniture	45,774,903	3,790,602	(545,555)	-	49,019,950
Total	1,568,466,710	3,790,602	(1,075,256)	119,706,844	1,690,888,900
Less accumulated depreciation for:					
Utility systems, treatment plants and buildings	(490,007,794)	(35,535,726)	529,701	-	(525,013,819)
Equipment and furniture	(36,280,946)	(3,398,783)	545,555	-	(39,134,174)
Total	(526,288,740)	(38,934,509)	1,075,256	-	(564,147,993)
Total capital assets, being depreciated, net	1,042,177,970	(35,143,907)	-	119,706,844	1,126,740,907
Total capital assets, net	$ 1,253,802,148	$ 23,914,849	$ (2,700)	$ -	$ 1,277,714,297

NOTE 4. CHANGES IN LONG-TERM LIABILITIES

A summary of changes in long-term liabilities for the year ended December 31, 2021, is as follows:

	Beginning Balance	Additions	Reductions	Ending Balance	Due within One Year
Revenue bonds payable	$ 673,770,000	$ 122,480,000	$ (152,025,000)	$ 644,225,000	$ 24,140,000
Plus deferred amounts for issuance premiums	55,677,346	33,970,796	(7,811,441)	81,836,701	-
Revenue bonds, net	729,447,346	156,450,796	(159,836,441)	726,061,701	24,140,000
Net pension liability	61,932,632	6,783,765	(16,640,681)	52,075,716	-
Net OPEB liability	42,527,505	3,672,080	(7,020,859)	39,178,726	-
Compensated absences	3,498,451	2,024,460	(2,174,050)	3,348,861	3,346,907
Total long-term liabilities	$ 837,405,934	$ 168,931,101	$ (185,672,031)	$ 820,665,004	$ 27,486,907

A summary of changes in long-term liabilities for the year ended December 31, 2020, is as follows:

	Beginning Balance	Additions	Reductions	Ending Balance	Due within One Year
Revenue bonds payable	$ 653,300,000	$ 180,780,000	$ (160,310,000)	$ 673,770,000	$ 22,025,000
Plus deferred amounts for issuance premiums	77,690,467	3,004,292	(25,017,413)	55,677,346	-
Revenue bonds, net	730,990,467	183,784,292	(185,327,413)	729,447,346	22,025,000
Net pension liability	55,126,731	12,048,470	(5,242,569)	61,932,632	-
Net OPEB liability	42,469,432	3,584,600	(3,526,527)	42,527,505	-
Compensated absences	2,991,903	1,903,440	(1,396,892)	3,498,451	3,496,568
Total long-term liabilities	$ 831,578,533	$ 201,320,802	$ (195,493,401)	$ 837,405,934	$ 25,521,568

NOTE 5. REVENUE BONDS PAYABLE

Revenue bonds payable consist of bonded indebtedness secured by statutory liens on the pledged revenues.

The Water and Sewer Revenue Bonds, together with the interest thereon, are payable from revenues derived by the Commission from the operation of its system and monies on deposit in any fund or account established pursuant to the bond ordinance.

NOTE 5. REVENUE BONDS PAYABLE (CONTINUED)

The Commission is required to comply with various limitations, restrictions and covenants contained in the various bond indentures and ordinances. The bonds of the Commission are issued pursuant to, and in accordance with the Laws of the State of South Carolina, an ordinance enacted by the Council of the City of Charleston on October 24, 1984, individual series ordinances adopted by the Commission, and individual resolutions adopted by the Commission. The bond ordinances contain various events of default and associated remedies to such events including: (1) upon written request of not less than 25% in aggregate principal amount of bonds outstanding, by notice in writing to the City and the Commission, declare all bonds outstanding immediately due and payable, anything in the bonds or bond ordinance to the contrary notwithstanding; (2) upon written request of not less than 25% in aggregate principal amount of bonds outstanding, shall proceed to protect and enforce the rights of the trustee and the bondholders by such suits, actions or proceedings as the trustee shall deem expedient. No remedy conferred upon or reserved to the trustee or the bondholders is intended to be exclusive of any other remedy, but each and every such remedy shall be cumulative and shall be in addition to every other remedy given under the bond ordinance or existing law or in equity or by statute on or after the date of the bond ordinance.

Revenue bonds outstanding at year-end are as follows:

Revenue Bond Title	Original Issue	Due Date	Interest Rates	2021	2020
Capital Improvement, Series 2006B	$ 130,000,000	2035	70% of 1 month LIBOR + 0.72%	**$ -**	$ 130,000,000
Refunding and Capital Improvement, Series 2010	131,040,000	2021	2.25% to 5%	**-**	2,565,000
Refunding, Series 2012	110,609,000	2033	4% to 5%	**9,140,000**	13,045,000
Capital Improvement, Series 2015	140,105,000	2045	3% to 5%	**20,640,000**	23,570,000
Refunding, Series 2016	56,820,000	2030	5%	**38,760,000**	48,020,000
Refunding, Series 2016A	59,035,000	2041	2% to 5%	**58,820,000**	58,870,000
Refunding, Series 2016B	47,455,000	2033	2.75% to 5%	**47,455,000**	47,455,000
Refunding, Series 2017	40,610,000	2028	3% to 5%	**40,295,000**	40,440,000
Refunding, Series 2019	129,025,000	2049	3% to 5%	**126,955,000**	129,025,000
Refunding, Series 2020A	168,695,000	2045	0.255% to 2.15%	**167,595,000**	168,695,000
Capital Improvement, Series 2020B	12,085,000	2045	2.125% to 5%	**12,085,000**	12,085,000
Refunding, Series 2021	122,480,000	2035	4%	**122,480,000**	-
	Total revenue bonds outstanding			**644,225,000**	673,770,000
	Plus: Deferred amounts for issuance premium			**81,836,701**	55,677,346
	Less: Current portion of revenue bonds payable			**(24,140,000)**	(22,025,000)
	Long-term portion of revenue bonds payable			**$ 701,921,701**	$ 707,422,346

NOTE 5. REVENUE BONDS PAYABLE (CONTINUED)

As of December 31, 2021, revenue bond debt service requirements to maturity are as follows:

Year ending December 31,	Principal	Interest	Total
2022	$ 24,140,000	$ 24,154,357	$ 48,294,357
2023	25,495,000	23,174,714	48,669,714
2024	26,830,000	22,152,172	48,982,172
2025	28,725,000	20,985,062	49,710,062
2026	29,160,000	19,748,880	48,908,880
2027 - 2031	158,410,000	80,288,643	238,698,643
2032 - 2036	167,185,000	49,565,630	216,750,630
2037 - 2041	94,050,000	27,043,660	121,093,660
2042 - 2046	67,160,000	11,454,458	78,614,458
2047 - 2049	23,070,000	1,685,000	24,755,000
Plus deferred amounts for issuance premium	81,836,701	-	81,836,701
Total	$ 726,061,701	$ 280,252,576	$ 1,006,314,277

Advance Refunding

Prior Year Defeasance of Debt. In 2012, the Commission defeased its outstanding Waterworks and Sewer System Capital Improvement Revenue Bonds, Series 2006A (the "Series 2006A Bonds"), by placing a portion of the proceeds of the Commission's Waterworks and Sewer System Refunding Revenue Bonds, Series 2012, into an irrevocable trust account to provide for all future debt service payments on the Series 2006A Bonds. Accordingly, the trust account assets and the liability for the Series 2006A Bonds are not included in the Commission's financial statements. At December 31, 2021, there remains outstanding $35,105,000 of Series 2006A Bonds, which have been legally defeased.

In 2016, the Commission defeased its outstanding Waterworks and Sewer System Capital Improvement Revenue Bonds, Series 2009A (the "Series 2009A Bonds"), Series 2010 (the "Series 2010 Bonds"), and the Series 2012 (the "Series 2012 Bonds"), by placing a portion of the proceeds of the Commission's Waterworks and Sewer System Refunding Revenue Bonds, Series 2016, 2016A, and 2016B into an irrevocable trust account to provide for all future debt service payments on the Series 2009A, 2010, and 2012 Bonds. Accordingly, the trust account assets and the liability for the Series 2009A, 2010, and 2012 Bonds are not included in the Commission's financial statements. At December 31, 2021, there remains outstanding $0, $0, and $46,655,000 of Series 2009A, 2010, and 2012 Bonds, respectively, which have been legally defeased.

In 2020, the Commission defeased portions of its outstanding Waterworks and Sewer System Refunding Revenue Bonds, Series 2012 (the "Series 2012 Bonds) and the Waterworks and Sewer System Capital Improvement Revenue Bonds, Series 2015 (the "Series 2015 Bonds), by placing a portion of the proceeds of the Commission's Waterworks and Sewer System Refunding Revenue Bonds, Series 2020A into an irrevocable trust account to provide for all future debt service payments on the Series 2012 and Series 2015 Bonds.

NOTE 5. REVENUE BONDS PAYABLE (CONTINUED)

Advance Refunding (Continued)

Accordingly, the trust account assets and the liability for the Series 2012 and 2015 Bonds are not included in the Commission's financial statements. At December 31, 2021, there remains outstanding $28,550,000 and $113,745,000 of Series 2012 and 2015 Bonds, respectively, which have been legally defeased. The refunding decreased the total debt service payments over 25 years by approximately $30,482,000 and produced an economic gain of approximately $24,088,000.

Current Refunding

The Waterworks and Sewer System Refunding Revenue Bonds, Series 2021 (the "Series 2021 Bonds") were issued in June 2021. The proceeds of these bonds were used to refund the Waterworks and Sewer System Capital Improvement Revenue Bonds, Series 2006B, to pay certain costs and expenses relating to the issuance of the Series 2021 Bonds, and to pay the interest rate swap termination fee (refer to Note 6 for additional information). Interest on the bonds is 4%. Interest is payable semiannually on January 1 and July 1 of each year with principal payable annually beginning January 1, 2026, and ranging from $7,450,000 to $24,045,000. The refunding decreased the total debt service payments over 15 years by approximately $4,587,000 and produced an economic gain of approximately $2,649,000.

NOTE 6. DERIVATIVE INSTRUMENTS

The Commission's Series 2006B bonds were refunded in 2021 by the issuance of Series 2021 Refunding Revenue Bonds in a current refunding transaction. The Commission had previously entered into an interest rate swap agreement with Bank of America, N.A. relative to the Series 2006B bonds which was terminated effective June 15, 2021, pursuant to the execution of termination agreements between the Commission and the counterparty. At the time of the execution of the termination agreements, the Commission ceased to apply hedge accounting to the interest rate swap, in accordance with GASB Statement No. 53, paragraph 22 e. The termination of the interest rate swap resulted in the Commission having to make a termination payment to the swap counterparty in the amount of $26,448,000. The agreement called for this payment to be made on or before June 30, 2021, which coincided with the issuance of the Series 2021 Refunding Revenue bonds.

NOTE 6. DERIVATIVE INSTRUMENTS (CONTINUED)

The fair value balances and notional amounts of derivative instruments outstanding at December 31, 2021 and 2020 by type and the changes in fair value of such derivative instruments for the years then ended as reported in the 2021 and 2020 financial statements are as follows:

	Changes in Fair Value		Fair Value at December 31		
	Classification	Amount	Type	Amount	Notional
Cash flow hedges:					
Pay-fixed interest rate swaps					
December 31, 2021	Deferred inflow	$ -	Derivative instrument	$ -	$ -
December 31, 2020	Deferred inflow	$ 5,975,690	Derivative instrument	$ 31,761,630	$ 105,000,000

The fair value of the interest rate swap was estimated using the zero-coupon method. This method calculates the future net settlement payments required by the swap, assuming that the current forward rates implied by the yield curve correctly anticipate future spot interest rates. These payments are then discounted using the spot rates implied by the current yield curve for hypothetical zero-coupon bonds due on the date of the future net settlement on the swap.

Objective and Terms of Hedging Derivative Instruments. The following table displays the objective and terms of the Commission's hedging derivative instruments outstanding at during 2021 through the effective date of termination, June 15, 2021, along with the credit rating of the associated counterparty:

Type	Objective	Notional Amount	Effective Date	Maturity Date	Terms	Counterparty Credit Rating
Pay-fixed interest rate swap	Hedge of changes in cash flows on the 2006B Series Bonds	$ 105,000,000	06/01/06	01/01/34	Pay 3.731%; receives 70% of one month LIBOR	A+/Aa3

Credit Risk. The Commission was exposed to credit risk on hedging derivative instruments that are in asset positions. To minimize its exposure to loss related to credit risk, it is the Commission's policy to require counterparty collateral posting provisions in its nonexchange-traded hedging derivative instruments. These terms require collateralization, subject to a threshold amount of $1,000,000, of the fair value of hedging derivative instruments in asset positions (net of the effect of applicable netting arrangements) should the counterparty's credit rating fall below A- as issued by Standard & Poor's (S&P) or A3 as issued by Moody's Investors Service. Collateral posted is to be in the form of U.S. Treasury securities held by a third-party custodian. The Commission has never failed to access collateral when required.

NOTE 6. DERIVATIVE INSTRUMENTS (CONTINUED)

It is the Commission's policy to enter into netting arrangements whenever it has entered into more than one derivative instrument transaction with a counterparty. Under the terms of these arrangements, should one party become insolvent or otherwise default on its obligations, close-out netting provisions permit the nondefaulting party to accelerate and terminate all outstanding transactions and net the transactions' fair values so that a single sum will be owed by, or owed to, the nondefaulting party.

Interest Rate Risk. The Commission was exposed to interest rate risk on its interest rate swap during 2021 through the date of termination. On its pay-fixed, receive-variable interest rate swap, as LIBOR or the SIFMA swap index decreases, the Commission's net payment on the swap increases.

Basis Risk. The Commission was exposed to basis risk on its pay-fixed interest rate swap hedging derivative instruments during 2021 through the date of termination because the variable-rate payments received by the Commission on these hedging derivative instruments are based on a rate or index other than interest rates the Commission pays on its hedged variable-rate debt, which is remarketed every seven days.

Termination Risk. The Commission or its counterparties may terminate a derivative instrument if the other party fails to perform under the terms of the contract. In addition, the swaps may be terminated if (a) collateral is not delivered as required by the agreement within 15 days of a reduction in credit ratings as described above, or (b) the Commission’s credit rating falls below A3 by Moody's or A- by S&P. Termination could result in the Commission being required to make a termination payment. If at the time of termination, a hedging derivative instrument is in a liability position, the Commission would be liable to the counterparty for a payment equal to the liability, subject to netting arrangements.

Rollover Risk. The Commission was exposed to rollover risk during 2021 through the date of termination on hedging derivative instruments that are hedges of debt that mature or may be terminated prior to the maturity of the hedged debt. When these hedging derivative instruments terminate, or in the case of a termination option if the counterparty exercises its option, the Commission will be re-exposed to the risks being hedged by the hedging derivative instrument.

NOTE 7. NET POSITION

The balances of the restricted net position accounts are as follows:

	2021	2020
Revenue bond current debt service account	**$ 36,475,472**	$ 32,533,324
Revenue bond depreciation contingency account	**19,672,510**	19,611,623
Total restricted net position	**$ 56,147,982**	$ 52,144,947

The calculation of the net investment in capital assets component of net position is as follows:

	2021	2020
Net investment in capital assets:		
Capital assets, net of accumulated depreciation	$ **1,313,765,599**	$ 1,277,714,297
Add:		
Deferred loss on refunding	**48,059,223**	26,433,026
Unspent bond proceeds	**104,118,741**	126,663,799
Accrued interest receivable	**46,006**	336,345
Less:		
Outstanding bonds payable, net of original issue premiums	**(726,061,701)**	(729,447,346)
	$ **739,927,868**	$ 701,700,121

NOTE 8. RISK MANAGEMENT

The Commission is exposed to various risks of loss related to torts; theft of, damage to and destruction of assets; errors and omissions; and natural disasters. For all of these risks, the Commission is a member of the State of South Carolina Insurance Reserve Fund. The Commission pays an annual premium to the State Insurance Reserve Fund for its general insurance coverage. The State Insurance Reserve Fund is self-sustaining through member premiums and reinsures through commercial companies for certain claims.

The Commission has not significantly reduced insurance coverages from the previous year and settled claims in excess of insurance coverage for the last three years were immaterial. For each of the insurance programs and public entity risk pools in which they participate, the Commission has effectively transferred all risk with no liability for unfunded claims.

NOTE 8. RISK MANAGEMENT (CONTINUED)

Health and Dental Insurance. The Commission is self-insured for medical and dental coverage up to $150,000 per employee and covered retiree per plan year. Health claims are handled by an administrator and any recoveries under the stop-loss provision are determined as of December 31. The liability for claims incurred but not reported (IBNR) is determined by the Commission's independent insurance administrator.

Workers' Compensation Insurance. The Commission has an excess workers' compensation and employer's liability indemnity policy with a private insurer that limits the Commission's risk of loss to $850,000 per accident and each employee for disease. The policy also provides a $2,000,000 limit for the employer's liability.

Liabilities for Claims and Judgments. Liabilities are reported as a component of accounts payable and accrued liabilities when it is probable that a loss has occurred and the amount of the loss can be reasonably estimated. Liabilities also include an amount for claims that have been incurred but not reported. Because actual liability for claims depends on such complex factors as inflation, change in legal doctrines and damage awards, the process used in computing such liability does not necessarily result in an exact amount. Liabilities for claims are reevaluated annually to take into consideration recently settled claims, the frequency of claims and any other relevant information. Non-incremental claims adjustment expenses have not been included as a part of the liability for claims and judgments.

	Health and Dental Insurance		Workers' Compensation		Total	
	2021	2020	**2021**	2020	**2021**	2020
Unpaid claims, beginning of fiscal year	**$ 514,421**	$ 464,624	**$ 402,674**	$ 433,136	**$ 917,095**	$ 897,760
Claims paid	**(11,492,791)**	(9,648,169)	**(1,133,545)**	(847,553)	**(12,626,336)**	(10,495,722)
Incurred claims	**11,412,927**	9,697,966	**898,052**	817,091	**12,310,979**	10,515,057
Unpaid claims, end of year	**$ 434,557**	$ 514,421	**$ 167,181**	$ 402,674	**$ 601,738**	$ 917,095

NOTE 9. CONTINGENT LIABILITIES AND COMMITMENTS

Federal Grants. Amounts received or receivable from grant agencies are subject to audit and adjustment by grantor agencies, principally the federal government. Any disallowed claims, including amounts already collected, may constitute a liability of the Commission. The amount, if any, of expenditures which may be disallowed by the grantor cannot be determined at this time although the Commission expects such amounts, if any, to be immaterial.

NOTE 9. CONTINGENT LIABILITIES AND COMMITMENTS (CONTINUED)

Litigation. The Commission is party to various legal proceedings, which normally occur in governmental operations. These lawsuits involve a contractual dispute between a company and a contractor of the Commission and certain claims under contractual agreements. Although the outcome of these lawsuits is not presently determinable, it is the opinion of legal counsel that resolution of these matters will not have a material adverse effect on the financial condition of the Commission.

Construction Commitments. At December 31, 2021 and 2020, the Commission has commitments under contracts for construction of various projects not completed of approximately $37,363,640 and $22,119,017, respectively.

NOTE 10. RETIREMENT SYSTEM

Overview

The South Carolina Public Employee Benefit Authority (PEBA), created July 1, 2012, is the state agency responsible for the administration and management of the various Retirement Systems and retirement programs of the state of South Carolina, including the State Optional Retirement Program and the S.C. Deferred Compensation Program, as well as the state's employee insurance programs. As such, PEBA is responsible for administering the South Carolina Retirement Systems' five defined benefit pension plans. PEBA has an 11-member Board of Directors, appointed by the Governor and General Assembly leadership, which serves as custodian, co-trustee and co-fiduciary of the Systems and the assets of the retirement trust funds. The Retirement System Investment Commission (Commission as the governing body, RSIC as the agency), created by the General Assembly in 2005, has exclusive authority to invest and manage the retirement trust funds' assets. The Commission, an eight-member board, serves as co-trustee and co-fiduciary for the assets of the retirement trust funds. By law, the State Fiscal Accountability Authority (SFAA), which consists of five elected officials, also reviews certain PEBA Board decisions regarding the actuary of the Systems.

For purposes of measuring the net pension liability, deferred outflows and inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Systems and additions to/deductions from the Systems fiduciary net position have been determined on the accrual basis of accounting as they are reported by the Systems in accordance with generally accepted accounting principles (GAAP). For this purpose, revenues are recognized when earned and expenses are recognized when incurred. Benefit and refund expenses are recognized when due and payable in accordance with the terms of the plan. Investments are reported at fair value.

NOTE 10. RETIREMENT SYSTEM

Overview (Continued)

PEBA issues an Annual Comprehensive Financial Report (ACFR) containing financial statements and required supplementary information for the Systems' Pension Trust Funds. The ACFR is publicly available through the Retirement Benefits' link on PEBA's website at www.peba.sc.gov, or a copy may be obtained by submitting a request to PEBA, 202 Arbor Lake Drive, Columbia, SC 29223. PEBA is considered a division of the primary government of the state of South Carolina and therefore, retirement trust fund financial information is also included in the ACFR of the state.

Plan Description

The Commission contributes to the South Carolina Retirement System (SCRS), a cost–sharing multiple-employer defined benefit pension plan that was established effective July 1, 1945, pursuant to the provisions of Section 9-1-20 of the South Carolina Code of Laws for the purpose of providing retirement allowances and other benefits for employees of the state, its public school districts and political subdivisions.

Membership

Membership requirements are prescribed in Title 9 of the South Carolina Code of Laws. Generally, all employees of covered employers are required to participate in and contribute to the SCRS as a condition of employment. This plan covers general employees, teachers and individuals newly elected to the South Carolina General Assembly beginning with the November 2012 general election. An employee member of the system with an effective date of membership prior to July 1, 2012, is a Class Two member. An employee member of the system with an effective date of membership on or after July 1, 2012, is a Class Three member.

Benefits

Benefit terms are prescribed in Title 9 of the South Carolina Code of Laws. PEBA does not have the authority to establish or amend benefit terms without a legislative change in the code of laws. Key elements of the benefit calculation include the benefit multiplier, years of service, and average final compensation. A brief summary of the benefit terms is presented on the following page.

NOTE 10. RETIREMENT SYSTEM

Benefits (Continued)

A Class Two member who has separated from service with at least five or more years of earned service is eligible for a monthly pension at age 65 or with 28 years credited service regardless of age. A member may elect early retirement with reduced pension benefits payable at age 55 with 25 years of service credit. A Class Three member who has separated from service with at least eight or more years of earned service is eligible for a monthly pension upon satisfying the Rule of 90 requirement that the total of the member's age and the member's creditable service equals at least 90 years. Both Class Two and Class Three members are eligible to receive a reduced deferred annuity at age 60 if they satisfy the five- or eight-year earned service requirement, respectively. An incidental death benefit is also available to beneficiaries of active or retired members of employees who participate in the death benefit program.

The annual retirement allowance of eligible retirees or their surviving annuitants is increased by the lesser of 1% or $500 every July 1. Only those annuitants in receipt of a benefit on July 1 of the preceding year are eligible to receive the increase. Members who retire under the early retirement provisions at age 55 with 25 years of service are not eligible for the benefit adjustment until the second July 1 after reaching age 60 or the second July 1 after the date they would have had 28 years of service credit had they not retired.

Contributions

Actuarial valuations are performed annually by an external consulting actuary to ensure applicable contribution rates satisfy the funding parameters specified in Title 9 of the South Carolina Code of Laws. Under these provisions, SCRS and PORS contribution requirements must be sufficient to maintain an amortization period for the financing of the unfunded actuarial accrued liability (UAAL) over a period that does not exceed the number of years scheduled in state statute. Legislation in 2017 increased, but also established a ceiling for SCRS and PORS employee contribution rates. Effective July 1, 2017, employee rates were increased to a capped rate of 9.00 percent for SCRS and 9.75 percent for PORS. The legislation also increased employer contribution rates beginning July 1, 2017, for both SCRS and PORS by two percentage points and further scheduled employer contribution rates to increase by a minimum of one percentage point each year in accordance with state statute. However, the General Assembly postponed the one percent increase in the SCRS and PORS employer contribution rates that was scheduled to go into effect beginning July 1, 2020. If the scheduled contributions are not sufficient to meet the funding periods set in state statute, the Board shall increase the employer contribution rates as necessary to meet the funding periods set for the applicable year. The maximum funding period of SCRS and PORS is scheduled to be reduced over a ten-year schedule from 30 years beginning fiscal year 2018 to 20 years by fiscal year 2028.

NOTE 10. RETIREMENT SYSTEM (CONTINUED)

Contributions (Continued)

Additionally, the Board is prohibited from decreasing the SCRS and PORS contribution rates until the funded ratio is at least 85 percent. If the most recent annual actuarial valuation of the Systems for funding purposes shows a ratio of the actuarial value of system assets to the actuarial accrued liability of the system (the funded ratio) that is equal to or greater than 85 percent, then the Board, effective on the following July 1, may decrease the then current contribution rates upon making a finding that the decrease will not result in a funded ratio of less than 85 percent. If contribution rates are decreased pursuant to this provision, and the most recent annual actuarial valuation of the system shows a funded ratio of less than 85 percent, then effective on the following July 1, and annually thereafter as necessary, the Board shall increase the then current contribution rates until a subsequent annual actuarial valuation of the system shows a funded ratio that is equal to or greater than 85 percent. For the years ended December 31, 2021 and 2020, respectively, the Commission contributed $4,414,566 and $4,311,165 to the SCRS plan.

Required employee contribution rates during the year ended December 31, 2021, are as follows:

- 9.00% of earnable compensation from January 1st through June 30th
- 9.00% of earnable compensation from July 1st through December 31st

Required employer contribution rates during the year ended December 31, 2021, are as follows:

- 15.41% of earnable compensation from January 1st through June 30th
- 16.41% of earnable compensation from July 1st through December 31st
- Employer incidental death benefit: 0.15% of earnable compensation

Required employee contribution rates during the year ended December 31, 2020, are as follows:

- 9.00% of earnable compensation from January 1st through June 30th
- 9.00% of earnable compensation from July 1st through December 31st

Required employer contribution rates during the year ended December 31, 2020, are as follows:

- 15.41% of earnable compensation from January 1st through June 30th
- 15.41% of earnable compensation from July 1st through December 31st
- Employer incidental death benefit: 0.15% of earnable compensation

NOTE 10. RETIREMENT SYSTEM (CONTINUED)

Actuarial Assumptions and Methods

Actuarial valuations of the ongoing plan involve estimates of the reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality and future salary increases. Amounts determined regarding the net pension liability are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future. South Carolina state statute requires that an actuarial experience study be completed at least once in each five-year period. An experience report on the Systems was most recently issued for the period ending June 30, 2019.

The June 30, 2021, (the measurement date), total pension liability, net pension liability, and sensitivity information were determined by the consulting actuary, Gabriel, Roeder, Smith and Company (GRS) and are based on the July 1, 2020 actuarial valuation. The total pension liability was rolled-forward from the valuation date to the plans' fiscal year end, June 30, 2021, using generally accepted actuarial principles. There was no legislation enacted during the 2021 legislative session that had a material change in the benefit provisions for any of the systems. For PEBA's fiscal year ended June 30, 2021 the Board adopted updated demographic assumptions. Also, the General Assembly permitted the investment return assumption at July 1, 2021 to decrease from 7.25% to 7.00%, as provided by Section 9-16-335 in South Carolina State Code.

Assumptions and methods used in the July 1, 2020 valuation for the System are as follows:

Actuarial cost method	Entry age normal
Actuarial assumptions:	
Investment rate of return	7.00%
Projected salary increase	3.0% to 11.0% (varies by service)
Inflation	2.25%
Benefit adjustments	Lesser of 1.0% or $500 annually

The post-retiree mortality assumption is dependent upon the member's job category and gender. The base mortality assumptions, the 2020 Public Retirees of South Carolina Mortality table (2020 PRSC), was developed using the Systems' mortality experience. These base rates are adjusted for future improvement in mortality using 80% of Scale UMP projected from the year 2020.

NOTE 10. RETIREMENT SYSTEM (CONTINUED)

Actuarial Assumptions and Methods (Continued)

Assumptions used in the July 1, 2020 valuations for SCRS are as follows:

Former Job Class	Males	Females
General Employees and Members of the General Assembly	2020 PRSC Males multiplied by 97%	2020 PRSC Females multiplied by 107%

The long-term expected rate of return on pension plan investments is based upon 20-year capital market assumptions. The long-term expected rates of return represent assumptions developed using an arithmetic building block approach primarily based on consensus expectations and market-based inputs. Expected returns are net of investment fees.

The expected returns, along with the expected inflation rate, form the basis for the target asset allocation adopted at the beginning of the 2021 fiscal year. The long-term expected rate of return is produced by weighting the expected future real rates of return by the target allocation percentage and adding expected inflation and is summarized in the table below. For actuarial purposes, the 7 percent assumed annual investment rate of return used in the calculation of the total pension liability includes a 4.75 percent real rate of return and a 2.25 percent inflation component.

Allocation / Exposure	Policy Target	Expected Arithmetic Real Rate of Return	Long-term Expected Portfolio Real Rate of Return
Public Equity	**46.0%**	6.87%	3.16%
Bonds	**26.0%**	0.27%	0.07%
Private Equity	**9.0%**	9.68%	0.87%
Private Debt	**7.0%**	5.47%	0.39%
Real Assets	**12.0%**		
Real Estate	9.0%	6.01%	0.54%
Infrastructure	3.0%	5.08%	0.15%
	100.0%		
	Total expected real return		5.18%
	Inflation for actuarial purposes		2.25%
	Total expected nominal return		7.43%

NOTE 10. RETIREMENT SYSTEM (CONTINUED)

Discount Rate

The discount rate used to measure the total pension liability was 7.00% at the June 30, 2021 measurement date and 7.25% at the June 30, 2020 measurement date. The projection of cash flows used to determine the discount rate assumed that contributions from participating employers in SCRS will be made based on the actuarially determined rates based on provisions in the South Carolina State Code of Laws. Based on those assumptions, each System's fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

The following table presents the sensitivity of the net pension liability to changes in the discount rate for the measurement period ended June 30, 2021.

Sensitivity of the Net Position Liability to Changes in the Discount Rate

1% Decrease (6.00%)	Current Discount Rate (7.00%)	1% Increase (8.00%)
$ 68,212,704	$ 52,075,716	$ 38,662,541

The following table presents the sensitivity of the net pension liability to changes in the discount rate for the measurement period ended June 30, 2020.

Sensitivity of the Net Position Liability to Changes in the Discount Rate

1% Decrease (6.25%)	Current Discount Rate (7.25%)	1% Increase (8.25%)
$ 76,757,903	$ 61,932,632	$ 49,553,352

Net Pension Liability

The most recent annual actuarial valuation report adopted by the PEBA Board and Budget and Control Board is as of July 1, 2020. The net pension liability of the System was, therefore, determined based on the July 1, 2020 actuarial valuations, using membership data as of July 1, 2020, projected forward to the end of the fiscal year, and financial information of the pension trust fund as of June 30, 2021, using generally accepted actuarial principles. Information included in the following schedules is based on the certification provided by the System's consulting actuary, Gabriel, Roeder, Smith and Company.

NOTE 10. RETIREMENT SYSTEM (CONTINUED)

Net Pension Liability (Continued)

For the Commission's fiscal year ending December 31, 2021 (measurement period ending June 30, 2021), the SCRS's total pension liability, fiduciary net position, and the Commission's proportionate share of the collective net pension liability for the South Carolina Retirement System is as follows:

Total pension liability	$ 55,131,579,363
Plan fiduciary net position	33,490,305,970
Employers' net pension liability	$ 21,641,273,393
Plan fiduciary net position as a percentage of the total pension liability	60.7%
Commission's proportionate share of the collective net pension liability	0.240631%

For the Commission's fiscal year ending December 31, 2020 (measurement period ending June 30, 2020), the SCRS's total pension liability, fiduciary net position, and the Commission's proportionate share of the collective net pension liability for the South Carolina Retirement System is as follows:

Total pension liability	$ 51,844,187,763
Plan fiduciary net position	26,292,418,682
Employers' net pension liability	$ 25,551,769,081
Plan fiduciary net position as a percentage of the total pension liability	50.7%
Commission's proportionate share of the collective net pension liability	0.242381%

NOTE 10. RETIREMENT SYSTEM (CONTINUED)

Pension Expense, Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

For the year ended December 31, 2021, the Commission recognized pension expense of $3,672,848. At December 31, 2021, the Commission reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 887,050	$ 70,283
Changes of assumptions	2,850,454	-
Net difference between projected and actual earnings on pension plan investments	-	7,564,684
Changes in proportion and differences between employer contributions and proportionate share of contributions	266,520	328,686
Employer contributions subsequent to the measurement date	2,330,816	-
Total	$ 6,334,840	$ 7,963,653

For the year ended December 31, 2020, the Commission recognized pension expense of $6,779,742. At December 31, 2020, the Commission reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 714,621	$ 234,194
Changes of assumptions	75,877	-
Net difference between projected and actual earnings on pension plan investments	4,555,664	-
Changes in proportion and differences between employer contributions and proportionate share of contributions	476,441	250,779
Employer contributions subsequent to the measurement date	2,149,138	-
Total	$ 7,971,741	$ 484,973

NOTE 10. RETIREMENT SYSTEM (CONTINUED)

Pension Expense, Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions (Continued)

For the year ended December 31, 2021, Commission contributions subsequent to the measurement date of $2,330,816 are reported as deferred outflows of resources and will be recognized as a reduction of the net pension liability during the year ended December 31, 2022. For the year ended December 31, 2020, Commission contributions subsequent to the measurement date of $2,149,138 were reported as deferred outflows of resources and were recognized as a reduction of the net pension liability during the year ended December 31, 2021.

Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

	South Carolina Retirement System	
Year ended December 31:	**2021**	2020
2021	**$ -**	$ 901,157
2022	**(193,068)**	1,631,936
2023	**(184,022)**	1,642,031
2024	**(751,934)**	1,162,506
2025	**(2,830,605)**	-
	$ (3,959,629)	$ 5,337,630

Pension Plan Fiduciary Net Position

Detailed information regarding the fiduciary net position of the plans administered by PEBA is available in the separately issued ACFR containing financial statements and required supplementary information for SCRS. The ACFR of the Pension Trust Funds is publicly available on PEBA's Retirement Benefits' website at www.retirement.sc.gov, or a copy may be obtained by submitting a request to PEBA, PO Box 11960, Columbia, SC 29211-1960.

NOTE 11. OTHER POST-EMPLOYMENT BENEFITS

Plan Administration and Benefits

The Commission, as authorized by its Board, sponsors a single-employer defined health care plan (the "Plan") that provides medical and dental insurance for retired employees and their spouses based on a formula that takes into account age at the time the benefit is first accessed and years of service at time of retirement (the age/service formula). Employees who retire (including disability retirement) under the South Carolina Retirement System (SCRS) through service or disabled retirement and were employed with the Commission for their last fifteen (15) years in a full-time position are eligible to remain on the Commission's health and dental plan, and are also eligible for the life insurance benefit. Service earned in the TERI program or as a rehired retiree counts toward eligibility service. Employees originally hired before August 24, 2011, are charged premiums based on the plan elected and whether or not the retiree had 30 years of SCRS service at retirement. Service earned in the TERI program or as a rehired retiree will count toward this benefit. See the premium section for the current amounts. Employees originally hired on or after August 24, 2011, are charged the under 30 years of service premium, regardless of service upon retirement. Members that retired or were eligible for full SCRS retirement on or before December 31, 2012, may continue lifetime coverage in the health and dental plans with the Commission paying a portion of the health and dental premiums. At Medicare eligibility, the Commission's insurance becomes secondary to Medicare. Members that were not eligible for full SCRS retirement on December 31, 2012, and who retire after that date may continue coverage in the health and dental plans until they reach Medicare eligibility. At Medicare eligibility age, participation in the Commission's health plan ceases, and the Commission no longer pays a portion of dental premiums. Retirees may continue dental coverage if they pay the full cost of coverage. The Commission will endeavor to find a Medicare Supplement at group rates; however, the retiree must pay the full cost of any Medicare Supplemental insurance. Retirees are provided a death benefit of $1,000, regardless of their participation in the health and dental plan. The Commission pays the full cost of this benefit. The retiree may continue spouse and dependent coverage if enrolled in such coverage at the time of retirement. Spouse coverage continues as long as the retiree remains on the plan. Covered spouses may continue coverage after the retiree's death (and pay the retiree premium for less than 30 years) until reaching Medicare eligibility. The contribution requirements of the Commission and plan members are established and amended by the Commission. These contributions are neither guaranteed nor mandatory. The Commission has retained the right to unilaterally modify its payments toward retiree health care benefits.

The Plan is affiliated with the South Carolina Other Retirement Benefits Employer Trust (SC ORBET), an agent multiple-employer investment plan administered by the Municipal Association of South Carolina. SC ORBET issues a publicly available financial report that includes financial statements and required supplementary information for the Plan. A copy of the report may be obtained by writing to: Chief Financial Officer for Risk Management Services, Municipal Association of South Carolina, PO Box 12109, Columbia, SC 29211.

NOTE 11. OTHER POST-EMPLOYMENT BENEFITS (CONTINUED)

Plan Membership

Membership of the Plan consisted of the following at December 31, 2020, the date of the latest actuarial valuation:

Active participants	412
Retirees and beneficiaries currently receiving benefits	219
Total	631

Contributions

The Board of the Commission established the contribution requirements of plan members which may be amended by the Board. The Board establishes premium rates based on an actuarially determined rate. For the year ended December 31, 2021 and 2020, the Commission contributed $5,124,584 and $3,941,817, respectively. Plan members, once retired, contribute to the plan based on number of years of creditable service. The Commission's contribution is dependent on the employee's number of years of creditable service. Retirees' contribution rates for the years ended December 31, 2021 and 2020, are as follows:

Retiree Contributions		
Tier	Empowerment Plan	Dental Plan
Retiree only with 30 Years	$ 37.36	$ 14.61
Retiree only with less than 30 Years	113.75	14.61
Employee + Spouse	185.02	35.45

NOTE 11. OTHER POST-EMPLOYMENT BENEFITS (CONTINUED)

Contributions (Continued)

It is the policy of the Commission to contribute to the Plan the Actuarially Determined Employer Contribution (ADEC) through deposit to the Trust as well as direct payment of benefits of plan members as the benefits come due. For the year ended December 31, 2021, the Commission made contributions of $2,524,584 in addition to current year benefit payments also made by the Commission of $2,600,000 for a total contribution of $5,124,584. For the year ended December 31, 2020, the Commission made contributions of $1,811,837 in addition to current year benefit payments also made by the Commission of $2,129,980 for a total contribution of $3,941,817.

Net OPEB Liability of the Commission

The Commission's net OPEB liability was measured as of December 31, 2020, and the total OPEB liability used to calculate the net OPEB liability was determined by an actuarial valuation as of December 31, 2020.

Actuarial assumptions. The total OPEB liability in the December 31, 2020 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Discount rate	4.75%
Long-term expected rate of return on OPEB investments	4.75%, net of investment expenses, including inflation
Healthcare cost trend rate:	7.00% - 4.50%, Ultimate Trend in 2031 (Pre-Medicare)
	5.25% - 4.50%, Ultimate Trend in 2025 (Medicare)
Inflation rate	2.25%
Salary increase:	3.00% to 7.00%, including inflation
Participation rate:	90% for eligible retirees
	50% for spouses

NOTE 11. OTHER POST-EMPLOYMENT BENEFITS (CONTINUED)

Net OPEB Liability of the Commission (Continued)

Mortality rates were based on the RP-2014 Mortality Table for Employees with a 95% multiplier to better reflect anticipated experience and provide a margin for future improvements for active members. Mortality rates for retirees and beneficiaries were based on the 2016 Public Retirees of South Carolina Mortality Table (sex distinct rates), projected forward generationally using the AA projection table from the year 2016 and with a multiplier of 100% and 111% for males and females, respectively.

The actuarial assumptions used in the December 31, 2020 valuation were based on the results of an actuarial experience study adopted by the South Carolina Retirement System and South Carolina Police Officers Retirement System.

Several factors were considered in evaluating the long-term rate of return assumption, including long-term historical data, estimates inherent in current market data, and a log-normal distribution analysis in which best-estimate ranges of expected future real rates of return (expected return, net of investment expense and inflation) are developed by the investment consultant for each major asset class. These ranges should be combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and then adding expected inflation. The capital market assumptions developed by the investment consultant may cover a shorter investment horizon and may not be useful in setting the long-term rate of return for funding OPEB plans which are likely to cover a longer timeframe. The assumption is intended to be a long-term assumption and is not expected to change absent a significant change in the asset allocation, a change in the inflation assumption, or a fundamental change in the market that alters expected returns in future years.

NOTE 11. OTHER POST-EMPLOYMENT BENEFITS (CONTINUED)

Net OPEB Liability of the Commission (Continued)

As of the most recent adoption of the current long-term rate of return by the Plan's trust, the target asset allocation for each major asset class, as provided by the Trust, are summarized in the following table:

Asset Class	Target Allocation	Expected Arithmetic Real Rate of Return	Long-term Expected Real Rate of Return
Fixed income:			
U.S. Government Agency	57.50%	4.50%	2.59%
U.S. Government MBS, CMO,CMBS	40.00%	5.25%	2.10%
Cash and cash equivalents	2.50%	2.50%	0.06%
Total	100.00%		4.75%

Discount rate

The discount rate used to measure the total OPEB liability was 4.75%. The projection of cash flows used to determine the discount rate assumed that the Commission will contribute in amounts consistent with its formal contribution policy. Based on those assumptions, the OPEB Trust's fiduciary net position was projected to not be depleted. Therefore, the long-term expected rate of return on OEPB plan investments was applied to discount projected benefit payments to determine the total OPEB liability.

NOTE 11. OTHER POST-EMPLOYMENT BENEFITS (CONTINUED)

Changes in the Net OPEB Liability

The changes in the components of the net OPEB liability of the Commission for the year ended December 31, 2021 (measurement date of December 31, 2020), were as follows:

	Total OPEB Liability (a)	Plan Fiduciary Net Position (b)	Net OPEB Liability (a) - (b)
Balances, beginning of year	$ 60,599,622	$ 18,072,117	$ 42,527,505
Changes for the year:			
Service cost	835,084	-	835,084
Interest	2,828,482	-	2,828,482
Difference between expected and actual experience	(1,525,010)	-	(1,525,010)
Assumption changes	(469,771)	-	(469,771)
Contributions - employer	-	3,941,817	(3,941,817)
Net investment income	-	1,084,261	(1,084,261)
Benefit payments, including refunds of employee contributions	(2,129,980)	(2,129,980)	-
Administrative expense	-	(8,514)	8,514
Net changes	(461,195)	2,887,584	(3,348,779)
Balances, end of year	$ 60,138,427	$ 20,959,701	$ 39,178,726

The Commission's fiduciary net position as a percentage of the the total OPEB liability 34.85%

NOTE 11. OTHER POST-EMPLOYMENT BENEFITS (CONTINUED)

Changes in the Net OPEB Liability (Continued)

The changes in the components of the net OPEB liability of the Commission for the year ended December 31, 2020 (measurement date of December 31, 2019), were as follows:

	Total OPEB Liability (a)	Plan Fiduciary Net Position (b)	Net OPEB Liability (a) - (b)
Balances, beginning of year	$ 59,455,357	$ 16,985,925	$ 42,469,432
Changes for the year:			
Service cost	810,761	-	810,761
Interest	2,773,839	-	2,773,839
Difference between expected and actual experience	(298,003)	-	(298,003)
Assumption changes	-	-	-
Contributions - employer	-	2,292,332	(2,292,332)
Net investment income	-	936,192	(936,192)
Benefit payments, including refunds of employee contributions	(2,142,332)	(2,142,332)	-
Net changes	1,144,265	1,086,192	58,073
Balances, end of year	$ 60,599,622	$ 18,072,117	$ 42,527,505

The Commission's fiduciary net position as a percentage of the the total OPEB liability 29.82%

The required schedule of changes in the Commission’s net OPEB liability and related ratios immediately following the notes to the financial statements presents multiyear trend information about whether the value of plan assets is increasing or decreasing over time relative to the total OPEB liability.

NOTE 11. OTHER POST-EMPLOYMENT BENEFITS (CONTINUED)

Sensitivity of the Net OPEB Liability to Changes in the Discount Rate

The following presents the net OPEB liability of the Commission, as well as what the Commission's net OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower (3.75%) or 1-percentage-point higher (5.75%) than the current discount rate:

Sensitivity of the Net OPEB Liability to Changes in the Discount Rate

	1% Decrease (3.75%)	Discount Rate (4.75%)	1% Increase (5.75%)
2021	$ 46,020,581	$ 39,178,726	$ 33,345,092
2020	$ 49,628,313	$ 42,527,505	$ 36,500,952

Sensitivity of the Net OPEB Liability to Changes in the Healthcare Cost Trend Rates

The following presents the net OPEB liability of the Commission, as well as what the Commission's net OPEB liability would be if it were calculated using healthcare cost trend rates that are 1-percentage-point lower or 1-percentage-point higher than the current healthcare cost trend rates as of December 31, 2021 (measurement date of December 31, 2020):

Sensitivity of the Net OPEB Liability to Changes in the Healthcare Cost Trend Rates

1% Decrease (6.00% decreasing) to 3.00%)	Current Healthcare Cost Trend Rates (7.00% decreasing) to 4.50%)	1% Increase (8.00% decreasing) to 5.50%)
$ 33,014,228	$ 39,178,726	$ 46,445,963

NOTE 11. OTHER POST-EMPLOYMENT BENEFITS (CONTINUED)

Sensitivity of the Net OPEB Liability to Changes in the Healthcare Cost Trend Rates (Continued)

The following presents the net OPEB liability of the Commission, as well as what the Commission's net OPEB liability would be if it were calculated using healthcare cost trend rates that are 1-percentage-point lower or 1-percentage-point higher than the current healthcare cost trend rates as of December 31, 2020 (measurement date of December 31, 2019):

Sensitivity of the Net OPEB Liability to Changes in the Healthcare Cost Trend Rates

1% Decrease (6.25% decreasing) to 3.75%)	Current Healthcare Cost Trend Rates (7.25% decreasing) to 4.75%)	1% Increase (8.25% decreasing) to 5.75%)
$ 35,730,477	$ 42,527,505	$ 50,585,314

Actuarial valuations involve estimates of the value of reported amounts and assumptions about the probability of events far into the future, and actuarially determined amounts are subject to continual revisions as results are compared to past expectations and new estimates are made about the future. Actuarial calculations reflect a long-term perspective. Calculations are based on the substantive plan in effect as of December 31, 2020, (measurement date), and the current sharing pattern of costs between employer and inactive employees.

NOTE 11. OTHER POST-EMPLOYMENT BENEFITS (CONTINUED)

OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB (Continued)

For the year ended December 31, 2021 (December 31, 2020 measurement date), the Commission recognized OPEB expense of $4,774,689. At December 31, 2021, the Commission reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 6,610,721	$ 1,625,500
Changes of assumptions	212,078	394,487
Net difference between projected and actual earnings on OPEB plan investments	251,331	-
Commission contributions subsequent to the measurement date	5,124,584	-
Total	$ 12,198,714	$ 2,019,987

For the year ended December 31, 2020 (December 31, 2019 measurement date), the Commission recognized OPEB expense of $5,133,993. At December 31, 2020, the Commission reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 8,729,542	$ 458,269
Changes of assumptions	280,052	-
Net difference between projected and actual earnings on OPEB plan investments	684,469	-
Commission contributions subsequent to the measurement date	3,941,817	-
Total	$ 13,635,880	$ 458,269

NOTE 11. OTHER POST-EMPLOYMENT BENEFITS (CONTINUED)

OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB (Continued)

For the year ended December 31, 2021, Commission contributions subsequent to the measurement date of $5,124,584 are reported as deferred outflows of resources and will be recognized as a reduction of the net pension liability during the year ended December 31, 2022. For the year ended December 31, 2020, Commission contributions subsequent to the measurement date of $3,941,817 were reported as deferred outflows of resources and were recognized as a reduction of the net pension liability during the year ended December 31, 2021.

Other amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

Year ended December 31:	**2021**	2020
2021	**$ -**	$ 2,359,745
2022	**2,003,366**	2,359,744
2023	**1,853,997**	2,210,375
2024	**1,741,676**	2,098,054
2025	**(142,655)**	213,721
2026	**(325,522)**	(5,845)
Thereafter	**(76,719)**	-
	$ 5,054,143	$ 9,235,794

NOTE 12. CONCENTRATIONS OF CREDIT RISK

The Commission grants credit to customers in the Charleston area of South Carolina. Accounts receivable and financed impact fees are financial instruments that potentially subject the Commission to credit risk. No collateral is required for credit granted to customers.

Generally, the Commission terminates services for accounts unpaid after 90 days. Additionally, the Commission participates in the State of South Carolina debt collection program whereby delinquent customer balances may be withheld from customers' state income tax refunds.

NOTE 13. RELATED PARTY

Intergovernmental Payment. For the years ended December 31, 2021 and 2020, the Commission contributed $1,095,000 to the City of Charleston, South Carolina.

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REQUIRED SUPPLEMENTARY INFORMATION

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COMMISSIONERS OF PUBLIC WORKS
OF THE CITY OF CHARLESTON

REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF CHANGES IN THE COMMISSION'S NET OPEB LIABILITY
AND RELATED RATIOS
FOR THE YEAR ENDED DECEMBER 31,

	2021	2020	2019	2018
Total OPEB liability				
Service cost	**$ 835,084**	$ 810,761	$ 634,246	$ 615,773
Interest on total OPEB liability	**2,828,482**	2,773,839	2,133,627	2,127,104
Difference between expected and actual experience	**(1,525,010)**	(298,003)	12,967,184	(403,038)
Changes of assumptions and other inputs	**(469,771)**	-	416,000	-
Benefit payments	**(2,129,980)**	(2,142,332)	(3,191,321)	(1,250,712)
Net change in total OPEB liability	**(461,195)**	1,144,265	12,959,736	1,089,127
Total OPEB liability - beginning	**60,599,622**	59,455,357	46,495,621	45,406,494
Total OPEB liability - ending (a)	**$ 60,138,427**	$ 60,599,622	$ 59,455,357	$ 46,495,621
Plan fiduciary net position				
Contributions - employer	**$ 3,941,817**	$ 2,292,332	$ 3,077,383	$ 1,250,712
Net investment income	**1,084,261**	936,192	(1,048)	63,257
Benefit payments	**(2,129,980)**	(2,142,332)	(3,191,321)	(1,250,712)
Administrative expenses	**(8,514)**	-	-	(34,246)
Net change in plan fiduciary net position	**2,887,584**	1,086,192	(114,986)	29,011
Plan fiduciary net position - beginning	**18,072,117**	16,985,925	17,100,911	17,071,900
Plan fiduciary net position - ending (b)	**$ 20,959,701**	$ 18,072,117	$ 16,985,925	$ 17,100,911
Commission's net OPEB liability - ending (a) - (b)	**$ 39,178,726**	$ 42,527,505	$ 42,469,432	$ 29,394,710
Plan fiduciary net position as a percentage of the total OPEB liability	**34.85%**	29.82%	28.57%	36.78%
Covered payroll	**$ 24,947,596**	$ 23,019,436	$ 23,019,436	$ 22,130,784
Net OPEB liability as a percentage of covered payroll	**157.04%**	184.75%	184.49%	132.82%

This schedule will present 10 years of information once it is accumulated.

COMMISSIONERS OF PUBLIC WORKS
OF THE CITY OF CHARLESTON

REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF COMMISSION OPEB CONTRIBUTIONS
FOR THE YEARS ENDED DECEMBER 31,

	2021	2020	2019	2018	2017
Actuarially determined contribution	**$ 3,360,712**	$ 3,941,817	$ 2,292,332	$ 2,222,149	$ 1,250,712
Contributions in relation to the actuarially determined contribution	**3,360,712**	3,941,817	2,292,332	2,222,149	1,250,712
Contribution deficiency (excess)	**$ -**	$ -	$ -	$ -	$ -
Covered payroll	**$ 24,947,596**	$ 23,019,436	$ 23,019,436	$ 23,110,559	$ 22,130,784
Contributions as a percentage of covered payroll	**13.47%**	17.12%	9.96%	9.62%	5.65%

Notes to the Schedule:

(1) Actuarial Assumptions

Valuation Date	December 31, 2020
Measurement Date	December 31, 2020
Employer's Reporting Date	December 31, 2021
Cost Method	Entry Age Normal
Assumed Rate of Return on Investments	4.75%, net of investment expenses, including inflation
Projected Salary Increases	3.00% to 7.00%, including 2.25% for inflation
Cost-of-living Adjustment	None
Health Care Cost Trends:	
Pre-Medicare	7.00% for 2021, decreasing to an ultimate rate of 4.50% by 2031
Medicare	5.25% for 2021, decreasing to an ultimate rate of 4.50% by 2025

(2) The schedule will present 10 years of information once it is accumulated.

COMMISSIONERS OF PUBLIC WORKS
OF THE CITY OF CHARLESTON

REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
SOUTH CAROLINA RETIREMENT SYSTEM
FOR THE YEARS ENDED DECEMBER 31,

South Carolina Retirement System

Plan Year Ended June 30,	Commission's proportion of the net pension liability	Commission's proportionate share of the net pension liability	Commission's covered payroll	Commission's share of the net pension liability as a percentage of its covered payroll	Plan fiduciary net position as a percentage of the total pension liability
2021	0.240631%	$ 52,075,716	$ 27,201,173	191.4%	60.7%
2020	0.242381%	61,932,632	27,040,893	229.0%	50.7%
2019	0.241422%	55,126,731	25,482,450	216.3%	54.4%
2018	0.238440%	53,426,767	24,669,791	216.6%	54.1%
2017	0.242889%	54,678,220	19,948,576	274.1%	53.3%
2016	0.245580%	52,455,526	19,070,730	275.1%	52.9%
2015	0.246886%	46,823,120	18,615,196	251.5%	57.0%
2014	0.252430%	43,460,077	18,767,717	231.6%	59.9%

The above schedule will present 10 years of information once it is accumulated.

The assumptions used in the preparation of the above schedule are disclosed in Note 10 to the financial statements.

COMMISSIONERS OF PUBLIC WORKS
OF THE CITY OF CHARLESTON

REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF EMPLOYER CONTRIBUTIONS
SOUTH CAROLINA RETIREMENT SYSTEM
FOR THE YEARS ENDED DECEMBER 31,

South Carolina Retirement System

Year Ended December 31,	Actuarially required contribution	Contributions in relation to the actuarially determined contribution	Contribution deficiency (excess)	Commission's covered payroll	Contributions as a percentage of covered payroll
2021	$ 4,414,566	$ 4,414,566	$ -	$ 26,718,419	16.52%
2020	4,311,165	4,311,165	-	27,706,715	15.56%
2019	3,934,695	3,934,695	-	26,111,882	15.07%
2018	3,539,677	3,539,677	-	25,170,839	14.06%
2017	2,832,968	2,832,968	-	24,185,887	11.71%
2016	2,630,191	2,630,191	-	23,849,204	11.03%
2015	2,523,195	2,523,195	-	24,162,762	10.44%
2014	2,429,240	2,429,240	-	22,914,527	10.60%

The above schedules will present 10 years of information once it is accumulated.

The assumptions used in the preparation of the above schedule are as follows:

System	SCRS
Calculation date	July 1, 2019
Actuarial cost method	Entry Age Normal
Asset valuation method	5-year Smoothed
Amortization method	Level % of pay
Amortization period	28 years maximum, closed period
Investment return	7.25%
Inflation	2.25%
Salary increases	3.00% plus step-rate increases for members with less than 21 years of service
Mortality	2016 Public Retirees of South Carolina Mortality Tables for Males and Females, both projected at Scale AA from the year 2016. Male rates are multiplied by 100% for non-educators and 92% for educators. Female rates are multiplied by 111% for non-educators and 98% for educators.

SUPPLEMENTARY INFORMATION

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COMMISSIONERS OF PUBLIC WORKS OF THE CITY OF CHARLESTON

SCHEDULE OF WATER OPERATING EXPENSES
(EXCLUSIVE OF PROVISION FOR BAD DEBT, DEPRECIATION, AND INTERGOVERNMENTAL FEES)
FOR THE YEARS ENDED DECEMBER 31, 2021 AND 2020

	Source of Supply	Water Treatment	Raw Water Pumping	Potable Water Pumping	Water Distribution	Water Services	2021	2020
Maintenance								
Dams and intakes	$ 132,376	$ -	$ -	$ -	$ -	$ -	**$ 132,376**	$ 207,890
Buildings and grounds	11,285	387,659	31,780	74,175	50,040	29,967	**584,906**	305,025
Maintenance and analytical	-	111,593	-	-	-	6,355	**117,948**	150,407
Equipment	35,209	1,246,690	102,579	250,820	774,810	443,585	**2,853,693**	2,398,796
Instrumentation	-	63,035	-	-	-	-	**63,035**	104,416
Chemicals	-	3,706,086	-	-	-	-	**3,706,086**	3,592,503
Pumping	-	-	12,697	160,509	-	-	**173,206**	234,755
Tanks/basin	-	64,627	-	-	-	-	**64,627**	478,817
Filters	-	36,136	-	-	-	-	**36,136**	84,874
Mains and accessories	-	-	-	-	566,305	32,275	**598,580**	608,720
Service lines	-	-	-	-	-	100,800	**100,800**	179,787
Backflow prevention	-	-	-	-	-	2,777	**2,777**	4,755
Meters	6,046	203,110	17,027	39,741	92,283	55,265	**413,472**	567,631
Other								
Vehicles	1,002	50,196	2,822	6,586	35,739	21,403	**117,748**	418,430
Personnel services	405,712	12,590,563	779,451	1,819,268	6,648,315	4,215,734	**26,459,043**	28,165,432
Temporary help	1,972	66,248	5,553	12,962	311,742	186,690	**585,167**	94,580
Outside services	23,905	1,813,145	67,322	157,133	374,758	209,290	**2,645,553**	2,943,672
General office	57,286	2,026,212	161,328	376,546	1,012,994	605,253	**4,239,619**	3,989,638
Education	1,483	62,349	4,176	9,748	26,584	15,305	**119,645**	120,941
Engineering	-	-	-	-	507,841	304,126	**811,967**	815,839
Utilities - electricity	8,506	576,832	729,208	1,557,440	55,807	33,420	**2,961,213**	2,982,389
Utilities - telephones	295	9,915	15,375	38,174	6,690	4,007	**74,456**	411,442
Utilities - fuel	6,467	217,795	18,214	42,511	88,110	52,766	**425,863**	62,674
Utilities - water/stormwater	524	17,605	1,476	3,445	11,521	6,899	**41,470**	19,080
Other	7,691	258,361	21,658	50,551	117,386	70,298	**525,945**	656,070
Subtotals	$ 699,759	$ 23,508,157	$ 1,970,666	$ 4,599,609	$ 10,680,925	$ 6,396,215	**47,855,331**	49,598,563
Less: Overhead allocated to construction in progress							**(1,174,812)**	(1,016,339)
Total water operating expenses							**$ 46,680,519**	$ 48,582,224
							27.80%	30.53%

COMMISSIONERS OF PUBLIC WORKS OF THE CITY OF CHARLESTON

SCHEDULE OF WASTEWATER OPERATING EXPENSES
(EXCLUSIVE OF PROVISION FOR BAD DEBT, DEPRECIATION, AND INTERGOVERNMENTAL FEES)
FOR THE YEARS ENDED DECEMBER 31, 2021 AND 2020

	Source Treatment	Sludge Disposal	Lift Stations	Collection	2021	2020
Maintenance						
Buildings and grounds	$ 117,518	$ 33,222	$ 134,097	$ 35,905	**$ 320,742**	$ 271,617
Mains and accessories	-	-	-	468,406	**468,406**	681,427
Instrumentation	(112)	-	-	-	**(112)**	18,337
Inspection	-	-	-	-	**-**	76,253
Pumping	-	-	133,209	-	**133,209**	43,303
Equipment	708,519	269,671	589,686	880,522	**2,448,398**	2,904,366
Analytical	435,448	66,558	-	-	**502,006**	144,079
Chemicals	181,375	354,505	9,592	-	**545,472**	454,018
Grit and sludge disposal	-	2,393,716	-	-	**2,393,716**	943,488
Purchased treatment	3,036,773	-	-	-	**3,036,773**	2,867,242
Other						
Vehicles	36,569	18,121	194,906	303,379	**552,975**	471,046
Personnel services	6,414,720	2,885,121	2,921,826	5,476,851	**17,698,518**	18,851,672
Temporary help	24,682	6,701	5,226	8,134	**44,743**	63,054
Outside services	496,559	211,999	178,309	277,580	**1,164,447**	1,467,757
General office	670,603	311,478	278,762	527,344	**1,788,187**	1,761,189
Education	39,329	16,516	10,697	24,735	**91,277**	86,255
Utilities - electricity	1,215,263	14,033	647,916	37,909	**1,915,121**	1,872,198
Utilities - telephones	117,369	57,409	48,774	63,488	**287,040**	276,976
Utilities - fuel	38,027	58	2,794	4,349	**45,228**	18,731
Utilities - water/stormwater	96,270	47,230	58,630	7,680	**209,810**	166,032
Other	142,028	69,679	54,340	84,584	**350,631**	437,387
Subtotals	$ 13,770,940	$ 6,756,017	$ 5,268,764	$ 8,200,866	**33,996,587**	33,876,427
Less: Overhead allocated to construction in progress					**(805,119)**	(711,316)
Total wastewater operating expenses					**$ 33,191,468**	$ 33,165,111
Percentage of total operating revenues					**19.76%**	20.84%

COMMISSIONERS OF PUBLIC WORKS
OF THE CITY OF CHARLESTON

SCHEDULE OF NET EARNINGS
FOR THE YEARS ENDED DECEMBER 31, 2021 AND 2020

	2021	2020
Increase in net position	**$ 60,605,700**	$ 54,262,915
Add:		
Depreciation	**40,863,310**	38,934,509
Interest on bonds	**21,096,399**	21,090,366
Gain on sale of capital assets	**(203,820)**	(84,867)
Unrealized (gain) loss on investments	**543,229**	(513,672)
Contributions - City of Charleston	**1,095,000**	1,095,000
Subtotal	**63,394,118**	60,521,336
Deduct:		
Contributed systems	**21,936,911**	15,672,599
Interest earned on construction funds	**777,573**	3,394,287
Subtotal	**22,714,484**	19,066,886
Net earnings per bond ordinance	**$ 101,285,334**	$ 95,717,365
Net Earnings Coverage of 2020 Debt Service Requirement of $48,985,543		195%
Net Earnings Coverage of 2021 Debt Service Requirement of $48,223,239	**210%**	
Net Earnings Coverage of Projected 2022 Debt Service Requirement of $49,133,009	**206%**	195%

Note: This schedule is not a financial statement prepared in accordance with generally accepted accounting principles.

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COMPLIANCE SECTION

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MAULDIN & JENKINS
CPAs & ADVISORS

INDEPENDENT AUDITOR'S REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON COMPLIANCE AND OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH *GOVERNMENT AUDITING STANDARDS*

To the Commissioners of Public Works
of the City of Charleston
Charleston, South Carolina

We have audited, in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the **Commissioners of Public Works of the City of Charleston** (the "Commission) as of and for the year ended December 31, 2021, and the related notes to the financial statements, which collectively comprise the Commission's basic financial statements and have issued our report thereon dated April 19, 2022.

Report on Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered the Commission's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinion on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the Commission's internal control. Accordingly, we do not express an opinion on the effectiveness of the Commission's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A *material weakness* is a deficiency, or combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that were not identified.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the Commission's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Mauldin & Jenkins, LLC

Columbia, South Carolina
April 19, 2022

COMMISSIONERS OF PUBLIC WORKS
OF THE CITY OF CHARLESTON

SCHEDULE OF FINDINGS AND RESPONSES
FOR THE YEARS ENDED DECEMBER 31, 2021 AND 2020

SECTION I
SUMMARY OF AUDIT RESULTS

Financial Statements

Type of auditor's report issued	Unmodified
Internal control over financial reporting:	
Material weaknesses identified?	____ Yes __X__ No
Significant deficiencies identified not considered to be material weaknesses?	____ Yes __X__ None Reported
Noncompliance material to financial statements noted?	____ Yes __X__ No

Federal Awards

There was not an audit of major federal award programs as of December 31, 2021, due to the total amount expended being less than $750,000.

SECTION II
FINANCIAL STATEMENT FINDINGS AND RESPONSES

None.

SECTION III
FEDERAL AWARDS FINDINGS AND QUESTIONED COSTS

Not applicable.

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APPENDIX B

SUPPLEMENTAL INFORMATION CONCERNING THE SERVICE AREA

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POPULATION GROWTH IN CHARLESTON MSA*

Year	Population	% Change
1980	430,462	28.1%
1990	506,875	17.8
2000	549,033	8.3
2010	664,607	21.1
2020	799,636	20.3
2021**	813,052	1.7

Source: U. S. Census Bureau
*Consists of Berkeley, Charleston and Dorchester Counties.
**Estimate

ANNUAL AVERAGE UNEMPLOYMENT STATISTICS

Year	Charleston MSA	State
2012	7.4%	9.0%
2013	6.1	7.4
2014	5.4	6.3
2015	5.1	5.9
2016	4.2	4.9
2017	3.6	4.2
2018	2.9	3.4
2019	2.4	2.8
2020	5.8*	6.0*
2021	3.6	4.0

*Many employers were closed during April and May 2020 pursuant to the Governor's Executive Orders in response to the COVID-19 pandemic.
Source: South Carolina Employment Security Commission, Labor Market Information Division and Bureau of Labor Statistics.

PER CAPITA INCOME
CHARLESTON COUNTY

Year	Per Capita Income
2016	$56,441
2017	58,874
2018	60,885
2019	64,486
2020	66,656

Source: South Carolina Division of Research and Statistical Services and Bureau of Economic Analysis, U.S. Department of Commerce.

MAJOR EMPLOYERS IN CHARLESTON MSA

Company	Product or Service	Employees
Joint Base Charleston	Area U.S. military commands	22,000
Medical University of South Carolina (MUSC)	Hospital, post-secondary education, research	13,000
Boeing Company	Commercial jetliner manufacturer	7,300
5,000-6,999		
Berkeley County School District	Education/public schools	
Charleston County School District	Education/public schools	
Roper St. Francis Healthcare	Roper and Bon Secours St. Francis hospitals	
3,000-4,999		
Dorchester County School District II	Education/public schools	
2,000-2,999		
Charleston County	Local government	
Trident Health System	Hospital system	
Walmart Inc.	Retail merchandise	
Robert Bosch Corporation	Antilock brake systems, fuel injunction	
U.S. Postal Service	Postal service	
College of Charleston	Post-secondary education	
1,000-1,999		
Volvo Car USA LLC	Manufacture Volvo S60 sedans	
City of Charleston	Local government	
Mercedes-Benz Vans, LLC	Assembly of Sprinter vans	
Kiawah Island Golf Resort/The Sanctuary	Resort	
Blackbaud, Inc.	Specialty computer software development	
Santee Cooper	Electric and water utility	
Trident Technical College	Post-secondary & continuing education	
City of North Charleston	Local government	
Berkeley County	Local government	
IQor	Inbound/outbound customer service call center	
Publix Supermarkets	Retail grocery stores	
Nucor Steel	Manufacture of carbon and alloy steel	
WestRock Company	Paper, packaging manufacturing	
BenefitFocus	Cloud-based benefits management software and support	
JEM Restaurant Group	More than 100 Taco Bell and Pizza Hut franchises	
Harris Teeter	Retail groceries	

Source: Center for Business Research, Charleston Metro Chamber of Commerce.

RETAIL SALES
CHARLESTON COUNTY

Year	Retail Sales
2012	$13,279,094,116
2013	14,312,337,605
2014	14,233,035,529
2015	15,111,033,636
2016	16,184,895,302
2017	16,314,188,955
2018	16,251,430,828
2019	17,011,034,769
2020	16,326,752,152
2021	19,559,795,726

Source: South Carolina Department of Revenue--Administration Division.

NUMBER OF RESIDENTIAL UNITS FOR WHICH BUILDING PERMITS WERE ISSUED
CHARLESTON COUNTY

	Single Family Residential		Multi-Family Residential		Commercial	
Year	Number of Permits	Estimated Construction Costs	Number of Permits	Estimated Construction Costs	Number of Permits	Estimated Construction Costs
2017	2,440	$ 837,440,710	137[1]	$417,257,507	474[1]	$846,006,558
2018	2,416	1,007,086,855	102[2]	258,626,331	474[2]	517,864,204
2019	2,010	795,088,146	902[3]	169,142,409	478[3]	803,054,164
2020	2,186	889,874,452	79[4]	250,815,194	403[4]	562,867,095
2021	2,272	1,081,871,317	109[5]	293,608,474	429[5]	324,304,385

Source: BCD Council of Governments

[1]These numbers do not include "mixed-use" permits which are often, but not always, a combination of multi-family residential and commercial. The mixed use values are: 6 permits for $93,124,617.

[2]These numbers do not include "mixed-use" permits which are often, but not always, a combination of multi-family residential and commercial. The mixed use values are: 4 permits for $158,253,150.

[3]These numbers do not include "mixed-use" permits which are often, but not always, a combination of multi-family residential and commercial. The mixed use values are: 6 permits for $67,821,083.

[4]These numbers do not include "mixed-use" permits which are often, but not always, a combination of multi-family residential and commercial. The mixed use values are: 6 permits for $323,379,859.

[5]These numbers do not include "mixed-use" permits which are often, but not always, a combination of multi-family residential and commercial. The mixed use values are: 4 permits for $143,698,744.

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APPENDIX C

SUMMARY OF BOND ORDINANCE

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SUMMARY OF THE BOND ORDINANCE

The Bond Ordinance contains various covenants and security provisions, some of which are summarized below. For convenience of reference, the relevant article or section number of the Bond Ordinance (herein sometimes called the "Ordinance") appears following the respective captions in this summary. Wherever particular provisions of the Bond Ordinance are referred to, such provisions are incorporated by reference as a part of the statements made, and the statements made are qualified in their entirety by such reference. Reference is made to the Bond Ordinance for a full and complete statement of its provisions. Words and terms used in this summary that are not defined in the Bond Ordinance shall have the same meanings as in the Ordinance. Among the more significant definitions (Section 2.02) are the following:

"Annual Principal and Interest Requirement" shall mean, with respect to any Series of Bonds, the sum of the payments required to be made by the Commissioners (other than from the proceeds of Bonds) in any Fiscal Year with respect to the principal, mandatory sinking fund payments and interest of such Series of Bonds; provided that with respect to any Liquidity Facility, (1) to the extent that such Liquidity Facility has not been used or drawn upon, the principal and interest relating to the repayment of draws under such Liquidity Facility shall not be included in the Annual Principal and Interest Requirement and (2) to the extent such Liquidity Facility has been used or drawn upon, the principal and interest relating to the repayment of draws under such Liquidity Facility shall be included in the Annual Principal and Interest Requirement; provided further that the interest on Variable Rate Indebtedness shall be calculated at the actual rate of interest on the Variable Rate Indebtedness at the time of such calculation; provided further that for purposes of Section 4.02(A)(6)(b) of the Bond Ordinance, interest on Variable Rate Indebtedness shall be calculated at the initial rate borne by such Variable Rate Indebtedness. It is specifically provided that the principal and interest relating to the repayment of draws under any Liquidity Facility shall be on a parity with payment of debt service on all Bonds whether or not the test referred to in either Section 4.02(A)(6)(a) or 4.02(A)(6)(b) and 4.02(B) may be met.

At such time as all Bonds issued on or prior to May 26, 2009, are no longer Outstanding, there shall be excluded from such calculation of interest due on any Bonds the amount of any interest rate subsidy receivable by the City from the United States Treasury pursuant to Section 54AA, 1400U-2 or 6431 of the Code or any successor or similar interest subsidy program established under the Code.

"Authorized Investments" shall mean those investments described in Section 6-5-10, Code of Laws of South Carolina, 1976, as now or hereafter amended.

"Bonds" shall mean collectively the Bonds payable from the revenues of the System as provided in Section 4.18 of the Bond Ordinance issued in accordance with the provisions of the Bond Ordinance, and, without any further action, to the extent so designated in a Series Ordinance, any reimbursement agreements or similar repayment agreements executed and delivered in connection with a Liquidity Facility for any Series of Bonds, and, without any further action, to the extent so designated in a Series Ordinance, any Derivative Agreement. For purposes of clarification, any such Liquidity Facility or other agreement or Derivative Agreement shall not be required to comply with the requirements of Article IV in order to constitute "Bonds" under the Bond Ordinance.

"Debt Service Fund" shall mean the fund designed to provide for the payment of the principal of and interest on all Bonds issued pursuant to the Bond Ordinance, as the same respectively fall due.

"General Revenue Fund" shall mean the account or accounts which shall be established and maintained by the Commissioners in such fashion as to adequately reflect all of the receipts and revenues derived from the operation of the System and all interest and other income earned by the Commissioners, and as established by the provisions of Section 7.02 of the Bond Ordinance.

"Government Obligations" shall mean and include direct general obligations of the United States of America or obligations, the payment of principal or interest on which, in the opinion of the Attorney General of the United States of America, is fully and unconditionally guaranteed by the United States of America.

"Gross Revenues" or "Gross Revenues of the System" shall mean for so long as any Bonds issued on or prior to May 26, 2009, are Outstanding:

(a) all receipts and revenues derived from the operation of the System;

(b) all proceeds from the sale or other disposition of any property owned directly or beneficially by the Commissioners;

(c) all interest and other income received directly or indirectly by the Commissioners; and

(d) all other encumbered money to which the Commissioners may become entitled from any source whatsoever.

At such time as all Bonds issued on or prior to May 26, 2009, are no longer Outstanding, there shall be excluded from the foregoing definition of "Gross Revenues" or "Gross Revenues of the System" any interest rate subsidy received by the City from the United States Treasury pursuant to Section 54AA, 1400U-2 or 6431 of the Code or any successor or similar interest subsidy program established under the Code.

"Junior Lien Bonds" shall mean any revenue bonds or other obligations issued by the City which are secured by pledges of and liens on the revenues of the System which are junior and subordinate in all respects to the pledges and liens made to secure Bonds.

"Net Earnings" shall mean, for the period in question, the net income of the System, determined in accordance with generally accepted accounting principles, but whether or not generally accepted accounting principles so require:

(a) revenue derived from service fees (tap-in fees) shall be included in income;

(b) there shall be excluded from the calculation made to determine Net Earnings:

(i) gains on the sale or other disposition of investments or fixed or capital assets, which do not result from the ordinary course of business,

(ii) investment income restricted to a purpose inconsistent with the payment of operating expenses or debt service, including (whether or not so restricted) interest earned on any construction fund or construction account created with the proceeds of borrowing by the Commissioners, and

(iii) any amounts received by way of government grants; and

(c) there shall be added back to such net income:

(i) losses on the sale or other disposition of investments or capital assets which do not result from the ordinary course of business,

(ii) amounts appropriated to the City's general fund by the Commissioners,

(iii) depreciation allowances,

(iv) amount paid as interest on the Bonds, and

(v) the amortization of financing expenses, underwriting discounts, call premiums, gains or losses on the extinguishment of debt due to the refinancing of the same, and other related or incidental non-recurring expenses resulting from the issuance or refinancing of Bonds.

"Record Date" shall mean the 15th day of the month immediately preceding each Bond Payment Date (or such other time or times as shall be prescribed by any applicable Series Ordinance).

"System" shall mean the Waterworks and Sewer System of the City as the same is now constituted, all property real and personal, used and useful therefor, all apparatus and equipment used in connection therewith, and all acquisitions, replacements, enlargements, improvements, extensions, additions and betterments that may be made thereto at any time hereafter; provided that the term "System" shall not include facilities acquired or constructed with the proceeds of Special Facilities Bonds during such time as the Special Facilities Bonds issued to finance such facilities are outstanding.

Authorization for Bonds. (Section 4.01)

From time to time and for the purposes of:

(1) Obtaining funds for the expansion and improvement of the System;

(2) Providing funds for the payment of any bond anticipation note or notes that may have been issued in anticipation of the issuance and sale of Bonds; and

(3) Refunding Bonds or other obligations issued to provide land or facilities which are or are to become a part of the System or which are or were payable in whole or in part from revenues of the System,

the City may authorize the issuance of a Series of Bonds by the adoption of a Series Ordinance. Each Series Ordinance shall include a determination by the City to the effect that the issuance of such Series of Bonds is necessary to provide funds to be used and expended to acquire or construct improvements to the System or to refund Bonds.

Each Series Resolution shall express the approval of the Commissioners to the issuance of the particular Series of Bonds and agree to abide by all of the terms, provisions and agreements set forth in the Series Ordinance.

Conditions to Issuance of Bonds of a Series. (Section 4.02)

All Bonds shall be issued in compliance with, among others, the following provisions:

(1) There shall exist, on the occasion of the issuance of the Bonds, no default in the payment of the principal of or interest on any Bonds or Junior Lien Bonds then outstanding;

(2) Unless on the date of delivery of such Series of Bonds there shall be on deposit an amount equal to the Series Reserve Requirement for all Bonds to be Outstanding immediately following the issuance of such Series of Bonds, there shall be deposited in the Debt Service Reserve Fund such amount as is necessary to make the value of the monies and securities in the Debt Service Reserve Fund equal to the Series Reserve Requirement, unless otherwise permitted by the Bond Ordinance; and

(3) Except in the case of Bonds issued for the purpose of refunding any Bonds:

(a) Net Earnings during the Fiscal Year immediately preceding the Fiscal Year in which such Series of Bonds are to be issued, adjusted to reflect any rate increases currently adopted and to be in effect prior to or coincident with the issuance of such Bonds, and determined pro forma as though such rate increases had been in continuous effect during such preceding Fiscal Year, shall be not less than 120% of the Annual Principal and Interest Requirements of the current Fiscal Year for all Bonds Outstanding immediately prior to the proposed issuance; and

(b) For each of the five Fiscal Years following the later of the date of the delivery of the Bonds of such Series, or the period (if any) for which interest is funded from the proceeds of such Bonds, Net Earnings, as shall have been forecasted by an Authorized Officer of the Commissioners, will not be less than 120% of the Annual Principal and Interest Requirements on all Bonds then proposed to be Outstanding in each of such five Fiscal Years.

(c) if any Series of Bonds shall constitute Variable Rate Indebtedness:

(i) The Series Ordinance may provide for and specify a maximum interest on (i) such Bonds and (ii) any reimbursement obligation to any liquidity provider for such Bonds;

(ii) The liquidity provider, if any, of such Bonds shall be rated in the highest short-term rating category of Moody's and S&P; and

(iii) Any accelerated principal or any interest computed at a rate in excess of that on such Bonds due to the liquidity provider for such Bonds pursuant to any reimbursement agreement with such liquidity provider shall be on a parity with payment of debt service on all Bonds, whether or not the test referred to in either Sections 4.02(A)(6)(a) or 4.02(A)(6)(b) and 4.02(B) may be met assuming such accelerated principal payment and such interest amount are payable to the liquidity provider.

(4) In the case of Bonds issued for the purpose of refunding any Bonds either:

(a) The Annual Principal and Interest Requirements of the Refunding Bonds shall not exceed the Annual Principal and Interest Requirements of the Refunded Bonds until a time subsequent to the last maturity of Bonds not refunded and which remain outstanding following the issuance of the refunding Bonds; or

(b) The City shall comply with the earnings tests prescribed in the Bond Ordinance.

Security for Payment of Bonds; Priority of Lien. (Section 4.18)

The Bonds shall be payable solely from, and shall be secured by a pledge of and a lien upon, that portion of the Gross Revenues which shall remain after paying the cost of the operation and maintenance of the System. Such pledge securing the Bonds shall at all times and in all respects be and remain superior to pledges made to secure any bonds or other obligations payable from the revenues of the System.

Junior Lien Bonds and Special Facilities Bonds. (Article VI)

The City may, at any time, and without limitation and free of all conditions, issue Junior Lien Bonds, in such amount as it may from time to time determine, payable from the revenues of the System, provided that the pledge of revenues and any lien upon the revenues of the System granted for the protection of said Junior Lien Bonds shall at all times be and remain subordinate and inferior in all respects to the pledges of revenues and liens upon such revenues made or authorized for the Bonds.

The City shall have the right to enter into contracts, leases or other agreements pursuant to which it will agree to construct, operate and pay the costs of special facilities to be financed by its issuance of Special Facilities Bonds, subject to the following conditions:

(1) The City shall determine that the rents, revenues or receipts to be derived from the Special Facilities shall be at least equal to the principal, interest and any reserve requirements contained in the ordinance authorizing such Special Facilities Bonds and to pay all operation, maintenance and other costs and expenses applicable to such special facilities; and

(2) The City's revenues derived from special facilities need not be deposited in the General Revenue Fund, and may be pledged to secure Special Facilities Bonds, but no debt service or other costs or expenses related to any special facilities may be paid from System revenues deposited in the General Revenue Fund except from any surplus remaining after discharging all of the City's obligations under the Bond Ordinance.

Establishment of Funds. (Article VII)

The Bond Ordinance establishes the following funds or accounts relating to the revenues of the System:

(1) The General Revenue Fund.

This account shall be so maintained as to accurately reflect:

(a) The Gross Revenues of the System; and

(b) Net Earnings.

Except for certain proceeds of the sale of unnecessary parts of the System, all Gross Revenues of the System shall be deposited in this fund. So long as the City establishes from an accounting standpoint, proper records of receipts and disbursements for the General Revenue Fund, the General Revenue Fund may be used for the purposes of the Operation and Maintenance Fund.

(2) The Operation and Maintenance Fund.

This fund is intended to provide for the payment of all expenses incurred in connection with the administration and operation of the System, including such expenses as may be reasonably necessary to preserve the System in good repair and working order, the fees and charges of the Trustee and the custodian or trustee of any fund, the costs of audits required under the Bond Ordinance, and the premiums for all insurance and fidelity bonds required by the Bond Ordinance.

(3) The Debt Service Fund.

This fund is intended to provide for the ratable payment of the principal of, premium, if any, and interest on all Bonds as the same respectively fall due. Except as provided in the Bond Ordinance, money in the Series Debt Service Fund shall be used solely to pay the principal of and interest on the Bonds.

The Debt Service Fund shall be kept in the complete custody and control of the Trustee and withdrawals from the Series Debt Service Fund shall be made only by such Trustee who shall transmit to each Bondholder, at such times as may be appropriate, the sums required to pay the principal of, premium, if any, and interest on the Series of Bonds.

(4) The Series Debt Service Reserve Fund.

The Series Debt Service Reserve Fund and any Debt Service Reserve Fund that may be established pursuant to a Series Ordinance are intended to insure the timely payment of the principal of and interest on the applicable Series of Bonds, and to provide for the redemption of such applicable Series of Bonds prior to their stated maturities.

(5) The Depreciation and Contingent Fund.

This fund shall be maintained in an amount to be established not less frequently than annually by the Commissioners on the advice of the Consulting Engineers in order to provide a reasonable reserve for depreciation of the System, for contingencies and for improvements, betterments and extensions of the System.

Deposit and Disposition of Revenues. (Article VIII)

The Gross Revenues of the System (except customers' deposits and money, the disposition of which is controlled by other provisions of the Bond Ordinance) shall from time to time be promptly deposited in a bank or depositary in an account which will reflect the fact that they are a part of the General Revenue Fund. Dispositions from the General Revenue Fund shall be made on or before the last business day of each month following the delivery of the first Series of Bonds issued pursuant to the Bond Ordinance and in the following order of priority:

(1) Deposit for Operation and Maintenance Fund.

There shall be transferred to an operation and maintenance account the amount budgeted for the cost of operating and maintaining the System for the ensuing month and any amount required for an operational reserve.

(2) Payments for Bonds.

There shall be deposited into the Series Debt Service Fund the monthly fraction of the aggregate amount of interest to become due on the Bonds on the next ensuing interest payment date and one-twelfth of the aggregate amount of principal of all Bonds becoming due and payable during the next succeeding 12 months. If, on the occasion when such deposits are to be made, the sum total of such deposits plus previous monthly deposits and the remaining deposits to be made prior to the next succeeding principal and interest payment dates will be less than the sum required to effect the payment of the next succeeding installment of either principal or interest, or both, as the case may be, a sum equal to such deficiency shall be added to the deposits so to be made.

(3) Deposit for any Series Debt Service Reserve Fund.

Unless any Series Debt Service Reserve Fund is being funded in installments as permitted by the Bond Ordinance or any Series Ordinance or then contains in cash and securities an amount at least equal to the applicable Series Reserve Requirement, there shall be paid into such Series Debt Service Reserve Fund on the first day of the month following a determination that the value of such Fund has fallen below such applicable Series Reserve Requirement and on the first day of each of the next succeeding 10 months, one-eleventh of the amount necessary to re-establish in the Series Debt Service Reserve Fund such applicable Series Reserve Requirement.

(4) Payments for Junior Lien Bonds.

Provision shall then be made for the payment of any other indebtedness which is junior and subordinate to the Bonds in the order of priority contemplated by the proceedings authorizing their issuance.

(5) Deposits for the Depreciation and Contingent Fund.

There shall be deposited into the Depreciation and Contingent Fund that sum which is one-twelfth of the sum which has been currently determined by the Commissioners to be the estimated requirements therefor for the then current Fiscal Year.

(6) Use of Surplus Money.

All money remaining after making the foregoing payments shall be disposed of for any lawful purpose in such manner as the Commissioners shall from time to time determine.

Rate Covenant. (Section 5.01)

The Bond Ordinance requires that the rates and charges for services and facilities furnished by the System shall be revised whenever necessary in order that they shall at all times be maintained on a basis sufficient to meet the requirements of the Bond Ordinance, and the City covenants and agrees to maintain rates and charges for all services furnished by the System which shall at all times be sufficient:

(1) To provide for the payment of the expenses of administration and operation and such expenses for maintenance of the System as may be necessary to preserve the same in good repair and working order;

(2) To provide for the punctual payment of the principal of and interest on all Bonds and all Junior Lien Bonds that may from time to time hereafter be Outstanding;

(3) To maintain the Series Debt Service Fund and thus provide for the punctual payment of the principal of and interest on the Bonds;

(4) To maintain the Series Debt Service Reserve Fund in the manner prescribed in the Bond Ordinance;

(5) To build and maintain a reserve for depreciation of the System, for contingencies and for improvements, betterments and extensions to the System other than those necessary to maintain the same in good repair and working order; and

(6) To discharge all obligations imposed by the Act and by the Bond Ordinance.

The City also covenants and agrees that it will prescribe and maintain and thereafter collect rates and charges for the services and facilities furnished by the System which, together with other income, are reasonably expected to yield annual Net Earnings in the current Fiscal Year equal to at least 120% of the Annual Principal and Interest Requirement in such Fiscal Year; and, promptly upon any material change in the circumstances which were contemplated at the time such rates and charges were most recently reviewed, but not less frequently than once in each Fiscal Year, shall review the rates and charges for its services and shall promptly revise such rates and charges as necessary to comply with the foregoing requirement. Prior to the beginning of each Fiscal Year, the Commissioners shall adopt an Annual Budget including amended rate schedules for such Fiscal Year which shall set forth in reasonable detail the estimated revenues and operating expenses and other expenditures of the System for each calendar month of such Fiscal Year and which shall include appropriations for the estimated operating expenses for each such month and the amount to be deposited during such Fiscal Year in the Depreciation and Contingent Fund. The Commissioners may at any time adopt an amended Annual Budget for the remainder of the then current Fiscal Year.

Additional Covenants. (Section 11.01)

The City further covenants and agrees:

(1) That neither the System, nor any part thereof, nor any of the revenues derived from the System, have been or will be hypothecated, mortgaged, otherwise pledged or encumbered, save and except as disclosed and provided for in the Bond Ordinance;

(2) That it will permit no free service to be rendered, or use to be made of the services and facilities of the System, and for the services and facilities of the System used by the City, the reasonable cost and value of such services and facilities shall be paid as such services accrue;

(3) That, except for fire protection service afforded by the System, it will permit no water customer to be connected to the System, or to receive any service afforded by the System, unless a proper meter shall be installed, and such customer shall become obligated to pay for the service rendered at the appropriate rate according to the rate schedule then in force;

(4) That it will permit no sewer customer to be connected to the System, or to receive any service afforded by the System, unless a proper account is established and charges are levied against such account for services rendered, and such customer shall become obligated to pay for the service rendered at the appropriate rate according to the rate schedule then in force;

(5) That it will perform all duties with reference to the System required by the Constitution and statutes of the State of South Carolina, and the City will not pledge, mortgage or otherwise encumber the System or any part thereof, or any revenues therefrom, except in the manner authorized by the Bond Ordinance, and it will not sell, lease or dispose of any portion of the System, necessary or useful (as determined by the Commissioners) in the operation of the System, until all Bonds shall be paid in full, or unless and until provision shall have been made for the payment of all Bonds and the interest thereon in full, and the City further obligates itself to maintain in good condition and to operate said System, and to collect and charge such rates for the services and facilities of the System so that the income and revenues of the System will be sufficient at all times to meet the requirements of the Bond Ordinance;

(6) That it will permit any Bondholder to inspect the System and all records and accounts thereof under reasonable terms and conditions and after reasonable notice has been given;

(7) That no payments on account of appropriations to the general fund of the City shall be made except from surplus revenues remaining after discharging the current obligations of the City under the Bond Ordinance; and

(8) That it will not make any use, and it shall direct the Trustee and each fiduciary not to make any use, of the proceeds of any Series of Bonds which, if such use had been reasonably expected on the date of the issuance of the Bonds of such Series, would have caused such Bonds or any other Bonds to be "arbitrage bonds."

Events of Default. (Section 13.01)

Each of the following events is an "Event of Default" under the Bond Ordinance:

(1) Payment of the principal of any Series of Bonds shall not be made when the same shall become due and payable, either at maturity or by proceedings for redemption;

(2) Payment of any installment of interest on any Series of Bonds shall not be made when the same becomes due and payable;

(3) Payment of any installment of either interest or principal of any Junior Lien Bonds shall not be made when the same becomes due and payable or any other event of default shall exist with respect to any Junior Lien Bonds;

(4) The City shall for any reason be rendered incapable of fulfilling its obligations under the Bond Ordinance;

(5) An order or decree shall be entered with the consent or acquiescence of the City appointing a receiver, or receivers, of the System, or of the revenues thereof, or any proceedings shall be instituted with the consent or acquiescence of the City for the purpose of effecting a composition between the City and its creditors whose claims relate to the System, or for the purpose of adjusting claims of such creditors, pursuant to any federal or State statute now or hereafter enacted, or if such order or decree, having been entered without the consent or acquiescence of the City, shall not be vacated or discharged or stayed on appeal within 60 days after entry thereof, or if such proceeding having been instituted without the consent or acquiescence of the City, shall not be withdrawn or any orders entered shall not be vacated, discharged or stayed on appeal within 60 days after the institution of such proceedings or the entry of such orders.

(6) The City shall fail to operate the System in an efficient and businesslike fashion or shall default in the due and punctual performance of any other of the covenants, conditions, agreements or provisions contained in the Bonds or in the Bond Ordinance, and such default as to efficient operation or otherwise shall continue for 30 days after written notice, specifying such default and requiring the same to be remedied, shall have been given to the City by any Bondholder, provided that in the case of a default specified in this paragraph (6), if the default be such that it cannot be corrected within the said 30 day period, it shall not constitute an event of default if corrective action is instituted by the City within said 30-day period and diligently pursued until the default is corrected .

The foregoing provisions of paragraph (6) are subject to the following limitations: If by reason of force majeure the City is unable in whole or in part to carry out its agreements contained in the Bond Ordinance (other than the obligations on the part of the City relating to the provisions for issuing Bonds, the rate covenant, the establishment and maintenance of funds and the disposition of revenues), the City shall not be deemed in default during the continuance of such inability.

Remedies. (Sections 14.01, 14.02 and 14.04)

Upon the occurrence of an Event of Default, the Trustee may, and upon the written request of the Holders of not less than 25% in aggregate principal amount of Bonds Outstanding shall, by notice in writing to the City and the Commissioners, declare all Bonds Outstanding immediately due and payable; and such Series of Bonds shall become and be immediately due and payable, anything in the Bonds or in the Bond Ordinance to the contrary notwithstanding. In such event, there shall be due and payable on the Series of Bonds an amount equal to the total principal amount of all such Bonds, plus all interest accrued thereon and which will accrue thereon to the date of payment.

At any time after the principal of the Series of Bonds shall have been so declared to be due and payable and before the entry of final judgment or decree in any suit, action or proceeding instituted on account of such default, or before the completion of the enforcement of any other remedy under the Bond Ordinance, the Trustee may annul such declaration and its consequences with respect to any Series of Bonds not then due by their terms if:

(1) Money shall have been deposited in the Debt Service Fund sufficient to pay all matured installments of interest and principal (other than principal then due only because of such declaration) of all outstanding Bonds;

(2) Monies shall have been deposited with the Trustee sufficient to pay the charges, compensation, expenses, disbursements, advances and liabilities of the Trustee;

(3) All other amounts then payable by the City under the Bond Ordinance shall have been paid or a sum sufficient to pay the same shall have been deposited with the Trustee; and

(4) Every Event of Default known to the Trustee (other than a default in the payment of the principal of such Series of Bonds then due only because of such declaration) shall have been remedied to the satisfaction of the Trustee. No such annulment shall extend to or affect any subsequent Event of Default or impair any right consequent thereon.

Upon the occurrence and continuance of any Event of Default, the Trustee may, and upon the written request of the Holders of not less than 25% in aggregate principal amount of the Series of Bonds outstanding, together with indemnification of the Trustee to its satisfaction therefor, shall, proceed forthwith to protect and enforce its rights and the rights of the Bondholders under the Bond Ordinance by such suits, actions or proceedings as the Trustee, being advised by counsel, shall deem expedient, including but not limited to:

(1) Requiring the City and the Commissioners to carry out their duties and obligations under the terms of the Bond Ordinance and under the Act;

(2) Suit upon all or any part of the Series of Bonds;

(3) Civil action to require the City and the Commissioners to account as if they were the trustees of an express trust for the Holders of Bonds;

(4) Civil action to enjoin any acts or things which may be unlawful or in violation of the rights of the Holders of the Bonds; and

(5) Enforcement of any other right of the Bondholders conferred by law or by the Bond Ordinance including the right to make application for the appointment of a receiver to administer and operate the System.

Regardless of the happening of an Event of Default, the Trustee, if requested in writing by the Holders of not less than 25% in aggregate principal amount of the Series of Bonds then Outstanding, shall, upon being indemnified to its satisfaction therefor, institute and maintain such suits and proceedings as it may be advised by counsel shall be necessary or expedient:

(1) To prevent any impairment of the security under the Bond Ordinance by any acts which may be unlawful or in violation of the Bond Ordinance; or

(2) To preserve or protect the interests of the Bondholders, provided that such request is in accordance with law and the provisions of the Bond Ordinance and, in the sole judgment of the Trustee, is not unduly prejudicial to the interests of the Holders of Bonds not making such request.

No remedy conferred upon or reserved to the Trustee or the Bondholders is intended to be exclusive of any other remedy, but each and every such remedy shall be cumulative and shall be in addition to every other remedy given under the Bond Ordinance or existing at law or in equity or by statute on or after the date of the Bond Ordinance.

Application of Revenues and other Monies After Default. (Section 14.03)

If an Event of Default shall happen and shall not have been remedied, the City, upon demand of the Trustee, shall pay or cause to be paid over to the Trustee:

(1) Forthwith, all monies and securities then held by the City or the Commissioners which is credited to any fund under the Bond Ordinance; and

(2) As promptly as practicable after receipt thereof, all Gross Revenues.

During the continuance of an Event of Default, the Trustee shall apply all monies, securities, Gross Revenues, payments and receipts in its possession and the income therefrom as follows and in the following order:

(1) To the payment of the reasonable and proper charges of the Trustee;

(2) To the payment of the necessary costs of operating and maintaining the System; and

(3) To the payment of the interest and principal (and redemption premium, if any) then due on the Series of Bonds, as follows:

(a) Unless the principal of all of the Series of Bonds shall have become or have been declared due and payable,

(i) First: To the payment of the persons entitled thereto of all installments of interest then due in the order of the maturity of such installments, and, if the amount available shall not be sufficient to pay in full any installment or installments maturing on the same date, then to the payment thereof ratably, according to the amounts due thereon to the persons entitled thereto, without any discrimination or preference; and

(ii) Second: To the payment to the persons entitled thereto of the unpaid principal installments (and redemption premiums, if any) of any Series of Bonds which shall have become due, whether at maturity or by call for redemption, in the order of their due dates, and if the amounts available shall not be sufficient to pay in full all the Series of Bonds due on any date, then to the payment thereof ratably, according to the amounts of principal (plus redemption premium, if any) due on such date to the persons entitled thereto, without any discrimination or preference.

(b) If the principal of all of the Series of Bonds shall have become or have been declared due and payable, to the payment of the principal and interest then due and unpaid upon the Series of Bonds without preference or priority of principal over interest or of interest over principal, or of any installment of interest over any other installment of interest, or of any Bond over any other Bond, ratably, according to the amounts due respectively for principal and interest, to the persons entitled thereto without any discrimination or preference except as to any differences as to the respective rates of interest specified in the Series of Bonds.

Waiver of Event of Default. (Section 14.09)

The Trustee may waive any Event of Default which in its opinion shall have been remedied before the entry of final judgment or decree in any suit, action or proceeding instituted by it under the provisions of the Bond Ordinance, or before the completion of the enforcement of any other remedy under the Bond Ordinance.

The Trustee, upon the written request of the Holders of at least a majority of the aggregate principal amount of Series of Bonds then Outstanding (including, if more than one Series of Bonds shall at the time be outstanding, the Holders of a majority in principal amount of all Series of Bonds then Outstanding of each such Series), shall waive any Event of Default and its consequences; provided, however, that except for payment defaults cured or waived in accordance with the Bond Ordinance, a default in the payment of the principal of, premium, if any, or interest on any Bond, when the same shall become due and payable by the terms thereof or upon call for redemption, may not be waived without the written consent of the Holders of all the Series of Bonds at the time Outstanding.

APPENDIX D

FORM OF BOND OPINION OF HAYNSWORTH SINKLER BOYD, P.A.

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[Date of Delivery]

City of Charleston, South Carolina
Charleston, South Carolina

Commissioners of Public Works of the City of Charleston
Charleston, South Carolina

Wells Fargo Bank, National Association
Charlotte, North Carolina

The Bank of New York Mellon Trust Company, N.A.
Jacksonville, Florida

Re: $151,190,000 City of Charleston, South Carolina, Waterworks and Sewer System Capital Improvement Revenue Bonds, Series 2022

Ladies and Gentlemen:

We have acted as Bond Counsel to the City of Charleston, South Carolina (the "City"), in connection with the issuance by the City of the captioned bonds (the "Bonds"). The Bonds are issued by the City pursuant to Ordinances adopted by the City Council (the "City Council") of the City (the "Ordinances") and a Resolution (the "Resolution") adopted by the Commissioners of Public Works of the City (the "Commissioners") pursuant to and in compliance with the Constitution and Statutes of the State of South Carolina (the "State"), including particularly Chapter 17 of Title 6, Code of Laws of South Carolina, 1976, as amended. Proceeds of the Bonds will be used (i) to finance a portion of the costs of certain capital improvements to the waterworks and sewer system of the City; and (ii) to pay capitalized interest on the Bonds through July 1, 2023.

In these regards, we have examined the Constitution and Statutes of the State, a certified copy of a record of proceedings and other proofs submitted to us in relation to the issuance of the Bonds. As to questions of fact material to our opinion, we have relied upon the record of proceedings and other certifications of public officials and others furnished to us without undertaking to verify the same by independent investigation.

The Bonds are issued in registered, book-entry form and are dated as of the date of original delivery thereof. The Bonds bear interest payable initially on January 1, 2023 and semiannually thereafter on the first days of January and July at the respective interest rates per annum set forth on the cover of the Official Statement dated June 22, 2022 (the "Official Statement") for the Bonds. The Bonds mature on January 1 in the years and in the respective principal amounts as set forth on the cover of the Official Statement.

Based on our examination, we are of the opinion, as of the date hereof and under existing laws, as follows:

1. The Bonds have been authorized and delivered and constitute valid and binding obligations of the City enforceable in accordance with their terms and the terms of the Ordinances and the Resolution, except to the extent that the enforceability of the Bonds may be limited by applicable bankruptcy, insolvency or other laws affecting the enforcement of creditors' rights. The Bonds are secured in the manner and to the extent prescribed by the Ordinances and the Resolution and are entitled to the equal benefit, protection and security of the provisions, covenants and agreements set forth therein.

2. Interest on the Bonds (including any original issue discount properly allocable to an owner thereof) is excludable from gross income of the registered owners thereof for federal income tax purposes and is not an item of tax preference for purposes of the federal alternative minimum tax. The opinion set forth in the preceding sentence is subject to the condition that the City complies with all requirements of the Code that must be satisfied subsequent to the issuance of the Bonds in order that interest thereon be (or continue to be) excludable from gross income for federal income tax purposes. Failure to comply with certain of such requirements may cause interest on the Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the Bonds. The City

Council has covenanted to comply with all such requirements. We express no opinion regarding other federal tax consequences arising with respect to the Bonds.

3. The Bonds and the interest thereon are exempt from all State, county, school district, municipal and all other taxes or assessments of the State, except inheritance, estate, transfer or certain franchise taxes. It should be noted, however, that Section 12-11-20, Code of Laws of South Carolina, 1976, as amended, imposes upon every bank engaged in business in the State a fee or franchise tax computed on the entire net income of such bank which includes interest paid on the Bonds.

It is to be understood that the rights of the holders of the Bonds and the enforceability thereof may be subject to bankruptcy, insolvency, reorganization, moratorium, and other similar laws affecting creditors' rights heretofore and hereafter enacted to the extent constitutionally applicable and that their enforcement may also be subject to the exercise of judicial discretion in appropriate cases.

We express no opinion herein regarding the accuracy, adequacy or completeness of the Official Statement or regarding the perfection or priority of the lien on the Gross Revenues (as defined in the Ordinances) which remain after paying operation and maintenance costs or other funds created under the Ordinances (or any other document or instrument mentioned herein). This opinion is given as of the date hereof, and we assume no obligation to revise or supplement this opinion to reflect any facts or circumstances that may hereafter come to our attention or any changes in law that may hereafter occur.

Very truly yours,

APPENDIX E

FORM OF DISCLOSURE DISSEMINATION AGENT AGREEMENT

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DISCLOSURE DISSEMINATION AGENT AGREEMENT

This Disclosure Dissemination Agent Agreement (the "Disclosure Agreement"), dated as of June 30, 2022, is executed and delivered by the City of Charleston, South Carolina (the "City"), the Commissioners of Public Works of the City of Charleston (the "CPW") and Digital Assurance Certification, L.L.C., as exclusive Disclosure Dissemination Agent (the "Disclosure Dissemination Agent" or "DAC") for the benefit of the Holders (hereinafter defined) of the Bonds (hereinafter defined) in order to assist the City in processing certain continuing disclosure with respect to the Bonds in accordance with 15c2-12 of the United States Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time (the "Rule").

The services provided under this Disclosure Agreement solely relate to the execution of instructions received from the City or the CPW through use of the DAC system and do not constitute "advice" within the meaning of the Dodd-Frank Wall Street Reform and Consumer Protection Act (the "Act"). DAC will not provide any advice or recommendation to the City or the CPW or anyone on the City's or the CPW's behalf regarding the "issuance of municipal securities" or any "municipal financial product" as defined in the Act and nothing in this Disclosure Agreement shall be interpreted to the contrary. DAC is not a "Municipal Advisor" as such term is defined in Section 15B of the Securities Exchange Act of 1934, as amended, and related rules.

SECTION 1. Definitions. Capitalized terms not otherwise defined in this Disclosure Agreement shall have the meaning assigned in the Rule or, to the extent not in conflict with the Rule, in the Official Statement (hereinafter defined). The capitalized terms shall have the following meanings:

"Annual Filing Date" means the date, set in Section 2(a) and Section 2(f), by which the Annual Report is to be filed with the MSRB.

"Annual Financial Information" means annual financial information as such term is used in paragraph (b)(5)(i) of the Rule and specified in Section 3(a) of this Disclosure Agreement.

"Annual Report" means an Annual Report containing Annual Financial Information described in and consistent with Section 3 of this Disclosure Agreement.

"Audited Financial Statements" means the annual financial statements of the CPW for the prior fiscal year, certified by an independent auditor as prepared in accordance with generally accepted accounting principles or otherwise, as such term is used in paragraph (b)(5)(i)(B) of the Rule and specified in Section 3(b) of this Disclosure Agreement.

"Bonds" means the obligations as listed on the attached Exhibit A, with the 9-digit CUSIP numbers relating thereto.

"Certification" means a written certification of compliance signed by the Disclosure Representative stating that the Annual Report, Audited Financial Statements, Notice Event notice, Failure to File Event notice, Voluntary Event Disclosure or Voluntary Financial Disclosure delivered to the Disclosure Dissemination Agent is the Annual Report, Audited Financial Statements, Notice Event notice, Failure to File Event notice, Voluntary Event Disclosure or Voluntary Financial Disclosure required to be submitted to the MSRB under this Disclosure Agreement. A Certification shall accompany each such document submitted to the Disclosure Dissemination Agent by the CPW and include the full name of the Bonds and the 9-digit CUSIP numbers for all Bonds to which the document applies.

"Disclosure Dissemination Agent" means Digital Assurance Certification, L.L.C, acting in its capacity as Disclosure Dissemination Agent hereunder, or any successor Disclosure Dissemination Agent designated in writing by the City and the CPW pursuant to Section 9 hereof.

"Disclosure Representative" means the Chief Executive Officer of the CPW or his or her designee, or such other person as the City or the CPW shall designate in writing to the Disclosure Dissemination Agent from time to time as the person responsible for providing Information to the Disclosure Dissemination Agent.

"Failure to File Event" means the CPW's failure to file an Annual Report on or before the Annual Filing Date.

"Financial Obligation" as used in this Disclosure Agreement is defined in the Rule, as may be amended, as (i) a debt obligation; (ii) derivative instrument entered into in connection with, or pledged as a security or a source of payment for, an existing or planned debt obligation; or (iii) guarantee of (i) or (ii). The term "Financial Obligation" shall not include municipal securities as to which a final official statement has been provided to the MSRB consistent with the Rule.

"Force Majeure Event" means: (i) acts of God, war, or terrorist action; (ii) failure or shut-down of the Electronic Municipal Market Access system maintained by the MSRB; or (iii) to the extent beyond the Disclosure Dissemination Agent's reasonable control, interruptions in telecommunications or utilities services, failure, malfunction or error of any telecommunications, computer or other electrical, mechanical or technological application, service or system, computer virus, interruptions in Internet service or telephone service (including due to a virus, electrical delivery problem or similar occurrence) that affect Internet users generally, or in the local area in which the Disclosure Dissemination Agent or the MSRB is located, or acts of any government, regulatory or any other competent authority the effect of which is to prohibit the Disclosure Dissemination Agent from performance of its obligations under this Disclosure Agreement.

"Holder" means any person (i) having the power, directly or indirectly, to vote or consent with respect to, or to dispose of ownership of, any Bonds (including persons holding Bonds through nominees, depositories or other intermediaries) or (ii) treated as the owner of any Bonds for federal income tax purposes.

"Information" means, collectively, the Annual Reports, the Audited Financial Statements, the Notice Event notices, the Failure to File Event notices, the Voluntary Event Disclosures and the Voluntary Financial Disclosures.

"MSRB" means the Municipal Securities Rulemaking Board or any successor thereto established pursuant to Section 15B(b)(1) of the Securities Exchange Act of 1934.

"Notice Event" means any of the events enumerated in paragraph (b)(5)(i)(C) of the Rule and listed in Section 4(a) of this Disclosure Agreement.

"Obligated Person" means any person, including the City and the CPW, who is either generally or through an enterprise, fund, or account of such person committed by contract or other arrangement to support payment of all, or part of the obligations on the Bonds (other than providers of municipal bond insurance, letters of credit, or other liquidity facilities) as shown on Exhibit A.

"Official Statement" means that Official Statement prepared by the City and the CPW in connection with the Bonds, as listed on Exhibit A.

"Trustee" means the institution identified as such in the document under which the Bonds were issued.

"Voluntary Event Disclosure" means information of the category specified in any of subsections (e)(vi)(1) through (e)(vi)(10) of Section 2 of this Disclosure Agreement that is accompanied by a Certification of the Disclosure Representative containing the information prescribed by Section 7(a) of this Disclosure Agreement.

"Voluntary Financial Disclosure" means information of the category specified in any of subsections (e)(vii)(1) through (e)(vii)(9) of Section 2 of this Disclosure Agreement that is accompanied by a Certification of the Disclosure Representative containing the information prescribed by Section 7(b) of this Disclosure Agreement.

SECTION 2. Provision of Annual Reports and Other Disclosures.

(a) The CPW shall provide, annually, an electronic copy of the Annual Report and Certification to the Disclosure Dissemination Agent, together with a copy for the Trustee, not later than the Annual Filing Date. Promptly upon receipt of an electronic copy of the Annual Report and the Certification, the Disclosure Dissemination Agent shall provide an Annual Report to the MSRB not later than seven months after the end of each fiscal year of the CPW, commencing with the fiscal year ending December 31, 2022. Such date and each anniversary thereof is the Annual

Filing Date. The Annual Report may be submitted as a single document or as separate documents comprising a package, and may cross-reference other information as provided in Section 3 of this Disclosure Agreement.

(b) If on the fifteenth (15th) day prior to the Annual Filing Date, the Disclosure Dissemination Agent has not received a copy of the Annual Report and Certification, the Disclosure Dissemination Agent shall contact the Disclosure Representative by telephone and in writing (which may be by e-mail) to remind the CPW of its undertaking to provide the Annual Report pursuant to Section 2(a). Upon such reminder, the Disclosure Representative shall either (i) provide the Disclosure Dissemination Agent with an electronic copy of the Annual Report and the Certification no later than two business days prior to the Annual Filing Date, or (ii) instruct the Disclosure Dissemination Agent in writing that the CPW will not be able to file the Annual Report within the time required under this Disclosure Agreement, state the date by which the Annual Report for such year will be provided and instruct the Disclosure Dissemination Agent to immediately send a Failure to File Event notice to the MSRB in substantially the form attached as Exhibit B, which may be accompanied by a cover sheet completed by the Disclosure Dissemination Agent in the form set forth in Exhibit C-1.

(c) If the Disclosure Dissemination Agent has not received an Annual Report and Certification by 10:00 a.m. Eastern time on the Annual Filing Date (or, if such Annual Filing Date falls on a Saturday, Sunday or holiday, then the first business day thereafter) for the Annual Report, a Failure to File Event shall have occurred and the CPW irrevocably directs the Disclosure Dissemination Agent to immediately send a Failure to File Event notice to the MSRB in substantially the form attached as Exhibit B, without reference to the anticipated filing date for the Annual Report, which may be accompanied by a cover sheet completed by the Disclosure Dissemination Agent in the form set forth in Exhibit C-1.

(d) If Audited Financial Statements of the CPW are prepared but not available prior to the Annual Filing Date, the CPW shall, when the Audited Financial Statements are available, provide at such time an electronic copy to the Disclosure Dissemination Agent, accompanied by a Certification, together with a copy for the Trustee, for filing with the MSRB.

(e) The Disclosure Dissemination Agent shall:

(i) verify the filing specifications of the MSRB each year prior to the Annual Filing Date;

(ii) upon receipt, promptly file each Annual Report received under Sections 2(a) and 2(b) hereof with the MSRB;

(iii) upon receipt, promptly file each Audited Financial Statement received under Section 2(d) hereof with the MSRB;

(iv) upon receipt, promptly file the text of each Notice Event received under Sections 4(a) and 4(b)(ii) hereof with the MSRB, identifying the Notice Event as instructed by the CPW pursuant to Section 4(a) or 4(b)(ii) hereof (being any of the categories set forth below) when filing pursuant to Section 4(c) of this Disclosure Agreement:

1. "Principal and interest payment delinquencies;"

2. "Non-Payment related defaults, if material;"

3. "Unscheduled draws on debt service reserves reflecting financial difficulties;"

4. "Unscheduled draws on credit enhancements reflecting financial difficulties;"

5. "Substitution of credit or liquidity providers, or their failure to perform;"

6. "Adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701

TEB) or other material notices or determinations with respect to the tax status of the Bonds, or other material events affecting the tax status of the Bonds;"

7. "Modifications to rights of securities holders, if material;"

8. "Bond calls, if material, and tender offers;"

9. "Defeasances;"

10. "Release, substitution, or sale of property securing repayment of the securities, if material;"

11. "Rating changes;"

12. "Bankruptcy, insolvency, receivership or similar event of the Obligated Person;"

13. "The consummation of a merger, consolidation, or acquisition involving an Obligated Person or the sale of all or substantially all of the assets of the Obligated Person, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material;"

14. "Appointment of a successor or additional trustee, or the change of name of a trustee, if material;"

15. "Incurrence of a Financial Obligation of the Obligated Person, if material, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a Financial Obligation of the Obligated Person, any of which affect security holders, if material;" and

16. "Default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a Financial Obligation of the Obligated Person, any of which reflect financial difficulties."

(v) upon receipt (or irrevocable direction pursuant to Section 2(c) of this Disclosure Agreement, as applicable), promptly file a completed copy of Exhibit B to this Disclosure Agreement with the MSRB, identifying the filing as "Failure to provide annual financial information as required" when filing pursuant to Section 2(b)(ii) or Section 2(c) of this Disclosure Agreement;

(vi) upon receipt, promptly file the text of each Voluntary Event Disclosure received under Section 7(a) hereof with the MSRB, identifying the Voluntary Event Disclosure as instructed by the CPW pursuant to Section 7(a) (being any of the categories set forth below) when filing pursuant to Section 7(a) of this Disclosure Agreement:

1. "amendment to continuing disclosure undertaking;"

2. "change in obligated person;"

3. "notice to investors pursuant to bond documents;"

4. "certain communications from the Internal Revenue Service other than those communications included in the Rule;"

5. "secondary market purchases;"

6. "bid for auction rate or other securities;"

7. "capital or other financing plan;"

8. "litigation/enforcement action;"

9. "change of tender agent, remarketing agent, or other on-going party;" and

10. "other event-based disclosures;"

(vii) upon receipt, promptly file the text of each Voluntary Financial Disclosure received under Section 7(b) hereof with the MSRB, identifying the Voluntary Financial Disclosure as instructed by the CPW pursuant to Section 7(b) (being any of the categories set forth below) when filing pursuant to Section 7(b) of this Disclosure Agreement:

1. "quarterly/monthly financial information;"

2. "change in fiscal year/timing of annual disclosure;"

3. "change in accounting standard;"

4. "interim/additional financial information/operating data;"

5. "budget;"

6. "investment/debt/financial policy;"

7. "information provided to rating agency, credit/liquidity provider or other third party;"

8. "consultant reports;" and

9. "other financial/operating data."

(viii) provide the CPW evidence of the filings of each of the above when made, which shall be by means of the DAC system, for so long as DAC is the Disclosure Dissemination Agent under this Disclosure Agreement.

(f) The CPW may adjust the Annual Filing Date upon change of its fiscal year by providing written notice of such change and the new Annual Filing Date to the Disclosure Dissemination Agent, Trustee and the MSRB, provided that the period between the existing Annual Filing Date and new Annual Filing Date shall not exceed one year.

(g) Anything in this Disclosure Agreement to the contrary notwithstanding, any Information received by the Disclosure Dissemination Agent before 10:00 a.m. Eastern time on any business day that it is required to file with the MSRB pursuant to the terms of this Disclosure Agreement and that is accompanied by a Certification and all other information required by the terms of this Disclosure Agreement will be filed by the Disclosure Dissemination Agent with the MSRB no later than 11:59 p.m. Eastern time on the same business day; provided, however, the Disclosure Dissemination Agent shall have no liability for any delay in filing with the MSRB if such delay is caused by a Force Majeure Event provided that the Disclosure Dissemination Agent uses reasonable efforts to make any such filing as soon as possible.

SECTION 3. Content of Annual Reports. Each Annual Report shall contain Annual Financial Information with respect to CPW, including the following financial and statistical information:

(a) Audited Financial Statements as described in the Official Statement will be included in the Annual Report. If audited financial statements are not available, then unaudited financial statements, prepared in accordance with Generally Accepted Accounting Principles as described in the Official Statement will be included in the Annual Report. In such event, Audited Financial Statements will be provided pursuant to Section 2(d).

(b) Statistics updating the table included in the Official Statement entitled "Historical Average Number of Treated Water Accounts" for the prior fiscal year.

(c) Statistics updating the table included in the Official Statement entitled "Historical Billable Water Consumption" for the prior fiscal year.

(d) Statistics updating the table included in the Official Statement entitled "Largest Water Users" showing the dollar sales and volume sales for the prior fiscal year.

(e) Statistics updating the table included in the Official Statement entitled "Comparative General Statistics" for the Water Utility for the prior fiscal year.

(f) Statistics updating the table included in the Official Statement entitled "Historical Average Number of Wastewater Accounts" for the prior fiscal year.

(g) Statistics updating the table included in the Official Statement entitled "Historical Billable Wastewater Consumption" for the prior fiscal year.

(h) Statistics updating the table included in the Official Statement entitled "Largest Wastewater Users" showing the dollar sales and volume sales for the prior fiscal year.

(i) Statistics updating the table included in the Official Statement entitled "Comparative General Statistics" for the Wastewater Utility for the prior fiscal year.

Any or all of the items listed above may be included by specific reference to other documents, including official statements of debt issues with respect to which the CPW is an Obligated Person, which have been previously filed with the Securities and Exchange Commission or are available on the MSRB Internet Website. If the document incorporated by reference is a final official statement, it must be available from the MSRB. The CPW will clearly identify each such document so incorporated by reference.

If the Annual Financial Information contains modified operating data or financial information different from the Annual Financial Information agreed to in the continuing disclosure undertaking related to the Bonds, CPW is required to explain, in narrative form, the reasons for the modification and the impact of the change in the type of operating data or financial information being provided.

SECTION 4. Reporting of Notice Events.

(a) The occurrence of any of the following events with respect to the Bonds constitutes a Notice Event:

1. Principal and interest payment delinquencies;

2. Non-payment related defaults, if material;

3. Unscheduled draws on debt service reserves reflecting financial difficulties;

4. Unscheduled draws on credit enhancements reflecting financial difficulties;

5. Substitution of credit or liquidity providers, or their failure to perform;

6. Adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the Bonds, or other material events affecting the tax status of the Bonds;

7. Modifications to rights of Bond holders, if material;

8. Bond calls, if material, and tender offers;

9. Defeasances;

10. Release, substitution, or sale of property securing repayment of the Bonds, if material;

11. Rating changes;

12. Bankruptcy, insolvency, receivership or similar event of the Obligated Person;

    Note to subsection (a)(12) of this Section 4: For the purposes of the event described in subsection (a)(12) of this Section 4, the event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for an Obligated Person in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the Obligated Person, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the Obligated Person.

13. The consummation of a merger, consolidation, or acquisition involving an Obligated Person or the sale of all or substantially all of the assets of the Obligated Person, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material;

14. Appointment of a successor or additional trustee or the change of name of a trustee, if material;

15. Incurrence of a Financial Obligation of an Obligated Person, if material, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a Financial Obligation of an Obligated Person, any of which affect security holders, if material; and

16. Default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a Financial Obligation of an Obligated Person, any of which reflect financial difficulties.

The CPW shall, in a timely manner not later than nine business days after its occurrence, notify the Disclosure Dissemination Agent in writing of the occurrence of a Notice Event. Such notice shall instruct the Disclosure Dissemination Agent to report the occurrence pursuant to subsection (c) and shall be accompanied by a Certification. Such notice or Certification shall identify the Notice Event that has occurred (which shall be any of the categories set forth in Section 2(e)(iv) of this Disclosure Agreement), include the text of the disclosure that the CPW desires to make, contain the written authorization of the CPW for the Disclosure Dissemination Agent to disseminate such information, and identify the date the CPW desires for the Disclosure Dissemination Agent to disseminate the information (provided that such date is not later than the tenth business day after the occurrence of the Notice Event).

(b) The Disclosure Dissemination Agent is under no obligation to notify the City, the CPW or the Disclosure Representative of an event that may constitute a Notice Event. In the event the Disclosure Dissemination Agent so notifies the Disclosure Representative, the Disclosure Representative will within two business days of receipt of such notice (but in any event not later than the tenth business day after the occurrence of the Notice Event, if the CPW determines that a Notice Event has occurred), instruct the Disclosure Dissemination Agent that either (i) a Notice Event has not occurred and no filing is to be made or (ii) a Notice Event has occurred and the Disclosure Dissemination Agent is to report the occurrence pursuant to subsection (c) of this Section 4, together with a Certification. Such Certification shall identify the Notice Event that has occurred (which shall be any of the categories set forth in Section 2(e)(iv) of this Disclosure Agreement), include the text of the disclosure that the CPW desires to make, contain the written authorization of the CPW for the Disclosure Dissemination Agent to disseminate such information, and identify the date the CPW desires for the Disclosure Dissemination Agent to disseminate the information (provided that such date is not later than the tenth business day after the occurrence of the Notice Event).

(c) If the Disclosure Dissemination Agent has been instructed by the CPW as prescribed in subsection (a) or (b)(ii) of this Section 4 to report the occurrence of a Notice Event, the Disclosure Dissemination Agent shall promptly file a notice of such occurrence with the MSRB in accordance with Section 2(e)(iv) hereof. This notice may be filed with a cover sheet completed by the Disclosure Dissemination Agent in the form set forth in Exhibit C-1.

SECTION 5. CUSIP Numbers. The CPW will provide the Dissemination Agent with the CUSIP numbers for (i) new bonds at such time as they are issued or become subject to the Rule and (ii) any Bonds to which new CUSIP numbers are assigned in substitution for the CUSIP numbers previously assigned to such Bonds.

SECTION 6. Additional Disclosure Obligations. The City and the CPW acknowledge and understand that other state and federal laws, including but not limited to the Securities Act of 1933 and Rule 10b-5 promulgated under the Securities Exchange Act of 1934, may apply to the City and the CPW, and that the duties and responsibilities of the Disclosure Dissemination Agent under this Disclosure Agreement do not extend to providing legal advice regarding such laws. The City and the CPW acknowledge and understand that the duties of the Disclosure Dissemination Agent relate exclusively to execution of the mechanical tasks of disseminating information as described in this Disclosure Agreement.

SECTION 7. Voluntary Filings.

(a) The CPW may instruct the Disclosure Dissemination Agent to file a Voluntary Event Disclosure with the MSRB from time to time pursuant to a Certification of the Disclosure Representative. Such Certification shall identify the Voluntary Event Disclosure (which shall be any of the categories set forth in Section 2(e)(vi) of this Disclosure Agreement), include the text of the disclosure that the CPW desires to make, contain the written authorization of the CPW for the Disclosure Dissemination Agent to disseminate such information, and identify the date the CPW desires for the Disclosure Dissemination Agent to disseminate the information. If the Disclosure Dissemination Agent has been instructed by the CPW as prescribed in this Section 7(a) to file a Voluntary Event Disclosure, the Disclosure Dissemination Agent shall promptly file such Voluntary Event Disclosure with the MSRB in accordance with Section 2(e)(vi) hereof. This notice may be filed with a cover sheet completed by the Disclosure Dissemination Agent in the form set forth in Exhibit C-2.

(b) The CPW may instruct the Disclosure Dissemination Agent to file a Voluntary Financial Disclosure with the MSRB from time to time pursuant to a Certification of the Disclosure Representative. Such Certification shall identify the Voluntary Financial Disclosure (which shall be any of the categories set forth in Section 2(e)(vii) of this Disclosure Agreement), include the text of the disclosure that the CPW desires to make, contain the written authorization of the CPW for the Disclosure Dissemination Agent to disseminate such information, and identify the date the CPW desires for the Disclosure Dissemination Agent to disseminate the information. If the Disclosure Dissemination Agent has been instructed by the CPW as prescribed in this Section 7(b) hereof to file a Voluntary Financial Disclosure, the Disclosure Dissemination Agent shall promptly file such Voluntary Financial Disclosure with the MSRB in accordance with Section 2(e)(vii) hereof. This notice may be filed with a cover sheet completed by the Disclosure Dissemination Agent in the form set forth in Exhibit C-3.

(c) The parties hereto acknowledge that neither the City nor the CPW is obligated pursuant to the terms of this Disclosure Agreement to file any Voluntary Event Disclosure pursuant to Section 7(a) hereof or any Voluntary Financial Disclosure pursuant to Section 7(b) hereof.

(d) Nothing in this Disclosure Agreement shall be deemed to prevent the CPW from disseminating any other information through the Disclosure Dissemination Agent using the means of dissemination set forth in this Disclosure Agreement or including any other information in any Annual Report, Audited Financial Statements, Notice Event notice, Failure to File Event notice, Voluntary Event Disclosure or Voluntary Financial Disclosure, in addition to that required by this Disclosure Agreement. If the CPW chooses to include any information in any Annual Report, Audited Financial Statements, Notice Event notice, Failure to File Event notice, Voluntary Event Disclosure or Voluntary Financial Disclosure in addition to that which is specifically required by this Disclosure Agreement, the CPW shall have no obligation under this Disclosure Agreement to update such information or include it in any future Annual Report, Audited Financial Statements, Notice Event notice, Failure to File Event notice, Voluntary Event Disclosure or Voluntary Financial Disclosure.

SECTION 8. Termination of Reporting Obligation. The obligations of the City, the CPW and the Disclosure Dissemination Agent under this Disclosure Agreement shall terminate with respect to the Bonds upon the legal defeasance, prior redemption or payment in full of all of the Bonds, when the City and the CPW are no longer on Obligated Person with respect the Bonds, or upon delivery by the Disclosure Representative to the Disclosure Dissemination Agent of an opinion of counsel expert in Federal securities laws to the effect that continuing disclosure is no longer required.

SECTION 9. Disclosure Dissemination Agent. The City and the CPW have appointed Digital Assurance Certification, L.L.C. as exclusive Disclosure Dissemination Agent under this Disclosure Agreement. The City and the CPW may, upon thirty days written notice to the Disclosure Dissemination Agent and the Trustee, replace or appoint a successor Disclosure Dissemination Agent. Upon termination of DAC's services as Disclosure Dissemination Agent, whether by notice of the City and the CPW or DAC, the City and the CPW agree to appoint a successor Disclosure Dissemination Agent or, alternately, agree to assume all responsibilities of Disclosure Dissemination Agent under this Disclosure Agreement for the benefit of the Holders of the Bonds. Notwithstanding any replacement or appointment of a successor, the City and the CPW shall remain liable to the Disclosure Dissemination Agent until payment in full, for any and all sums owed and payable to the Disclosure Dissemination Agent. The Disclosure Dissemination Agent may resign at any time by providing thirty days' prior written notice to the City and the CPW.

SECTION 10. Remedies in Event of Default. In the event of a failure of the City, the CPW or the Disclosure Dissemination Agent to comply with any provision of this Disclosure Agreement, the Holders' rights to enforce the provisions of this Disclosure Agreement shall be limited solely to a right, by action in mandamus or for specific performance, to compel performance of the parties' obligation under this Disclosure Agreement. Any failure by a party to perform in accordance with this Disclosure Agreement shall not constitute a default on the Bonds or under any other document relating to the Bonds, and all rights and remedies shall be limited to those expressly stated herein.

SECTION 11. Duties, Immunities and Liabilities of Disclosure Dissemination Agent.

(a) The Disclosure Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Agreement. The Disclosure Dissemination Agent's obligation to deliver the information at the times and with the contents described herein shall be limited to the extent the CPW has provided such information to the Disclosure Dissemination Agent as required by this Disclosure Agreement. The Disclosure Dissemination Agent shall have no duty with respect to the content of any disclosures or notice made pursuant to the terms hereof. The Disclosure Dissemination Agent shall have no duty or obligation to review or verify any Information or any other information, disclosures or notices provided to it by the CPW and shall not be deemed to be acting in any fiduciary capacity for the City, the CPW, the Holders of the Bonds or any other party. The Disclosure Dissemination Agent shall have no responsibility for the CPW's failure to report to the Disclosure Dissemination Agent a Notice Event or a duty to determine the materiality thereof. The Disclosure Dissemination Agent shall have no duty to determine, or liability for failing to determine, whether the City and the CPW have complied with this Disclosure Agreement. The Disclosure Dissemination Agent may conclusively rely upon Certifications of the City and the CPW at all times.

The obligations of the City and the CPW under this Section shall survive resignation or removal of the Disclosure Dissemination Agent and defeasance, redemption or payment of the Bonds.

(b) The Disclosure Dissemination Agent may, from time to time, consult with legal counsel (either in-house or external) of its own choosing in the event of any disagreement or controversy, or question or doubt as to the construction of any of the provisions hereof or its respective duties hereunder, and shall not incur any liability and shall be fully protected in acting in good faith upon the advice of such legal counsel. The reasonable fees and expenses of such counsel shall be payable by the CPW.

(c) All documents, reports, notices, statements, information and other materials provided to the MSRB under this Disclosure Agreement shall be provided in an electronic format and accompanied by identifying information as prescribed by the MSRB.

SECTION 12. Amendment; Waiver. Notwithstanding any other provision of this Disclosure Agreement, the City, the CPW and the Disclosure Dissemination Agent may amend this Disclosure Agreement and any provision of this Disclosure Agreement may be waived, if such amendment or waiver is supported by an opinion of counsel expert in federal securities laws acceptable to the City, the CPW and the Disclosure Dissemination Agent to the effect that such amendment or waiver does not materially impair the interests of Holders of the Bonds and would not, in and of itself, cause the undertakings herein to violate the Rule if such amendment or waiver had been effective on the date hereof but taking into account any subsequent change in or official interpretation of the Rule; provided neither the City, the CPW nor the Disclosure Dissemination Agent shall be obligated to agree to any amendment modifying their respective duties or obligations without their consent thereto.

Notwithstanding the preceding paragraph, the Disclosure Dissemination Agent shall have the right to adopt amendments to this Disclosure Agreement necessary to comply with modifications to and interpretations of the provisions of the Rule as announced by the Securities and Exchange Commission from time to time by giving not less than 20 days prior written notice of the intent to do so together with a copy of the proposed amendment to the City and the CPW. No such amendment shall become effective if the City or the CPW shall, within 10 days following the giving of such notice, send a notice to the Disclosure Dissemination Agent in writing that it objects to such amendment.

SECTION 13. Beneficiaries. This Disclosure Agreement shall inure solely to the benefit of the City, the CPW, the Trustee for the Bonds, the Disclosure Dissemination Agent, the underwriter, and the Holders from time to time of the Bonds, and shall create no rights in any other person or entity.

SECTION 14. Governing Law. This Disclosure Agreement shall be governed by the laws of the State of Florida (other than with respect to conflicts of laws) except that the capacity of the City and CPW to enter into this Disclosure Agreement and its enforceability against the City and CPW shall be governed by and construction in accordance with the State of South Carolina.

SECTION 15. Counterparts. This Disclosure Agreement may be executed in several counterparts, each of which shall be an original and all of which shall constitute but one and the same instrument.

The Disclosure Dissemination Agent, the City and the CPW have caused this Disclosure Dissemination Agent Agreement to be executed, on the date first written above, by their respective officers duly authorized.

DIGITAL ASSURANCE CERTIFICATION, L.L.C.,
as Disclosure Dissemination Agent

By:_____
Name:_____
Title:_____

CITY OF CHARLESTON, SOUTH CAROLINA

By:_____
Mayor

COMMISSIONERS OF PUBLIC WORKS OF THE CITY
OF CHARLESTON, SOUTH CAROLINA

By:_____
Chief Executive Officer

EXHIBIT A

NAME AND CUSIP NUMBERS OF BONDS

Name of Issuer:	City of Charleston, South Carolina
Obligated Person(s):	City of Charleston, South Carolina Commissioners of Public Works of the City of Charleston, South Carolina
Name of Issues:	$151,190,000 Waterworks and Sewer System Capital Improvement Revenue Bonds, Series 2022
Date of Issuance:	June 30, 2022
Date of Official Statement:	June 22, 2022

CUSIP Numbers:

January 1	CUSIP	January 1	CUSIP
2026	160429ZW9	2036	160429A89
2027	160429ZX7	2037	160429A97
2028	160429ZY5	2038	160429B21
2029	160429ZZ2	2039	160429B39
2030	160429A22	2040	160429B47
2031	160429A30	2041	160429B54
2032	160429A48	2042	160429B62
2033	160429A55	2047	160429B70
2034	160429A63	2052	160429B88
2035	160429A71		

EXHIBIT B
NOTICE TO MSRB OF FAILURE TO FILE ANNUAL REPORT

Name of Issuer:	City of Charleston, South Carolina
Obligated Person(s):	City of Charleston, South Carolina (the "City") Commissioners of Public Works of the City of Charleston, South Carolina (the "CPW")
Name of Issues:	$151,190,000 Waterworks and Sewer System Capital Improvement Revenue Bonds, Series 2022
Date of Issuance:	June 30, 2022

CUSIP Numbers:

January 1	CUSIP	January 1	CUSIP
2026	160429ZW9	2036	160429A89
2027	160429ZX7	2037	160429A97
2028	160429ZY5	2038	160429B21
2029	160429ZZ2	2039	160429B39
2030	160429A22	2040	160429B47
2031	160429A30	2041	160429B54
2032	160429A48	2042	160429B62
2033	160429A55	2047	160429B70
2034	160429A63	2052	160429B88
2035	160429A71		

NOTICE IS HEREBY GIVEN that the CPW has not provided an Annual Report with respect to the above named Obligations as required by the Disclosure Dissemination Agent Agreement, dated as of June 30, 2022, among the City, the CPW and Digital Assurance Certification, L.L.C., as Disclosure Dissemination Agent. The CPW has notified the Disclosure Dissemination Agent that it anticipates that the Annual Report will be filed by _____.

Dated: _____

Digital Assurance Certification, L.L.C., as Disclosure Dissemination Agent, on behalf of the City of Charleston, South Carolina and the Commissioners of Public Works of the City of Charleston, South Carolina

_____

cc: Issuer
Obligated Persons

EXHIBIT C-1
EVENT NOTICE COVER SHEET

This cover sheet and accompanying "event notice" may be sent to the MSRB, pursuant to Securities and Exchange Commission Rule 15c2-12(b)(5)(i)(C) and (D).

Issuer's and/or Other Obligated Person's Name:

_____

Issuer's Six-Digit CUSIP Number:

_____

or Nine-Digit CUSIP Number(s) of the bonds to which this event notice relates:

_____

Number of pages attached: _____

____ Description of Notice Events (Check One):

1._____"Principal and interest payment delinquencies;"
2._____"Non-Payment related defaults, if material;"
3._____"Unscheduled draws on debt service reserves reflecting financial difficulties;"
4._____"Unscheduled draws on credit enhancements reflecting financial difficulties;"
5._____"Substitution of credit or liquidity providers, or their failure to perform;"
6._____"Adverse tax opinions, IRS notices or events affecting the tax status of the security;"
7._____"Modifications to rights of securities holders, if material;"
8._____"Bond calls", if material; "Tender offers";
9._____"Defeasances;"
10._____"Release, substitution, or sale of property securing repayment of the securities, if material;"
11._____"Rating changes;"
12._____"Bankruptcy, insolvency, receivership or similar event of the obligated person;"
13._____"Merger, consolidation, or acquisition of the obligated person, if material;"
14._____"Appointment of a successor or additional trustee, or the change of name of a trustee, if material;"
15._____"Incurrence of a Financial Obligation of the obligated person, if material, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a Financial Obligation of the obligated person, any of which affect security holders, if material;" and
16._____"Default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a financial obligation of the obligated person, any of which reflect financial difficulties."

____ Failure to provide annual financial information as required.

I hereby represent that I am authorized by the issuer or its agent to distribute this information publicly:

Signature:

_____

Name: _____Title: _____

Digital Assurance Certification, L.L.C.
315 East Robinson Street, Suite 300
Orlando, FL 32801
407-515-1100

Date:

EXHIBIT C-2
VOLUNTARY EVENT DISCLOSURE COVER SHEET

This cover sheet and accompanying "voluntary event disclosure" may be sent to the MSRB, pursuant to the Disclosure Dissemination Agent Agreement dated as of June 30, 2022 between the CPW, the City and DAC.

Issuer's and/or Other Obligated Person's Name:

_____

Issuer's Six-Digit CUSIP Number:

_____

_____

or Nine-Digit CUSIP Number(s) of the bonds to which this notice relates:

_____

Number of pages attached: _____

____ Description of Voluntary Event Disclosure (Check One):

1._____"amendment to continuing disclosure undertaking;"
2._____"change in obligated person;"
3._____"notice to investors pursuant to bond documents;"
4._____"certain communications from the Internal Revenue Service;"
5._____"secondary market purchases;"
6._____"bid for auction rate or other securities;"
7._____"capital or other financing plan;"
8._____"litigation/enforcement action;"
9._____"change of tender agent, remarketing agent, or other on-going party;" and
10._____"other event-based disclosures."

I hereby represent that I am authorized by the issuer or its agent to distribute this information publicly:

Signature:

_____

Name: _____Title: _____

Digital Assurance Certification, L.L.C.
315 East Robinson Street, Suite 300
Orlando, FL 32801
407-515-1100

Date:

EXHIBIT C-3
VOLUNTARY FINANCIAL DISCLOSURE COVER SHEET

This cover sheet and accompanying "voluntary financial disclosure" may be sent to the MSRB, pursuant to the Disclosure Dissemination Agent Agreement dated as of June 30 2022 between the CPW, the City and DAC.

Issuer's and/or Other Obligated Person's Name:

_____

Issuer's Six-Digit CUSIP Number:

_____

_____

or Nine-Digit CUSIP Number(s) of the bonds to which this notice relates:

_____

Number of pages attached: _____

____ Description of Voluntary Financial Disclosure (Check One):

1._____"quarterly/monthly financial information;"
2._____"change in fiscal year/timing of annual disclosure;"
3._____"change in accounting standard;"
4._____"interim/additional financial information/operating data;"
5._____"budget;"
6._____"investment/debt/financial policy;"
7._____"information provided to rating agency, credit/liquidity provider or other third party;"
8._____"consultant reports;" and
9._____"other financial/operating data."

I hereby represent that I am authorized by the issuer or its agent to distribute this information publicly:

Signature:

_____

Name: _____Title: _____

Digital Assurance Certification, L.L.C.
315 East Robinson Street, Suite 300
Orlando, FL 32801
407-515-1100

Date:

Charleston
Water System

CITY OF CHARLESTON, SOUTH CAROLINA • WATERWORKS AND SEWER SYSTEM CAPITAL IMPROVEMENT REVENUE BONDS, SERIES 2022

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